Section 1

A project is in danger and the project manager realizes that this is because there is a serious misallocation of resources and the risk responses that have been implemented have been largely ineffective.

What is the most likely cause of this?

A. A.
B. Stakeholders were not engaged properly.
C. B.
D. The project manager has been distracted.
E. C.
F. There is conflict within the project team.
G. D.
H. Risks were not weighted appropriately.

Solution:D. Risks were not weighted appropriately.

The most likely cause of the project being in danger is that risks were not weighted appropriately. Serious resource misallocation would indicate that the project team did not properly assess the potential impact and likelihood of each risk and therefore did not allocate resources effectively to mitigate those risks. Additionally, the risk responses that were implemented were largely ineffective, indicating that the team may not have had a clear understanding of how to address the identified risks.

The other options are incorrect.

While the other options could potentially cause this issue, the most likely cause is that risks were not weighted appropriately. There is no evidence to suggest that stakeholders are not engaged, that the project manager is distracted, or that there are conflicts within the project team. While these factors can negatively impact the project, they are less likely to directly contribute to the issues described.

A project manager identifies a risk in a multifunctional project and decides to take no action to address it. What should the risk manager do if the risk occurs and has a negative impact on the project?

A. A.
B. Escalate the issue to the sponsor.
C. B.

D. Initiate a formal change request.
E. C.
F. Implement a contingency plan.
G. D.
H. Review the project management plan.

Solution: C. Implement a contingency plan.

If a risk occurs and the project manager has decided to take no action, the risk manager should implement a contingency or fallback plan. This plan should have been developed and implemented as part of the risk management process and should be triggered when the risk occurs. The contingency plan should include specific actions to be taken to mitigate the impact of the risk and should be regularly reviewed and updated as necessary.

The other options are incorrect.

The project manager should update and inform the sponsor and other stakeholders for transparency. However, escalation may be unnecessary and is not the immediate action to mitigate the risk's impact.

Creating a change request would only be necessary if the impact requires significant adjustments to the project scope or budget.

Reviewing the project management plan may be necessary in order to reassess project risks, but the risk manager must be proactive in responding to the risk event.

While planning a new project, a new project manager finds that the request for proposal (RFP) references several government regulations. However, the project manager discovers that compliance guidelines related to two specific regulations are being created and are not currently available. Senior management advises the project manager that the guidelines will be available when that stage of the project is reached and directs the project manager to continue working on the proposal.

What should the project manager do?

A. A.
B. Delay the project and explain the consequences of non-compliance to senior management.
C. B.

D. Document the interactions with senior management as assumptions in the assumption log.
E. C.
F. Verify the requirements for the government regulations and establish a strategy for compliance.
G. D.
H. Continue working on the proposal and update it as more compliance guidelines are understood.

Solution:B. Document the interactions with senior management as assumptions in the assumption log.

The project manager should document the interactions with senior management as assumptions in the assumption log. This will help ensure that all assumptions are tracked and can be revisited later in the project as needed. The assumption log helps ensure that all assumptions are tracked and can be revisited later in the project and that the project manager has a clear understanding of the project scope and can make informed decisions based on the assumptions being made. This will also help identify potential risks and issues that may arise due to assumptions made during the planning phase.

The other options are incorrect.

Delaying the project is not the most practical solution, especially if senior management has directed the project manager to continue working on the proposal.

A project manager is initiating risk management planning for a project that has an elevated degree of uncertainty and risk associated with the development of the product. The project must have a clearly defined and repeatable rollout phase in order to deliver the intended business value.

What project methodology should the project manager suggest?

A. A.
B. Lean
C. B.
D. Hybrid
E. C.
F. Agile

G. D.
H. Predictive

Solution:B. Hybrid

A hybrid approach allows for flexibility and adaptability while still maintaining a structured approach. There is uncertainty and risk in the development portion of the project, so product development would benefit from an agile approach. This allows for flexibility to adapt to changing requirements and circumstances during development.

The project also requires a defined and repeatable rollout phase, which is better suited to a predictive approach. A hybrid project methodology combines elements of both predictive and agile approaches to project management. This is particularly useful in this case because it allows for adjustments to be made as needed during development while still ensuring a clearly defined and repeatable rollout phase. It's important to note that the specific methodology chosen should be tailored to the unique characteristics of the organization and its areas/business units, and should make use of existing organizational process assets (OPAs) to provide organization-specific structure and guidance.

The other options are incorrect.

Lean methods focus on maximizing value while minimizing waste.

Agile and predictive methods would be helpful in certain phases of the project, but would not be ideal for the entirety of the project. A hybrid of the two would best serve the project's needs.

What did the risk manager overlook prior to developing probability and impact scales?

A. A.
B. Gaining approvals for the developed risk register from stakeholders.
C. B.
D. Informing the project manager about the risk management process.
E. C.
F. Evaluating and understanding the risk appetite of the stakeholders
G. D.
H. Interviewing the stakeholders and reviewing the communication plan.

Solution:C. Evaluating and understanding the risk appetite of the stakeholders.

As part of developing a risk register and a risk response plan, it is necessary to evaluate and understand organizational and stakeholder risk appetite. The risk appetite is expressed as a measurable threshold to help define the probability and impact when prioritizing project risks. The risk manager should have evaluated and understood the risk appetite of the stakeholders prior to developing the probability and impact scales. This is important because the risk appetite of stakeholders can influence the level of risk that is acceptable for the project and can impact the development of the probability and impact scales.

The other options are incorrect.

Informing the project manager about the risk management process or gaining approvals for the developed risk register would not have addressed the issues with the development of the probability and impact scales.

Interviewing the stakeholders and reviewing the communication plan are important actions, but they do not directly address the issue in this situation.

A project manager is leading a project with numerous risks that may occur sequentially and could potentially result in significant financial consequences.

What should the project manager do to better understand the risks?

A. A.
B. Perform a SWOT analysis with stakeholders.
C. B.
D. Analyze a probability and impact matrix.
E. C.
F. Participate in a brainstorming session.
G. D.
H. Build a decision tree with the project team.

Solution:B. Analyze a probability and impact matrix.

A probability and impact matrix is the most appropriate approach for understanding the complex connections between multiple sequential risks in a project. This approach helps to identify and prioritize risks based on their likelihood and potential impact on the project. It also allows the project manager to develop appropriate risk responses and contingency plans.

The other options are incorrect.

SWOT analysis and brainstorming sessions may be useful to some extent, but they are not comprehensive enough to provide the understanding that the project manager is seeking.

Decision tree analysis is a useful technique for making decisions in the presence of uncertainty, but may not be as helpful in understanding the interconnectivity of risks within a complex project environment.

An organization has a new goal to become more environmentally sustainable and is planning to take incremental steps to achieve this. The organization is planning to replace the packaging for its top-selling products with sustainable alternatives. The team is preparing a SWOT analysis for this initiative.

Which of the following would be considered a strength?

A. A.
B. Global warming has a lot of visibility and could draw attention.
C. B.
D. They could attract environmentally conscientious customers.
E. C.
F. Increased production costs will be offset by increased sales.
G. D.
H. The product is already successful and has brand recognition.

Solution:D. The product is already successful and has brand recognition.

Strengths are internal factors that give an organization a competitive advantage or potential for success. In this context, the fact that the product is already successful and has brand recognition would be considered a strength. This allows the organization to implement sustainability initiatives while retaining those customers who are already familiar with and loyal to the product.

The other options are incorrect.

The increasing visibility of global warming and the potential to attract new customers would be seen as opportunities. Opportunities are external factors that may provide the potential for growth or success. These can include growing demand or changing consumer trends.

There is no proof that increased production costs will correlate to increased sales, this may be an assumption and would require more analysis to confirm its validity.

During a weekly project review meeting, a stakeholder identifies some new risks. When creating risk responses for these newly identified risks, what should the project team do to discover trends and more efficiently manage the responses?

A. A.
B. Classify the risk impacts based on their severity.
C. B.
D. Document potential workaround solutions.
E. C.
F. Identify the appropriate risk action owners.
G. D.
H. Determine the root causes of the identified risks.

Solution:A. Classify the risk impacts based on their severity.

When creating risk responses for newly identified risks, the project team should classify the risk impacts based on their severity. This helps to discover trends and more efficiently manage the responses. By classifying the risk impacts, the team can prioritize their responses and focus on the most critical risks first. This can also help to identify common themes or trends among the risks, which can inform future risk management strategies.

The other options are incorrect.

Documenting workarounds, identifying action owners, and determining the root causes of the identified risks would occur after classifying risk impacts and would not help to discover trends and manage responses more efficiently.

During a project review meeting the risk manager asks the team for updates on closed risks from the previous period and finds that they do not have a comprehensive understanding of the original trigger conditions.

What should the risk manager do to address this?

A. A.
B. Disregard the issue and continue with the project review meeting since the closed risks are no longer relevant.

C. B.
D. Identify the team members who are not properly documenting trigger conditions during the risk management process.
E. C.
F. Ask the team to individually review their closed risks and report back with a written description of the trigger conditions.
G. D.
H. Provide training to the team on the importance of identifying, documenting, and monitoring trigger conditions.

Solution:D. Provide training to the team on the importance of identifying, documenting, and monitoring trigger conditions.

The team should receive training on the importance of identifying, documenting, and monitoring trigger conditions. Trigger conditions are important because they provide advanced warning of a potential risk, allowing the project team to take action before the risk occurs or reoccurs. This can help to minimize the impact of the risk on the project.

Understanding the factors that led to the occurrence of risks and how those risks were eventually addressed helps in refining and improving risk response strategies for similar situations in the future. By having a comprehensive understanding of trigger conditions teams can recognize warning signs that risks may need to be reassessed and learn how to conduct effective and efficient reassessments.

The other options are incorrect.

Disregarding the issue is not proactive and does not address the issue which will likely lead to continued confusion and misunderstanding.

Identifying individual team members does not overall knowledge gap. There is a lack of understanding among the team members, indicating that there may be a systemic issue due to a lack of understanding. Providing training ensures that the entire team understands the importance of understanding trigger conditions.

Asking individuals to review closed risks does not directly address the issue and may not lead to a thorough understanding.

A project manager has been newly hired and assigned to a technology development project. As the team prepared to plan risk management for the project it became clear that siloed departments are hindering communication among cross-functional

teams and making cooperation difficult. As a result, the team is having difficulty defining risk roles and responsibilities.

What should the project manager do to address this situation?

A. A.
B. Identify the root cause of the communication breakdown and the factors that contribute to the departmental silos.
C. B.
D. Lead the team in completing the risk management planning activities by defining risk roles based on departmental risk attitudes.
E. C.
F. Ask the project sponsor to meet with each team to explain that continued communication issues will result in disciplinary actions.
G. D.
H. Delay planning risk management strategies until the cross-functional teams become more communicative and transparent.

Solution:A. Identify the root cause of the communication breakdown and the factors that contribute to the departmental silos.

The project manager should identify the root cause of the communication breakdown and the factors that contribute to the departmental silos. This can be done by analyzing the current communication channels and identifying any gaps or barriers that hinder effective communication. The project manager should also consider the cultural differences and preferences of the cross-functional teams, as well as the available communication technologies. Additionally, the project manager should assess the communication competencies of key project stakeholders and the possibility of information or data overload. Once the root cause of the communication breakdown has been identified, the project manager can work with the cross-functional teams to develop a communication plan that addresses the identified gaps and barriers.

The other options are incorrect.

Defining risk roles and responsibilities based only on departmental risk attitudes is not a proactive approach, ignores communication issues, and may only perpetuate the issues and departmental silos.

Delaying risk management planning strategies or threatening disciplinary actions is not an effective solution to this problem. It is important to address the root cause of the communication breakdown in order to ensure effective risk management for the project.

A risk manager has finished a qualitative risk analysis with their team. The risk manager asked the team to update the relevant documents, but they only updated the risk register, issue log, and risk report. Which project document still needs to be updated based on this information?

A. A.
B. The lessons learned register
C. B.
D. The change log
E. C.
F. The assumption log
G. D.
H. The project charter

Solution:C. The assumption log

At a minimum, the risk register, issue log, assumption log, and risk report should be reviewed for revision upon completion of the qualitative risk analysis. The assumption log is a document that records all the assumptions made during the project planning phase and is used to track and manage changes to those assumptions throughout the project. By updating the assumption log, the risk manager can ensure that all assumptions related to identified risks are up-to-date and that appropriate risk response strategies are in place.

The other options are incorrect.

The other documents are not typically directly impacted by risk analysis and may not require updating.

A project charter is a document issued by the project initiator or sponsor that formally authorizes the existence of a project and provides the project manager with the authority to apply organizational resources to project activities.

A lessons learned register is used to record knowledge gained during a project, phase, or iteration so that it can be used to improve future performance for the project team and/or the organization.

A change log is a comprehensive list of changes submitted during the project. While the qualitative risk analysis may lead to changes in the project, these changes would typically be managed through the change control process, which would then initiate change log updates.

Despite the project team carrying out risk management processes and adhering to organizational risk planning procedures, the contingency reserves for a recent project were depleted before the project was completed.

What recommendation could be implemented to prevent this from recurring?

A. A.
B. Use the Monte Carlo simulation.
C. B.
D. Implement a reserve analysis process.
E. C.
F. Conduct more frequent status meetings.
G. D.
H. Increase the contingency reserve.

Solution:B. Implement a reserve analysis process.

Implementing a reserve analysis process involves using data analysis to determine the extent to which contingency reserves and/or management reserves should be used and to what extent the baselines should be risk-based. By implementing a reserve analysis process, the project team can better manage the project's risks and reserves and prevent the depletion of contingency reserves before project completion.

The other options are incorrect.

Using a Monte Carlo simulation does not address the core issue. A Monte Carlo simulation is a technique to simulate probability distribution for risk on an objective but is not directly tied to the issue of depleting contingency reserves.

Conducting more frequent status meetings is not the most efficient or practical way of preventing this situation from reoccurring.

Increasing the contingency reserve does not address the core issue and may not be effective in preventing the depletion of contingency reserves before project completion.

When performing integrated cost-schedule risk analysis, a risk manager must correlate the project costs and activities with the risk baseline. Why is determining correlation critical in performing this analysis?

A. A.
B. Correlation strength is defined by the strength of multiple risks affecting one cost or activity.
C. B.
D. Correlation is always negative in projects with high production costs.
E. C.
F. Correlation indicates causality between project costs and specific project activities.
G. D.
H. Correlation identifies how each project risk affects project costs or activities.

Solution:D. Correlation identifies how each project risk affects project costs or activities.

When performing integrated cost-schedule risk analysis, a risk manager must determine the correlation between project costs and activities with the risk baseline. This is because determining correlation helps to identify how each project risk affects project costs or activities. Correlation can help to avoid common mistakes in interpreting measurement data, such as confusing correlation with causation or focusing on less important metrics rather than the metrics that matter most.

The other options are incorrect.

Correlation strength refers to the degree of association between two variables but is not exclusively based on the number of risks affecting one cost or activity.

Correlation can be positive, negative, or zero.

Correlation is used to investigate the potential relationships between the factors and individual variables, not necessarily a cause-and-effect relationship.

A team member has a history of not meeting deadlines, but the project team does not recognize the potential impact that this could have on the project if the individual does not improve their performance.

What type of risk is this?

A. A.
B. Known/unknown
C. B.
D. Known/known
E. C.
F. Unknown/known
G. D.
H. Unknown/unknown

Solution: A. Known/unknown

This situation represents a known/unknown risk, which is a risk that is already known to a group of people but is not recognized or acknowledged in project planning activities. Known/unknown risks are those where the risk itself is known (the team member's history of missing deadlines), but the full impact or consequences of the risk are not fully understood or recognized by the team. This risk may not be explicitly identified or addressed in project planning activities, but it could still have a significant impact on project success if not properly managed. It is important for the project manager to identify and address this risk by communicating with the team members and developing a plan to mitigate the risk. Effectively identifying and addressing this unknown known risk through effective communication and risk management processes can improve the probability of achieving project goals and ensure project success.

A risk manager decided to involve a third party to manage a project risk given that they had more experience than the current project team.

What kind of response strategy did the risk manager apply to address overall project risk?

A. A.
B. Avoid

C. B.
D. Exploit
E. C.
F. Transfer
G. D.
H. Reduce

Solution:C. Transfer

Risk transference is a risk response strategy whereby the project team shifts the impact of a threat to a third party, together with ownership of the response.

The other options are incorrect because involving a third party to manage specific project risks, does not necessarily reduce, avoid, or exploit the risk, it shifts (or transfers) the impact of the risk to the third party. Risk avoidance is a risk response strategy whereby the project team acts to eliminate the threat or protect the project from its impact. Risk exploiting is a risk response strategy whereby the project team acts to ensure that an opportunity occurs.

At project initiation, a quote for the required services was requested from a vendor, and the work was estimated at US$100,000. As the project progressed, requirements were updated following the company's procurement process, and a modified quote was received for more than US$250,000. The allocated contingency funds are not sufficient to cover the difference.

What should the project manager do?

A. A.
B. Restart the procurement process and select a new vendor.
C. B.
D. Review the contract type that will be awarded to the vendor.
E. C.
F. Proceed with the best offer as per the procurement process.
G. D.
H. Engage the steering committee and escalate the issue.

Solution:D. Engage the steering committee and escalate the issue.

The project manager should engage the steering committee and escalate the issue if the allocated contingency funds are insufficient. The steering committee can help in

making decisions regarding the project budget and can provide guidance on how to proceed. This will help to ensure that the issue is addressed at a higher level and that appropriate action is taken to resolve the situation.

The other options are incorrect.

Reviewing the contract type, restarting the procurement process, or proceeding with the best offer are not viable options and may even cause more issues.

Reviewing the contract type may be helpful but does not directly address the issue.

Restarting the procurement process could cause significant delays and may even incur more costs.

Proceeding with the best offer is inappropriate and lacks transparency. By ignoring the issue, the project is likely to fail

A risk manager schedules a project overview meeting with the project sponsor to provide an update on risk management progress. Each functional lead identifies the most critical information to be presented at an executive level. The information must balance communicating essential information with actions and recommendations.

What risk information should be communicated to the project sponsor?

A. A.
B. Significant risks and issues and their planned responses.
C. B.
D. Risk matrix showing the distribution of high, medium, and low risks.
E. C.
F. Results of the last project risk brainstorming session.
G. D.
H. Summary feedback from the previous risk audit.

Solution: A. Significant risks and issues and their planned responses.

Project sponsors can be faced with a tremendous amount of data to identify important trends and develop strategies. Executive-level reporting will assist in focusing this data for the evaluation of important metrics. Understanding this style of reporting can ensure the best information available to empower data-driven decision-making. In this type of meeting, critical risks and issues with planned responses are presented to the project sponsor. Since the information is focused, this allows for quicker decision-making as

opposed to a traditional process of brainstorming, reviewing dated reports, or presenting aggregated data. By performing in this way, it is possible to balance sponsor communication involving essential information with actions and recommendations.

Based on the following information, which of the following has the highest risk exposure?

Threat / Opportunity	Probability	Impact
Funding Shortage	Very Low	Very High
Materials Delivery	Low	High
Labor Shortage	Moderate	Moderate
Schedule Slippage	High	Low
Delayed Procurement	Moderate	Very High
New Technology	Moderate	Moderate

A. A.
B. Labor shortage
C. B.
D. Schedule slippage
E. C.
F. Delayed procurement
G. D.
H. Funding shortage

Solution: C. Delayed procurement
The probability of delayed procurement is moderate, however the impact is very high. This very high classification for the impact on the project qualifies it as the highest risk exposure.

The other options are incorrect.
Even though the probability of schedule slippage is high, the impact is low, and thus cannot qualify for the highest risk exposure.
A labor shortage has a moderate impact and a moderate probability, so its overall risk exposure is not as high as delayed procurement.
The impact of a funding shortage would be very high, the very low probability lowers its overall risk score.

The team has just completed a risk response planning session and identified responses for all the high and medium-priority risks. What should the team do with the remaining low-priority risks?

A. A.
B. Create risk responses later, as time allows.
C. B.
D. Add the risks to a watchlist for periodic monitoring.
E. C.
F. Remove the risks from the risk register.
G. D.
H. Conduct a low-priority risk response planning workshop.

Solution: B. Add the risks to a watchlist for periodic monitoring.
The team should add the remaining low-priority risks to a watchlist for periodic monitoring. This allows the team to keep track of these risks and reassess them periodically to determine if they have become a higher priority or if a response is needed. It is important to monitor all risks, even those that are deemed low priority, to ensure that they do not become bigger issues later on.
The other options are incorrect.
Creating risk responses later, as time allows, or removing the risks from the risk register is not an appropriate answer because the team should be aware of the low-priority risks, their status and impact may change as the project progresses.
Conducting a low-priority risk response planning workshop is not an effective strategy. The team has already completed a risk response planning session and identified responses for all the high and medium-priority risks, creating a response plan for low-priority risks may not be necessary, but the risks should be added to a watchlist for

periodic monitoring so that the team can determine if something has changed meriting the creation of a risk response plan.

A project has four risks that are identified during the risk identification process. The table shows the probability of each risk occurring and the corresponding cost.

RISK	ACTIVITY	PROBABILITY	COST IMPACT (US$)
2	A	10%	-$5,900
4	B	5%	$1,000
1	C	20%	-$5,000
3	D	15%	$3000

What is the total estimated monetary value of the cost for this project?

A. A.
B. -$1,590
C. B.
D. -$1,090
E. C.
F. $1,090
G. D.
H. $1,590

Solution: B. -$1,090.

RISK	ACTIVITY	PROBABILITY	COST IMPACT (US$)	EMV = (PxI)
2	A	10%	-$5,900	-$590
4	B	5%	$1,000	$50

1	C	20%	-$5,000	-$1,000
3	D	15%	$3,000	$450
			TOTAL EMV =	-$1,090

Expected monetary value (EMV) = Probability × Impact. The total EMV of the cost for the project is the sum of the EMVs of all the risky events considered, which is -$1,090. The other values are incorrect.

A project team is working on a critical project and one of the identified risks is approaching its risk threshold. This risk introduces potential delays due to unexpected changes in requirements.

Who is ultimately responsible for monitoring the risk that is about to exceed its risk threshold?

A. A.
B. All project stakeholders
C. B.
D. The customer
E. C.
F. Senior management
G. D.
H. The risk owner

Solution:D. The risk owner

The risk owner is ultimately responsible for monitoring the risk that is about to exceed its risk threshold. The risk owner is the individual responsible for selecting and implementing an appropriate risk response strategy and managing the corresponding risk throughout the subsequent risk management processes. It is also the responsibility

of the risk owner to immediately report any changes in the risk trigger status and to drive the defined countermeasures.

The other options are incorrect.

Senior management, the customer, and project stakeholders do not typically monitor all individual risks on a day-to-day basis. These parties should remain updated and engaged, but the risk owner is responsible for monitoring the risk and for selecting and implementing an appropriate risk response strategy.

A project team is planning for the construction of a major housing development. The development will consist of five stand-alone apartment buildings. The project team is in the process of identifying project risks. Many key construction activities will be completed by a contractor. The project manager intends to include the contractor in risk identification exercises, but one key stakeholder voices concerns and would like to identify risks internally.

How should the project manager address this concern?

A. A.
B. Request that the contractor complete a detailed report summarizing all potential risks and submit it to the project team to verify.
C. B.
D. Escalate the matter to the project sponsor and request that the stakeholder be removed from the project.
E. C.
F. Initiate the risk identification process with the team as planned but without involving the contractor as requested by the stakeholder.
G. D.
H. Explain that contractor involvement is critical because they have a better understanding of the risks associated with their work.

Solution:D. Explain that contractor involvement is critical because they have a better understanding of the risks associated with their work.

It is important to have all stakeholders involved in risk identification to ensure that all knowable risks are identified, this includes external stakeholders such as contractors. The project manager should address the stakeholder's concerns by explaining that

involving the contractor is critical because they have a better understanding of the specific risks associated with their work. The project manager should emphasize that the contractor is handling many key project activities and their input is critical to ensure that the risk identification process is comprehensive. The team should work closely with the contractor to identify the specific risks associated with their work that may be unknown to the project team.

The other options are incorrect.

A report from the contractor may be a helpful starting point, but may not help to identify project-specific risks or explore how the contractor's list of risks impacts the risks identified by the internal team.

Escalation is not necessary at this stage and the project manager should first seek to help the stakeholder understand the reasoning behind including the contractor. There is likely a lack of understanding that can be resolved by providing insight, not a conflict that must be escalated.

Excluding the contractor neglects the need to identify the risks associated with the contractor's involvement. This could result in incomplete and inefficient risk management.

A risk manager on a large-scale development project has established detailed risk management procedures. The risk manager wants to ensure their effectiveness and is refining the risk monitoring practices to better track, record, and assess execution success.

What metric would be most valuable to track and record the execution quality of risk-related procedures?

A. A.
B. The degree of variation from the established risk response strategy.
C. B.
D. The number of risks that were identified and successfully mitigated.
E. C.
F. The impact of realized risks on the project objectives and baselines.
G. D.
H. The level of stakeholder satisfaction with the risk-related procedures.

Solution:B. The number of risks that were identified and successfully mitigated.

The number of risks that were identified and successfully mitigated is the most valuable metric to track and record the execution quality of risk-related procedures. This metric provides insight into the effectiveness of the risk management procedures and the ability of the project team to identify and respond to potential risks. By tracking this metric, the risk manager can identify areas for improvement and refine the risk management procedures to better address potential risks.

The other options may be helpful, but may not be the most valuable in specifically assessing the execution quality of risk-related procedures.

Identifying the degree of variation may be helpful to track, but does not effectively assess the overall success of the risk-related procedures. Deviations may be necessary or beneficial in some situations based on specific factors, which is not necessarily indicative of poor execution quality.

The impact of realized risk may not directly assess the overall success of the risk management procedures.

Stakeholder satisfaction is important but may not directly correlate with the execution quality of risk-related procedures. There are many factors that may influence satisfaction.

A project manager is working with a large group of stakeholders to identify risks for a new project. Some stakeholders have been with the organization for many years, others joined only recently. The project manager noticed that the long-term stakeholders have identified very similar sets of risks whereas the newer stakeholders have longer and more varied lists.

How should the project manager address this discrepancy?

A. A.
B. Focus on the risks identified by the stakeholders that have been with the organization the longest because they have the most experience.
C. B.
D. Use a combination of risk identification techniques to identify risks and ensure that the identified risks are unambiguously described.

E. C.
F. Develop a system for categorizing stakeholders by their experience, interest, requirements, and authority in order to prioritize risks.
G. D.
H. Meet with the project sponsor to discuss the issue and suggest reducing the number of stakeholders participating in risk identification.

Solution:B. Use a combination of risk identification techniques to identify risks and ensure that the identified risks are unambiguously described.

The project manager should consider using a combination of risk identification techniques, including expert judgment, facilitation, historical information, interviews, and prompt lists, to ensure that all stakeholders have an opportunity to identify risks and that risks are unambiguously described. This will help to address the discrepancy in the identified risks between long-term stakeholders and newer stakeholders. Additionally, improving communication with all stakeholders to ensure that everyone has a clear understanding of the project goals and objectives can also help to address this issue.

The other options are incorrect.

Reducing the number of stakeholders or ignoring the risks identified by the newer stakeholders is inappropriate and can lead to incomplete risk identification and interpersonal conflict.

Categorizing stakeholders is helpful in general, but would not adequately address the discrepancies described in this scenario.

When analyzing the reward system in a company, there is evidence that suggests that teams are consistently dealing with major problems and operate primarily in an emergency mode. As a result, those who receive the most recognition are those developing response strategies quickly. Individuals who work efficiently and proactively are rewarded far less.

What does this observation indicate regarding the risk management process?

A. A.
B. Project managers are appropriately rewarding individuals deserving of the most recognition.

C. B.
D. Resources are focused on addressing immediate problems rather than preventing future risks.
E. C.
F. The company's rewards system offers no insight into the risk management process.
G. D.
H. Risk management is successful because risk response strategies are being developed quickly.

Solution:B. Resources are focused on addressing immediate problems rather than preventing future risks.

Dealing with major problems primarily in an emergency mode indicates that resources are focused on addressing immediate problems rather than preventing future risks. This can lead to a lack of proactive risk management and a culture where risk management is not given enough attention or resources until a crisis occurs. To mitigate these potential impacts, organizations should prioritize risk management as a key component of their overall strategy and culture. This includes ensuring that risk management is integrated into all aspects of the organization's operations and decision-making processes, providing adequate resources and support for risk management activities, encouraging a culture of proactive risk management, and holding individuals and teams accountable for risk management outcomes, including both successes and failures.

The other options are incorrect.

Project managers may or may not be rewarding the appropriate team members, but the scenario points to some potential issues in the context of successful risk management.

The company's reward system is helpful in this case because it offers insight into the effectiveness of the risk management process and potential areas for improvement. Consistently operating in an emergency state may be the result of unsuccessful risk management and can cause problems such as delay, cost overruns, performance shortfall, or loss of reputation.

While it is helpful that risk response strategies are being created quickly, risks should have been identified, analyzed, and planned for at the planning stage, not throughout

the project in reaction to emergencies. This signifies a focus on short-term gains rather than long-term risk management strategies.

A risk manager is working on a complex project that is running over budget and over schedule. Some stakeholders believe that these overages are a result of poor risk planning techniques.

What can the risk manager do to determine the validity of these concerns?

A. A.
B. Conduct a survey to gather opinions from all project stakeholders.
C. B.
D. Defend the risk management plan and the planning techniques.
E. C.
F. Review the risk management plan and project performance data.
G. D.
H. Compare the overages with the planned budget and schedule.

Solution:C. Review the risk management plan and project performance data.

To determine the validity of concerns that overages are a result of poor risk planning techniques, the risk manager should review the risk management plan and project performance data. This will help to identify any gaps in the plan that may have contributed to the overages and any trends or patterns that may indicate poor risk planning techniques.

The other options are incorrect.

Conducting a survey to gather opinions from all project stakeholders does not provide sufficient evidence to determine the validity of the concerns.

Defending the risk management plan and planning techniques ignores the concerns and immediately dismisses their potential validity. This defensive stance could have long-lasting negative implications and is not objective or collaborative.

Comparing the overages with the planned budget and schedule may help to identify the extent of the overages, but it may not provide insight into the root cause of the overages.

Due to budget constraints, the project team decides to use low-cost equipment with high testing uncertainty. This has led to discrepancies and wasted resources. A team member suggests using high-quality equipment with lower test uncertainty to improve testing quality. The team member states that the high-quality equipment will cost more, but the increased testing quality would reduce waste, decrease risks, and lower overall costs.

How should the project risk manager respond to this proposal?

A. A.
B. Reject the team member's proposal due to the budget constraints and follow the original quality management plan.
C. B.
D. Accept the proposal because the high-quality equipment produces precise test results with lower test uncertainty.
E. C.
F. Evaluate the proposal to determine if high-quality equipment will lower test uncertainty enough to justify the increased cost.
G. D.
H. Implement the proposed change because the budget is not an issue when quality assurance is taken into consideration.

Solution: C. Evaluate the proposal to determine if high-quality equipment will lower test uncertainty enough to justify the increased cost.

There is a concern about unstable results and production discrepancies and the team member has proposed an alternative strategy to address these issues. The risk manager should evaluate the proposal to determine whether to accept or reject the proposal. In this case, using low-cost equipment with high testing uncertainty led to unstable test results and discrepancies, which increased waste and overall costs. On the other hand, using high-quality equipment with lower test uncertainty would increase testing quality and reduce waste, but it costs more than the low-cost equipment. Therefore, the risk manager should evaluate the proposal to determine if the benefits of using high-quality equipment outweigh the costs.

The other options are incorrect.

The risk manager must evaluate the cost-effectiveness of the proposal in order to make a well-informed decision about whether to accept, reject, or implement it.

A junior risk manager approaches a senior risk manager seeking advice on an analysis method to enhance sample representativeness and improve simulation accuracy. The senior risk manager says that an analysis method that uses stratified sampling without replacement would be best.

Which analysis method should the senior risk manager suggest?

A. A.
B. Impact Analysis
C. B.
D. Monte Carlo simulation
E. C.
F. Latin Hypercube
G. D.
H. Linear regression analysis

Solution: C. Latin Hypercube

The analysis method that the senior risk manager should suggest is Latin hypercube. This method uses stratified sampling without replacement and is particularly useful in Monte Carlo simulations to generate samples of input values from probability distributions.

By ensuring that each input parameter is sampled across its entire range of possible values, Latin hypercube sampling can improve the representativeness of the sample and increase the accuracy of the simulation results. This can lead to better decision-making and risk management.

The other options are incorrect.

Monte Carlo analysis is a broader method used to analyze uncertainty by simulating a model many times and calculating the average outcome.

The purpose of a risk impact analysis is to help stakeholders understand the potential consequences of risk and to develop appropriate risk response strategies.

Linear regression analysis is a statistical technique used to model the relationship between a dependent variable and one or more independent variables.

A project manager is working with the project team to prioritize identified project risks, but several stakeholders are interfering with the process. The stakeholders have competing priorities and are attempting to influence the prioritization process to favor their priorities.

What should the project manager do in order to ensure that the team prioritizes risks appropriately?

A. A.
B. Perform qualitative and quantitative risk analysis.
C. B.
D. Engage the project sponsor to decide.
E. C.
F. Refer to the stakeholder analysis prioritization tree.
G. D.
H. Perform a review of organizational process assets.

Solution: A. Perform qualitative and quantitative risk analysis.

Quantitative and qualitative risk analysis are methods to organize and prioritize the identified risks. Using these methods, the project manager can prioritize the risk rather than the stakeholders. Qualitative risk analysis involves assessing the likelihood and impact of identified risks based on their characteristics and the project context.

Quantitative risk analysis involves using numerical techniques to analyze the probability and impact of identified risks. By performing both qualitative and quantitative risk analysis, the project manager can gain a comprehensive understanding of the risks associated with the project and prioritize them accordingly without stakeholder influence.

The other options are incorrect.

Engaging the project sponsor is not necessary and could potentially increase biased risk prioritization. The project manager should be able to appropriately prioritize risks without intervention from the project sponsor.

A stakeholder analysis tree would only be helpful in understanding stakeholder priorities, not balancing competing priorities in an unbiased way.

Organizational process assets may provide high-level guidelines, but may not be helpful in directly addressing prioritizing risks.

An executive stakeholder has crucial decision power on the execution and success of a project. How should this stakeholder's importance be reflected in the stakeholder engagement plan?

A. A.
B. Describe the executive's support level, expectations, risk threshold, and appropriate communications for various project needs.
C. B.
D. Include the executive in an organizational chart and illustrate any affinities or hostilities with other stakeholders.
E. C.
F. Label the executive as "supportive" and ensure that email, phone numbers, and absence/vacation times are up to date.
G. D.
H. Describe the executive's involvement in similar past projects in order to decide the appropriate engagement level.

Solution:A. Describe the executive's support level, expectations, risk threshold, and appropriate communications for various project needs.

The stakeholders should be ranked by their support level, expectations, risk threshold, and appropriate communications for various project needs. This can be done by conducting a stakeholder analysis and identifying the executive's role in the project, their level of influence, and their potential impact on the project's success. The project manager should also consider the executive's communication preferences to create an individual engagement strategy to ensure that they are kept up to date on project progress and any issues that arise.

The other options are incorrect.

Including the executive in an organizational chart and illustrating any affinities or hostilities with other stakeholders may be helpful, but would not comprehensively capture the executive's importance.

Ensuring that email and phone numbers are up to date is important and captures basic details but does not assist in reflecting the executive's importance. There is also no proof that the executive is supportive.

Describing the executive's involvement in similar past projects can be a helpful starting point in some cases, but projects vary and the executive's support level, expectations, and risk threshold will likely vary from project to project as well.

A project team member identifies, but does not document, a risk early in the project, because it is considered to be insignificant. This risk occurs later and negatively impacts the project.

What could the project manager have done differently to avoid this situation?

A. A.
B. Conduct meetings early in the project to confirm that the team is familiar with risk identification requirements.
C. B.
D. Communicate the punishment and rewards policy to the project team during the project kick-off meeting.
E. C.
F. Provide project team members with access to advanced simulation tools and templates for decision tree diagrams.
G. D.
H. Provide team members with a risk management prompt list early in the project to ensure risks are not missed.

Solution: A. Conduct meetings early in the project to confirm that the team is familiar with risk identification requirements.

Conducting meetings and reviews early in the project will help to identify any knowledge gaps and ensure that all team members are aware of the importance of identifying and documenting risks, even if they are considered to be trivial. By doing so, the project manager can help prevent situations where risks are ignored and documented, which can negatively impact the project later on. It is important for the project manager to take proactive steps to ensure that all team members are aware of the importance of risk identification and documentation to avoid negative impacts on the project.

The other options are incorrect.

The team identified the risk, but they deemed it insignificant and decided not to document it, indicating that the issue is not with the identification of risks, but the importance of documenting them.

Communicating the punishment and rewards policy or providing access to simulation tools and templates does not effectively address the issue of team members not documenting risks.

Providing a prompt list early in the project can be helpful, but it may not be enough to ensure that all risks are documented, especially if the risks are deemed unimportant.

A race director is planning a marathon with US$80,000 in upfront costs that will be offset by race fees. The remainder of the funds will be donated to a national charity. State law mandates that all money paid by the participants must be refunded if the race is canceled for any reason.

Which of the following is the best example of a risk mitigation response?

A. A.
B. Inform the charity that they will not receive any donations if the race must be canceled.
C. B.
D. Purchase an insurance policy to cover potential losses in the event the race is canceled.
E. C.
F. Ensure that the runners know that the race will only be canceled in the event of an emergency.
G. D.
H. Require runners to sign a contract to waive their right to a refund if the race is canceled.

Solution: B. Purchase an insurance policy to cover the potential losses in the event the race is canceled.

Threat mitigation occurs when action is taken to reduce the probability of occurrence and/or impact of a threat. Purchasing an insurance policy is a proactive measure that effectively mitigates the impact of the financial risk associated with the potential cancellation of the race, ensuring compliance with state law and protecting the financial

interests of both the race director and the charity. By purchasing insurance, the race director can transfer the risk of financial loss due to cancellation to the insurance company. This can help protect the race director from incurring significant financial losses in the event of a cancellation, while also ensuring that participants are refunded their fees as required by state law.

The other options are incorrect.

Informing the charity that it will not receive funds is incorrect because it does not solve the problem or address the upfront costs.

Telling runners that the race will only be canceled in the event of an emergency does not address the financial risk and may not be sufficient to protect against potential losses.

Requiring runners to waive their right to a refund is not a recommended risk mitigation response as it may not be legally enforceable and could result in negative publicity and damage to the race director's reputation.

A risk manager creates a survey for project stakeholders to obtain their opinions on high levels of risk. Key questions in the survey address acceptable levels of cost increases and schedule delays.

What is the risk manager trying to determine?

A. A.
B. Risk urgency
C. B.
D. Risk exposure
E. C.
F. Risk threshold
G. D.
H. Risk attitude

Solution:C. Risk threshold

A risk threshold is the measure of acceptable variation around an objective that reflects the risk appetite of the organization and stakeholders. To develop a risk response plan, the risk manager needs to understand risk thresholds.

The other options are incorrect.

Risk urgency is associated with the response plan, not necessarily a risk attitude attribute.

Risk exposure is an aggregate measure of the potential impact of all risks at any given point in time, not necessarily an input that stakeholders will provide.

Risk attitude is a disposition toward uncertainty, adopted by individuals and groups, driven by perception, and evidenced by observable behavior. Risk attitude is the preference of a group of individuals to evaluate risk.

A project encountered unforeseen circumstances, resulting in a higher level of risk than originally anticipated. The risk manager identified a new response strategy to address the elevated risk level more effectively, but the new strategy differs from the original plan.

What should the risk manager do?

A. A.
B. Implement only those responses that are compatible with the risk management plan.
C. B.
D. Update the risk management plan and implement the newly developed response to address the risk.
E. C.
F. Wait until the next progress meeting to describe the events leading to the elevated risk level.
G. D.
H. Acknowledge the risk and not instruct the project team not to take any action unless the risk occurs.

Solution:B. Update the risk management plan and implement the newly developed response to address the risk.

When a project encounters unforeseen circumstances that result in a higher level of risk than originally anticipated, the risk manager should identify a new response strategy to address the elevated risk more effectively. If the new strategy differs from the original mitigation plan, the risk manager should update the risk management plan and implement the new response to address the risk. This ensures that the project team is equipped to manage the risk effectively and efficiently.

The other options are incorrect.

Implementing the obsolete plan is not practical and could lead to impaired risk mitigation and potential project failure.

Waiting until the next progress meeting to describe the events leading to the elevated risk level is not a proactive or timely response and the delay may have serious consequences.

Acknowledging the risk without taking action is not proactive, ignores the change in risk level, and could result in significant negative impacts if the risk materializes.

It was discovered that the likelihood of several project risks was overestimated during the risk identification process. This discrepancy can be attributed to the influence of bias while identifying risks.

What could the project manager have done to avoid this situation?

A. A.
B. Prepared a detailed report describing the project business case.
C. B.
D. Challenged assumptions made during the risk identification process.
E. C.
F. Requested that the sponsor verify the validity of the identified risks.
G. D.
H. Assembled stakeholders who were experienced in risk identification.

Solution:B. Challenged assumptions made during the risk identification process.

To avoid this situation, the project manager should have challenged the assumptions made during the risk identification process. Additionally, taking a systematic approach to risk management, identifying key risks, encouraging open and honest communication, and using quantitative risk analysis techniques can be helpful in avoiding biases during risk identification.

The other options are incorrect.

Creating a detailed report may be helpful, but would not directly address biased risk identification.

Relying on the project sponsor to verify the identified risks may not be possible and may address the issue. Further, the sponsor may not have the specific knowledge or insight to identify and remove biased assumptions. The project manager should attempt to remove bias and lead verification measures.

Experienced stakeholders may not reduce bias and may even introduce additional bias.

When using the risk register to manage the cost risk analysis, which of the following techniques models the way correlation arises, and avoids the need to estimate the correlation coefficients?

A. A.
B. Risk Monte Carlo analysis
C. B.
D. Risk driver method
E. C.
F. Risk scatter diagram
G. D.
H. Risk RACI matrix

Solution:B. Risk driver method

When using the risk register to manage cost risk analysis, the risk driver method is the technique that models the way correlation arises and avoids the need to estimate the correlation coefficients. This method identifies the drivers of cost risk and models their impact on the project's objectives. This method is particularly useful when dealing with complex projects with many interrelated risks. It allows for a more accurate and comprehensive analysis of cost risk, which can lead to better decision-making and risk management. Additionally, the risk driver method can help to identify the most critical drivers of cost risk, which can inform risk response planning and resource allocation.

The other options are incorrect.

Monte Carlo analysis, risk scatter diagram, and risk RACI matrix are not specifically related to modeling correlation in cost risk analysis.

A Monte Carlo simulation is a technique to simulate probability distribution for risk on an objective.

A risk scatter diagram is a graph that shows the relationship between two variables. It may also be used as a technique for identifying the root causes of a problem, but it does not specifically address how correlation arises between risks or avoid the need to estimate correlation coefficients.

A RACI matrix is used to assign responsibilities for risk management.

During a major project review, the project manager discovers that large groups of internal management issues are obstructing progress. The project manager reviews the risk management plan and discovers risk categories largely focused on technical and customer-related risks, not internal issues. The project still has several months before completion and the project manager wants to revise the risk management plan to account for internal risk areas.

Who should the project manager collaborate with to revise the risk management plan at this stage of the project?

A. A.
B. Risk manager, technical manager, and customers
C. B.
D. Project sponsor, product owner, and risk owners
E. C.
F. Risk manager, product owner, and risk owners
G. D.
H. Risk manager, risk owners, and project sponsor

Solution:D. Risk manager, risk owners, and project sponsor

The project manager should collaborate with the risk manager, risk owners, and project sponsor to revise the risk management plan at this stage of the project. It is important to identify and address any internal management issues that may be obstructing progress to ensure the success of the project. The risk manager is responsible for overseeing the risk management process and ensuring that the risk management plan is updated as needed. Risk owners are responsible for identifying and managing risks within their respective areas of responsibility. The project sponsor is responsible for providing overall direction and support for the project. Collaboration between these key stakeholders can help ensure that the revised risk management plan is comprehensive and effective in addressing internal management issues.

The other options are incorrect.

The primary focus is to revise the risk management plan to address the missing risks associated with the internal management issues, which are obstructing progress.

Including the technical manager may be helpful in some circumstances, but their involvement may not be necessary or relevant.

Customers would not be helpful when reviewing internal risk areas.

The product owner is a key stakeholder, but of the options provided, they are not as directly involved in risk management as the risk manager, risk owners, and project sponsor.

A risk manager is notified that critical project deliverables are delayed because a key subject matter expert (SME) does not have enough time to allocate to the tasks.

What should the risk manager do to address this situation?

A. A.
B. Dismiss the SME from the project and replace them immediately with another SME.
C. B.
D. Confront the SME and remind them of their commitments and responsibilities.
E. C.
F. Assess the impact of the delay and determine the urgency and severity of the situation.
G. D.
H. Implement a workaround plan by outsourcing the work to external contractors.

Solution:C. C. Assess the impact of the delay and determine the urgency and severity of the situation.

The best course of action for the risk manager in this situation would be to assess the impact of the delay and determine the urgency and severity of the situation. This will help the risk manager to make an informed decision on how to proceed. It is important to understand the potential consequences of any action taken and to weigh the risks and benefits before making a decision.

The other options are incorrect.

Dismissing the SME or confronting them is not the best approach as it could lead to further delays and damage the relationship with the SME.

Communicating with the SME is important and should be part of the process for addressing the issue, but the most important thing at this stage is to proactively address the situation by assessing the situation and gathering the information necessary to make an informed decision on how to move forward. Further, there may not be additional resources available that could act as an adequate replacement.

Implementing a workaround plan by outsourcing the work to external contractors should only be considered after a thorough assessment of the situation as it could lead to additional costs and quality issues and may not be necessary or possible.

A risk manager is working on a deployment project to replace some equipment that will soon become obsolete. A review of the schedule and cost has revealed that the risk of a 5-month delay is likely and may introduce additional risk.

How should the risk manager address risks from the delay?

A. A.
B. Analyze the business impact in order to reprioritize the deliverables.
C. B.
D. Request to negotiate with the vendors for a longer support period.
E. C.
F. Ask to order new equipment immediately so there will be no support issue.
G. D.
H. Acknowledge these constraints and take them into account when planning.

Solution: A. Analyze the business impact in order to reprioritize the deliverables.

The risk manager should analyze the business impact in order to reprioritize the deliverables to address risks from the delay. This will help to ensure that the most critical deliverables are completed on time and within budget, even if there is a delay in the project schedule. This is in line with the risk response planning process, which involves developing options and actions to enhance opportunities and reduce threats to project objectives.

The other answer choices are incorrect.

Ordering new equipment immediately or negotiating with vendors may be helpful, but it does not directly address or mitigate the impact.

Simply acknowledging constraints does not address the impact that the risks may have on the project.

A regional vendor for custom-manufactured oil platforms is awarded a contract to design, manufacture, and install 40 offshore oil platforms. Installation of these platforms requires precision placement and stable seas to properly install the deep water structure. There are several schedule and cost incentives for early completion, and the project manager asks the project risk manager to perform an analysis evaluating the probability of meeting the incentive dates. While researching methods that could be used for performing this analysis, the risk manager realizes that there are existing spreadsheets within the organization. The risk manager is considering performing project evaluation and review technique (PERT) analysis with software owned by the organization. The other option is to buy a commercial risk analysis software suite that will perform Latin Hypercube Monte Carlo simulations for US$975.

What would be the most analytical option for this probability assessment?

A. A.
B. Since a schedule risk assessment involves multiplication and division of schedule durations against specific risk events, the Monte Carlo simulation software is the best option.
C. B.
D. The commercial product that performs the PERT analysis is the best option because a schedule risk assessment involves the summation of uncertainties added or subtracted from or to schedule dates.
E. C.
F. A schedule risk assessment involves multiplication and division of schedule durations against specific risk events, a spreadsheet and using a PERT analysis is the best option.
G. D.
H. PERT analysis is a proven, highly accurate method for schedule-based risk and is not impacted by Monte Carlo simulation's limitation of

summation modeling where only addition and subtraction of uncertain values are used.

Solution:A. Since a schedule risk assessment involves multiplication and division of schedule durations against specific risk events, the Monte Carlo simulation software is the best option.

The best analytical option for the probability assessment of meeting the incentive dates for the offshore oil platforms project is the commercial risk analysis software suite that performs Latin Hypercube Monte Carlo simulations. Monte Carlo simulations can handle complex calculations involving multiplication and division of schedule durations against specific risk events, which cannot be easily performed using PERT analysis or spreadsheets. Additionally, the commercial risk analysis software suite that performs Latin Hypercube Monte Carlo simulations is a more advanced and accurate option compared to using existing spreadsheets within the organization. Therefore, the risk manager should consider using the commercial risk analysis software suite to perform the probability assessment.

A project manager is running a high-cost telecommunications project. There is a monthly status meeting, and the risk manager should provide an update to the project team and project sponsors on major risks.

What risk-related information should be included in the monthly status meeting of this complex project?

A.
B. A.
C. Top priority risks at present, risks closed in the last period, milestone changes.
D. B.
E. Top priority risks at present, risks that have occurred, risk management plan.
F. C.
G. Top priority risks at present, risks that have occurred, changes in project scope.
H. D.
I. Top priority risks at present, risks that have occurred, risks closed in the last period.

Solution:D. Top priority risks at present, risks that have occurred, risks closed in the last period.

The monthly status meeting should include the top priority risks at present, risks that have occurred, and risks closed in the last period. This information will help the project team and project sponsors understand the current state of the project and any potential risks that may impact its success. It is important to regularly review and update the risk management plan to ensure that it remains effective and relevant to the project.

The other options are incorrect.

Milestone changes, the risk management plan, and changes in scope may not be directly related to risk updates and may not provide all of the information necessary to provide an effective update. The focus should be on the top priority risks, risks that have occurred recently, and the status of risks that have been closed in the last period. These details allow the team and stakeholders to stay informed about the project's risk landscape and the effectiveness of the risk management efforts.

The risk manager for a data center infrastructure project is preparing to perform a final post-project risk audit. Several stakeholders do not think that audits are valuable and are impatient with the process. They request that it be skipped in order to begin work on the next project.

How should the risk manager describe the purposes of the audit?

A. A.
B. To review the performance of project team members and make a plan to provide training to fill knowledge or skill gaps.
C. B.
D. To document all risks that were identified for the first time and prepare appropriate response actions to address them.
E. C.
F. To assess the activities of risk action owners for all risks that occurred and provide feedback on their performance.
G. D.
H. To evaluate the effectiveness of the risk management process and provide recommendations for improvement.

Solution:D. To evaluate the effectiveness of the risk management process and provide recommendations for improvement.

The purpose of the risk audit is to evaluate the effectiveness of the risk management process and provide recommendations for improvement. The risk manager should explain to the stakeholders that skipping the audit could lead to unidentified risks and potential negative impacts on the project. It is important to identify and address any weaknesses in the risk management process to ensure the success of future projects.

The other options are incorrect.

Risk audits should focus on the risk management process itself, rather than the performance of individual team members or risk action owners.

Documenting risks and preparing response strategies should have been done during the project lifecycle, not after the project was completed. It is important to document new risks identified during the audit, but this is not the primary goal of the audit.

A heavy industrial design firm has over US$3 billion in current contract value. As a result of quantitative risk analysis of a geographically separated project, opportunities have been identified and assessed as high priorities for the project.

What is the most effective method to capture these opportunities?

A. A.
B. Include them in the lessons learned.
C. B.
D. Schedule a project team meeting.
E. C.
F. Notify the project stakeholders.
G. D.
H. Establish a contingency reserve.

Solution:D. Establish a contingency reserve.

The most effective method to capture opportunities identified through quantitative risk analysis is to establish a contingency reserve. A contingency reserve can help plan for opportunities by providing a source of funding or resources to take advantage of the opportunity if it occurs. By having a contingency reserve in place, the project team can

be better prepared to respond to unexpected events and take advantage of opportunities.

The other options are incorrect.

Including the assessed opportunities in the lessons learned is not proactive and does not address the action needed to capture opportunities.

A project team meeting is not the most effective way to capture the opportunities that have already been identified and assessed as high priorities.

Notifying the project stakeholders would not be the most proactive action to capture the opportunities.

The risk manager is currently performing the monitoring and reporting process. Which of the following is a direct input for ongoing schedule metrics?

A. A.
B. Work breakdown structure (WBS)
C. B.
D. Risk breakdown structure (RBS)
E. C.
F. Critical path method (CPM)
G. D.
H. Organizational breakdown structure (OBS)

Solution: A. Work breakdown structure (WBS)

The work breakdown structure is an input for schedule metrics. It provides a hierarchical breakdown of the project into smaller, more manageable components, which can then be scheduled and monitored. Other inputs for schedule metrics include the project schedule, project calendars, and resource calendars.

The other options are not direct inputs for ongoing schedule metrics.

RBS is a hierarchical representation of potential sources of risks.

CPM is used to determine the longest sequence of dependent tasks and is not an input for schedule metrics directly. CPM helps in schedule planning and sequencing but does not provide ongoing metrics for monitoring schedule performance.

OBS is a hierarchical representation of the project organization, which illustrates the relationship between project activities and the organizational units that will perform those activities.

During the execution phase of a project, a project team identifies a previously unforeseen risk that could delay the project for several months. What should the project manager do first?

A. A.
B. Update the risk register.
C. B.
D. Perform qualitative risk analysis.
E. C.
F. Update the project sponsors.
G. D.
H. Plan for additional budget.

Solution:A. Update the risk register.

The project manager should first update the risk register when a previously unforeseen risk is identified during the execution phase of a project. This will help ensure that the risk is properly documented and tracked, and that appropriate risk response strategies can be developed and implemented.

The other options are incorrect because the risk register should be updated first.

Performing qualitative risk analysis, updating the project sponsors, and planning for additional budget may also be necessary depending on the specific circumstances of the risk, but updating the risk register should be the first step.

After a risk review meeting, three key risks are identified as likely to be realized. The project manager requests a risk scenario be calculated to establish the impact on the budget.

What forecasting methodology should the project manager request be utilized to calculate the impact?

A. A.
B. Estimate to complete (ETC)
C. B.

D. Budget at completion (BAC)
E. C.
F. Estimate risk completion (ERC)
G. D.
H. Estimate at completion (EAC)

Solution: D. Estimate at completion (EAC)

EAC is a forecasting technique used to estimate the total cost of completing a project based on the project's past performance and current performance. It takes into account the actual costs incurred to date, the budgeted cost for the remaining work, and the budgeted cost for any new work that may be required. EAC is calculated by adding the actual costs incurred to date to the estimated cost of the remaining work, which is based on the original budgeted cost for the remaining work and adjusted for any changes in scope or assumptions. EAC can be calculated using several different formulas, including the following:

EAC = AC + BAC - EV

EAC = AC + (BAC - EV) / CPI

EAC = AC + [(BAC - EV) / (CPI * SPI)]

Where AC is actual cost, BAC is budget at completion, EV is earned value, CPI is cost performance index, and SPI is schedule performance index.

The other options are incorrect.

Estimate to complete (ETC) is a forecasting methodology that calculates the expected cost to finish the remaining project work and would not be the correct method to calculate the impact. This method tells you how much more money will be spent on the project.

The budget at completion (BAC) is the total budget available for the project and is not the correct forecasting methodology to consider the impact on the budget.

The estimate risk completion (ERC) is not a valid forecasting methodology that can be used to calculate the impact on the budget.

A risk manager is working with an experienced project team on a complex project. During production, a risk materializes and the team meets to discuss the

implementation of the appropriate risk response strategy. Despite planning risk responses as a team, the risk manager notices that many of the team members seem extremely uncomfortable and are reluctant to implement the risk response.

What should the risk manager have done in order to better understand how the team would react in this situation?

A. A.
B. Identified the team's risk attitude.
C. B.
D. Devised a more precise response plan.
E. C.
F. Explained that the project is risky.
G. D.
H. Requested a more adaptable team.

Solution:A. Identified the team's risk attitude.

The risk manager should have identified the team's risk attitude in order to better understand how they would react in a situation where a risk materialized. By identifying the team's risk attitude, the risk manager can better understand how they are likely to respond to future risks and can adjust their risk management strategy accordingly. This will help to promote transparency and ensure that the team is comfortable with the chosen risk response. In this case, it seems that the team is more risk averse than the risk manager may have assumed.

The other options are incorrect.

There is no indication that the risk response is ambiguous, the issue is the team's level of comfort with implementing the risk response.

The team is experienced and should understand that there are risks associated with all projects, especially complex ones.

Requesting a more adaptable team does not ensure that they would have a risk attitude that aligns with the response strategy. There is no indication that the current team is not adaptable, only that they feel uncomfortable when it comes to addressing the risk.

A project manager has just taken over an ongoing project from another project manager. During a review of the project management plan, the new project manager realizes that the cost variance and schedule variance are largely negative. Several reported issues have not been resolved, vendors have not been paid for work done, and risk mitigation is quickly depleting the budget.

Which action should the original project manager have taken to avoid this situation?

A. A.
B. Identified appropriate and comprehensive project handoff procedures.
C. B.
D. Added a substantial contingency reserve budget to the project charter.
E. C.
F. Identified high-level risks and responses in the project planning phase.
G. D.
H. Ensured that governance controls were approved and implemented.

Solution:C. Identified high-level risks and responses in the project planning phase.

The original project manager should have identified high-level risks and risk responses in the project planning phase. Identifying high-level risks and responses in the project planning phase can help to ensure that potential risks are identified and addressed before they become issues. This can help to mitigate risks and ensure that appropriate risk response strategies are in place to address any issues that may arise.

The other answer choices are not as effective in avoiding this situation.

Adding a contingency budget to the project charter may help to mitigate risks, but it does not address the root cause of the issues.

Identifying project handoff procedures and ensuring that project governance controls were approved and implemented are important, but they may not have prevented the negative cost variance and schedule variance.

During the execution of repair work, the root cause of the damage was discovered to be failures that occurred during the construction phase. The same contractor who performed the construction work is performing the repairs. Because of this, the CEO wants to negotiate with the contractor for a reduced price.

What should the project manager do?

A. A.
B. Negotiate with the contractor to cancel the repair work and pay compensation for the previous work.
C. B.
D. Negotiate the repair work with the contractor based on a shared risk-reward relationship.
E. C.
F. Proceed with the contractor without mentioning the issue since the previous work is already closed.
G. D.
H. Proceed with the contractor and subtract the amount paid for supervision of the previous work.

Solution:B. Negotiate the repair work with the contractor based on a shared risk-reward relationship.

Since the same contractor performed the construction phase in which the failures have occurred, a collaborative approach is required. The project manager should negotiate the repair work with the contractor based on a shared risk-reward relationship. This means that both parties share in the risks and rewards of the project, and the contractor is incentivized to complete the repairs efficiently and effectively.

The other answer choices are incorrect because they do not benefit this situation, and the repair work cannot be canceled as it does not fall in the original scope. It is important for the project manager to ensure that the repair work is completed effectively and efficiently while also ensuring that the cost is reasonable and fair for both parties.

During project execution a new risk is identified and the stakeholders request that the project manager take immediate steps to avoid it. However, after analysis, the project team disputes that strategy because the risk should be classified as an opportunity and suggests developing a strategy to exploit it rather than avoid it. The stakeholders disagree and state that they want all newly identified risks to be avoided whenever possible.

How should the project manager address this situation?

A. A.
B. Meet with the stakeholders to discuss the new risk and clarify the criteria for classifying a risk as a threat or an opportunity.

C. B.
D. Escalate the issue to senior leadership and request that they make the final determination regarding response strategies.
E. C.
F. Instruct the project team to classify the newly identified risk as a threat and immediately develop a strategy for avoiding it.
G. D.
H. Classify the newly identified risk as an opportunity and develop a response plan to exploit it without involving stakeholders.

Solution:A. Meet with the stakeholders to explain the criteria for classifying a risk as a threat or an opportunity.

The team identified the new risk as an opportunity, but the stakeholders requested that all risks be addressed the same way which may indicate that they are looking at all risks as being negative. The project manager should meet with the stakeholders to discuss the new risk and clarify the criteria for classifying a risk as a threat or an opportunity. This will help to ensure that everyone has a clear understanding of the risk and its potential impact on the project objectives. The project manager can also use this opportunity to gather input and perspectives from the stakeholders and to work towards a consensus on the best approach for managing the risk. It is important for the project manager to facilitate open and honest communication with the stakeholders to ensure that everyone's concerns and perspectives are heard and considered.

The other options are incorrect.

Making a decision to classify the risk as an opportunity without involving the stakeholders is inappropriate and can lead to a wide array of negative outcomes such as interpersonal conflicts, confusion, low morale, and misalignment. Similarly, classifying the risk as a threat and planning to avoid it ignores the team's analysis and the potential business value of exploiting the opportunity. This can lead to friction between the team and stakeholders and inefficient risk management.

Escalating the issue is premature at this time and should only be considered if it becomes necessary.

A project team is working to establish a radio communication system for a network of remote outposts as part of a major project designed to monitor and prevent

environmental crises. The team must secure the necessary licenses to use a specific radio frequency for communications. New radio units must also be installed on each outpost, but there is a lot of uncertainty and risk associated with the installation due to weather and other environmental factors.

Which of the following project life cycles would work best for this undertaking?

A. A.
B. Predictive
C. B.
D. Agile
E. C.
F. Hybrid
G. D.
H. Iterative

Solution: C. Hybrid

A hybrid life cycle would work best for this undertaking. A hybrid life cycle is a combination of a predictive and an adaptive life cycle. Those elements of the project that are well-known or have fixed requirements follow a predictive development life cycle, and those elements that are still evolving follow an adaptive development life cycle. In this case, the use of a specific radio frequency for communications and the need to acquire the appropriate licensure are fixed requirements. The installation of new radio units on each vessel is still evolving as it has a higher level of uncertainty and risk attached to it. A hybrid approach allows for structured planning regarding the fixed requirements and flexibility in dealing with the uncertainty and risk associated with the installation.

The other options are not as well aligned.

A predictive life cycle is not ideal in this scenario due to the high levels of risk and uncertainty associated with the installation. The licensure process may align with a predictive approach, but the volatility of installation is less predictable.

The adaptive life cycle is not ideal because while the installation process has some uncertainty associated with it and may benefit from adaptive approaches, the use of a designated frequency and the need to obtain licenses are specific requirements that

are not subject to change and require a more structured approach to planning for that requirement.

An iterative lifecycle is not appropriate in this case because the project is based on a systemic installation across a network of outposts that must all be able to communicate with each other.

Which of the following should the risk manager consider as external environmental factors when creating the risk management plan?

A. A.
B. Government regulations, industry best practice templates, organizational standard processes, and competitor landscape
C. B.
D. Government regulations, industry standards, conditions of the marketplace, and competitor landscape
E. C.
F. Government regulations, risk categories, organizational standard processes, and competitor landscape
G. D.
H. Government regulations, human resource policies and procedures, organizational standard processes, and competitor landscape

Solution:B. Government regulations, industry standards, conditions of the marketplace, and competitor landscape

Projects operate in environments that may have an influence on them. These influences can have a favorable or unfavorable impact on the project. External environmental factors include conditions that influence, constrain, or direct the project and are not under the immediate control of the project team. These factors can influence the Plan Risk Management processes at many points of the project. These factors include academic and industry studies, published material on similar projects, marketplace conditions, laws and regulations, political climate, competitors, and organizational culture. The other category of influence is organizational process assets. These are typically internal and may arise from the portfolio, program, or another project. These assets include plans, processes, policies, procedures, and knowledge bases used by the organization. Examples are change control procedures, templates, and lessons learned repositories. When considering external environmental factors,

government regulations, industry standards, conditions of the marketplace, and competitor landscape fit into this category. The other answers include organizational standard processes which is an example of the organizational process assets.

A cosmetic company would like to expand into the pharmaceutical market. To assist in this, the company acquires an existing company that has established resources and experience operating in the pharmaceutical market. The new pharmaceutical products involve higher levels of governance and stricter compliance regulations. While planning for a new pharmaceutical project, the project manager realizes that the majority of stakeholders and team members have worked on cosmetic projects in the past, but only a few have experience with pharmaceutical projects.

What should the project manager emphasize when identifying risks for the project?

A. A.
B. Fostering project team collaboration by facilitating meetings and teambuilding workshops.
C. B.
D. The compliance and regulatory risks associated with the pharmaceutical industry.
E. C.
F. Individuals who have worked on pharmaceutical projects should lead the risk identification process.
G. D.
H. Advocating for additional resources that have more experience with the pharmaceutical industry.

Solution:B. The compliance and regulatory risks associated with the new pharmaceutical product.

The project manager should emphasize the compliance and regulatory risks associated with the pharmaceutical industry when identifying risks for the project. This is because the new pharmaceutical products involve higher levels of governance and stricter compliance regulations, which can pose significant risks to the project if not properly addressed. It is important to ensure that the team members and stakeholders are aware of these risks and take appropriate measures to mitigate them.

Other options are not as effective.

Fostering project team collaboration is helpful in general, but may not directly address the importance of identifying compliance-related risks.

Advocating for additional resources or having individuals with pharmaceutical experience lead the risk identification process may be helpful but the compliance risks should be the primary focus and the entire team should be aware of the risks and participate in the risk identification process.

During a high-risk project, several risks have been materialized and responses have been implemented, However, the project still appears to be in trouble. The project manager is concerned that the risk management rules are not being carried out as specified.

What should the project manager do to identify the weaknesses of the risk management process?

A. A.
B. Transfer the risks.
C. B.
D. Update the risk register.
E. C.
F. Request a risk audit.
G. D.
H. Analyze the risks.

Solution:C. Request a risk audit.

Periodic risk audits help to identify the strengths and weaknesses in handling risks. This entails identifying any barriers to the effectiveness of the risk management process. Risk audits evaluate whether or not the risk management rules are being carried out as specified and whether or not they are adequate. These audits can help to determine whether or not the process is still relevant and is being used effectively..

The other options are incorrect because they do not address the core issue. .

Transferring the risks may not be appropriate and does not solve any process-based issues or weaknesses. .

Updating the risk register is not applicable at this stage because it has not yet been determined why the project seems to be in trouble. .

Risk analysis defines the characteristics of a risk and the degree to which it can impact objectives. In this case, there is no clear indication as to why the project appears to be in trouble, so risk analysis is not an effective way to identify the weaknesses of the risk management process.

Mid-project, a risk manager goes on medical leave and is replaced by a new risk manager. Before leaving, the original risk manager met with the new risk manager to thoroughly review and discuss the project and the risk management plan. During a status meeting, the new risk manager is notified that a known risk has materialized.

What is the appropriate course of action in this case?

A. A.
B. Initiate a change request to adjust the project's budget requirements.
C. B.
D. Perform a risk reserve analysis and utilize the management reserve.
E. C.
F. Follow the risk response plan produced by the original risk manager.
G. D.
H. Meet with the team to plan and implement a new response strategy.

Solution:C. Follow the risk response plan produced by the original risk manager.

In this scenario, it is best to follow the risk response plan that was developed by the original risk manager. This plan should outline the appropriate actions to take if a known risk materializes. By following this plan, the new risk manager can ensure that the project stays on track and that the risk is managed effectively. The original risk manager ensured knowledge transfer by proactively reviewing and discussing the risk management plan with the new risk manager before leaving. This collaborative review ensures that the new risk manager is aware of the details and strategies outlined in the risk management plan, including risk response plans.

The other options are incorrect.

Initiating a change request may not be necessary depending on the impact of the materialized risk.

A risk reserve analysis should be conducted after a risk response is implemented. This can help determine whether additional reserves are needed to address potential future

risks. In this case, the risk was known and a management reserve is a budget category used for unknown events.

Meeting with the project team to plan a new response strategy is not necessary because the risk was known and should have a predefined response strategy outlined in the risk management plan.

In a project that is critical to the organization, one of the contractors complains that approvals are lengthy and difficult to handle. The contractor mentioned this as it may impact the project schedule.

What should the risk manager do next?

A. A.
B. Reduce the risk by hiring additional resources.
C. B.
D. Add this risk to the risk register to be monitored.
E. C.
F. Escalate the risk to upper management.
G. D.
H. Discuss mitigation options with the team.

Solution:D. Discuss mitigation options with the team.

Risk mitigation is a risk response that involves decreasing the probability or impact of a threat. The project is critical to the organization, therefore, the risk manager should discuss mitigation options with the team. This allows for a collaborative approach to identifying and implementing appropriate risk responses. It is important to involve the team in the risk management process as they are often the ones with the most knowledge and expertise on the project. The risk manager can work with the team to identify potential solutions and develop a plan to address the issue.

The other answers are incorrect because the team should consider all options before making decisions.

Hiring additional resources for the team could potentially increase the project cost and does not guarantee decreased schedule impact.

Adding the risk to the risk register to review and monitor does not proactively address the issue thoroughly and is a slow process.

Escalating the risk should only be done if the team fails to find an acceptable solution, if the threat is outside the scope of the project, or if the proposed response exceeds the authority of the risk manager.

A project is behind schedule by several weeks and it is discovered that the cause of this is that there were several holidays within several months of implementation.

What should the project team have done to identify this risk and avoid this situation?

A. A.
B. Determined who is responsible for the preliminary document analysis.
C. B.
D. Predicted the cascade effect of holiday schedules on project timelines.
E. C.
F. Limited the amount of holiday time off during project implementation.
G. D.
H. Delayed initiating the project until after the observed holidays pass.

Solution:B. Predicted the cascade effect of holiday schedules on project timelines.

Holidays can cause delays in project timelines, which can lead to missed deadlines and increased costs. It is important to predict the cascade effect of holiday schedules on project timelines because holidays can have a significant impact on project schedules and deadlines. If the team had identified the risk and predicted the impact of holidays on project timelines, project teams could have planned accordingly and adjusted schedules to avoid delays and ensure that project objectives were met.

The other options are incorrect.

Preliminary document analysis is important but may not have avoided this issue.

Limiting the holiday time may not be enforceable, may be unethical, and can cause conflict and low morale.

Deferring the project may not be possible and may not solve the issue. Different regions and countries may have different holiday schedules, which can make it difficult to coordinate project activities across different locations.

A project manager is conducting risk analysis for a recurring project that has been a regular undertaking for the organization. The project is a routine task focused on updating internal data systems and is repeated once a year. One of the key

stakeholders is new to the organization and requests that the project team perform a quantitative risk analysis for the project.

How should the project manager respond?

A. A.
B. Prepare a detailed report for the new stakeholder summarizing the successful risk management techniques of past projects.
C. B.
D. Coordinate an additional risk analysis meeting with the project team to perform quantitative risk analysis as requested by the stakeholder.
E. C.
F. Facilitate a meeting with all project stakeholders and conduct a poll to determine if they agree with the new stakeholder's request.
G. D.
H. Describe the risk management strategy and explain that quantitative risk analysis for routine projects is not cost-effective or necessary.

Solution:D. Describe the risk management strategy and explain that quantitative risk analysis for routine projects is not cost-effective or necessary.

The project manager should respond by explaining the risk management approach for routine projects and the rationale for not performing a quantitative risk analysis. Defining and sharing a clear vision at the start of the project can enable good relationships and alignment throughout the project. The project manager should explain that performing a quantitative risk analysis requires significant effort and resources, and is better suited for high-priority risks or projects with a high level of complexity. The project manager should also explain that, for routine projects, the organization has established risk management processes and procedures that have been proven effective in identifying and managing risks. This will help the stakeholder understand the project's risk profile and the steps the project team is taking to manage risks.

The other options are incorrect.

Providing a report summarizing the successful risk management of past projects may be helpful, but is not sufficient on its own. The project manager should actively engage and mentor the stakeholder to build shared understanding and foster collaboration.

Polling stakeholders or coordinating an additional risk analysis meeting will likely result in delays, increased costs, confusion, and misalignment.

Section 2

During iteration planning, a risk manager discusses user stories with the team. While prioritizing the user stories, it was discovered that some high-value stories were also identified as having greater risks.

What should the risk manager do?

A. A.
B. Suggest that the stories with higher risk are included in the earlier sprints instead of the later ones.
C. B.
D. Recommend that the stories with lower risk are included in the earlier sprints to increase team motivation.
E. C.
F. Work with the product stakeholders to schedule which user stories should be worked on in which sprints.
G. D.
H. Conduct a Monte Carlo analysis to identify which user stories should be completed first.

Solution:A. Suggest that the stories with higher risk are included in the earlier sprints instead of the later ones.

When prioritizing user stories during iteration planning, if high-value stories are also identified as having greater risks, the risk manager should suggest that these stories be included in the earlier sprints instead of the later ones. Work that is unique, significant, risky, or novel can be prioritized to reduce the uncertainty associated with project scope at the start of the project before a significant investment has taken place. This approach allows the team to address the higher-risk stories earlier in the project, which can help to mitigate potential issues and reduce overall project risk.

The other options are incorrect.

Recommending that stories with lower risk be included in earlier sprints may improve motivation, but it does not address the potential risks associated with the high-value stories.

Working with stakeholders to schedule user stories may not be necessary and does not directly address the higher-risk stories in a timely manner.

Conducting a Monte Carlo analysis would be useful for risk analysis, but it does not necessarily address prioritization based on risk.

A project's outcome is highly sensitive to and dependent upon financial market activity. Therefore, the project's budget was planned using a conservative scenario with high exchange-rate variations. The company's financial advisor delivers daily exchange-rate forecasts to the project team. The financial advisor informs the project manager that an upcoming scenario could induce extremely high exchange rate variations.

What should the project manager do?

A. A.
B. Request that the financial advisor share this information with senior leadership and suggest pausing the project.
C. B.
D. Evaluate the probability and impact of market volatility and develop a plan for responding to changes in rate variations.
E. C.
F. Instruct the financial advisor to only deliver exchange-rate forecasts if they will negatively impact the outcome of the project.
G. D.
H. Meet with the project team to warn them that marketplace conditions will be negatively impacting deliverables.

Solution: B. Evaluate the probability and impact of market volatility and develop a plan for responding to changes in rate variations.

The project manager should evaluate the probability and impact of market volatility and develop a plan for responding to changes in financial market activity and rate variations. This will help to ensure that the project team is prepared to respond to

potential risks and make informed risk response decisions. It is important for the project manager to work closely with the financial advisor and other stakeholders to develop a plan of action that addresses the potential risks and ensures the success of the project.

The other options are incorrect.

The budget has anticipated high fluctuations in exchange rates, so an extremely high variation could present a threat or an opportunity. There is no justification at this stage to pause the project. There is also no indication that market conditions will have a negative impact, they may actually present opportunities that could be exploited and increase business value. Instructing the advisor to only present delivery forecasts if they may negatively impact the project is irresponsible, ignores potential opportunities, and is not proactive or advisable.

A project team must incorporate newly identified risks into the risk management framework. Stakeholders would like an update on which risks would have the highest impact on the project.

What should the project team do?

A. A.
B. Perform an assumptions analysis
C. B.
D. Perform a sensitivity analysis.
E. C.
F. Perform a root cause analysis.
G. D.
H. Perform a variance analysis.

Solution: B. Perform a sensitivity analysis.

A sensitivity analysis is a quantitative risk analysis method that determines which uncertainty has the greatest potential for an impact. Sensitivity analysis is used to determine which risks have the greatest potential impact on a project by analyzing the effect of individual project risks on the overall project outcome. It involves varying the values of individual project risks to see how they affect the project outcome. By using a sensitivity analysis, the team can identify which risks have the greatest potential impact on the project and prioritize them accordingly.

The other options are incorrect because they will not provide the necessary output.

An assumption analysis takes place during the planning phase and is used to identify, test, document, and validate assumptions.

Root cause analysis is used to identify additional and dependent risks, not determine impact, and is typically used preemptively.

A variance analysis is used to determine the cause and degree of difference between the baseline and actual performance.

A risk manager and the project team identified risks, performed a qualitative risk analysis, and prepared a risk response plan. However, delays in the response to risk events are affecting the project schedule.

How would assigning risk owners to the risk responses help avoid these delays?

A. A.
B. Risk owners work with the project sponsor to ensure the risk response plan will be effective.
C. B.
D. Risk owners identify likely constraints and assumptions before the risk events occur.
E. C.
F. Risk owners are responsible for implementing the appropriate risk response strategy.
G. D.
H. The risk report assigns responsibility for delays in the project schedule to the appropriate risk owner.

Solution:C. Risk owners are responsible for implementing the appropriate risk response strategy.

Risk owners are responsible for implementing the appropriate risk response strategy, which means they are accountable for taking action to address the identified risks. Risk owners for each risk are nominated as part of the risk identification process and confirmed while performing qualitative risk analysis. If a risk owner is not assigned to a risk, then the risk response will not be implemented in a timely manner and delays to the schedule could occur.

The other options are incorrect because they do not address the issue in this case, which is that delays in the response to risk events are affecting the project schedule.

Working with the sponsor to ensure the response plan will be effective may be helpful in general. However, the issue here is not that the responses are ineffective, but that they are not being executed in a timely manner.

Identifying assumptions and constraints is important, but does not address the fact that delays in implementing risk responses are affecting the project schedule.

The risk report is a project document that summarizes information on individual project risks and the level of overall project risk. While a risk report can be used to document delays, the goal is to identify a way to avoid the delays altogether by assigning risk owners.

A CEO wants to reduce the time spent on risk management activities. The risk manager opposes this decision but is overruled. The project team follows orders to move on to other project planning activities.

What should the risk manager have done to avoid this situation?

A. A.
B. Instructed the CEO to attend risk management meetings.
C. B.
D. Decreased the overall number of project risks identified.
E. C.
F. Communicated the outputs and value of risk management.
G. D.
H. Explained the importance of a generous planning schedule.

Solution:C. Communicated the outputs and value of risk management.

The risk manager should have communicated the outputs and value of risk management to the CEO in order to demonstrate the importance of the risk management activities. This would have helped the CEO understand the benefits of risk management and the potential negative consequences of reducing the time spent on it. By effectively communicating the value of risk management, the risk manager could have potentially convinced the CEO to reconsider their decision.

The other options are incorrect.

Instructing the CEO to attend meetings is inappropriate and may not be possible.

Decreasing the number of identified risks is irresponsible and not transparent. This could cause major issues.

Explaining the importance of a generous schedule focuses solely on the schedule component of the situation and provides no insight into the risk management process. The CEO should be educated on the outputs and value of effective risk management.

At the completion of a small project, the risk manager performs a risk audit and finds that several identified risks had occurred, and the impact was significantly larger than expected. While the project remained on schedule, the project budget increased by 50%. The project met all risk response milestones and no additional, previously unidentified risks, occurred on the project.

What risk management process improvement should the risk manager recommend for future similar projects?

A. A.
B. Increase the frequency of risk management meetings with the project manager.
C. B.
D. Revise the processes to increase the level of accuracy of probability and impact scores.
E. C.
F. Document the risk audit report and capture it in the lessons learned database.
G. D.
H. Expand the implementation of risk identification techniques and involve all stakeholders.

Solution:B. Revise the processes to increase the level of accuracy of probability and impact scores.

The risk manager should recommend revising the level of accuracy of probability and impact scores for future similar projects. This will help to ensure that the identified risks are more accurately assessed and that appropriate risk response strategies are developed and implemented. The risk manager should also consider updating the risk

management plan and engaging with stakeholders to gather their input and feedback on the risk management process.

The other options are less relevant.

While increasing the frequency of risk management meetings, documenting the risk audit report in the lessons learned database, and expanding risk identification techniques may be beneficial for improving the risk management process, the primary issue in this scenario lies in the accuracy of probability and impact scores, making it the most appropriate area for improvement.

A project risk manager must complete a report for a stakeholder who is extremely concerned about the possibility of a funding shortfall. The stakeholder believes that funding shortages have the highest risk exposure and should be ranked as the highest risk.

Threat / Opportunity	Probability	Impact
Funding shortage	1	5
Materials delivery	2	4
Labor shortage	3	2
Schedule slippage	5	2
Delayed procurement	3	5
New technology	3	3

1 = Very Low	2 = Low	3 = Moderate	4 = High	5 = Very High

What is the most important element to communicate this to the stakeholder to provide a more accurate understanding of the overall risk exposure of the project?

A. A.
B. The funding shortage is the lowest-ranked risk.
C. B.

D. The funding shortage is the highest-ranked risk.
E. C.
F. The funding shortage is the highest priority risk.
G. D.
H. The funding shortage is not a concern at this stage.

Solution: A. The funding shortage is the lowest-ranked risk.
The stakeholder is likely basing their opinion on the fact that the impact of funding slippage is very high. The project risk manager should explain that overall risk exposure is determined and ranked by multiplying probability by impact. In this case, the probability of it occurring is very low (rated as 1) and the impact of a funding shortage is very high (rated as 5). When the probability is multiplied by the impact (1 x 5), you get a risk exposure score of 5 for the funding shortage.

The remaining risks are calculated as:
Materials delivery: 2 x 4 = 8
Labor shortage: 3 x 2 = 6
Schedule slippage: 5 x 2 = 10
Delayed procurement: 3 x 5 = 15
New technology: 3 x 3 = 9

Making delayed procurement the highest-ranked (15) risk in terms of overall risk exposure. The risk manager should assure the stakeholder that, even though the impact of a funding shortage is very high, its lower probability means that it is not the highest-ranked risk in terms of overall risk exposure, it is the lowest-ranked. It is important to communicate this to the stakeholder to provide a more accurate understanding of the overall risk exposure of the project.

For quality assurance, a quality audit was conducted on the processes being used in the project execution plan. One of the nonconformance issues raised by the auditor was that attendance lists for the project risk review meetings were not available.

What should the project manager highlight when explaining why an attendance list important?

A. A.
B. It is a document that is registered within the lessons learned register.
C. B.
D. It is a record that shows the number of attendees in the meeting.
E. C.
F. It is standard practice on projects to conduct risk review meetings, however meeting attendance may be optional.
G. D.
H. The attendance list is evidence that risk review meetings were held with the appropriate project team members.

Solution:D. The attendance list is evidence that risk review meetings were held with the appropriate project team members.

Risk review meetings should be held regularly and attended by appropriate team members as they can contribute adequately to risk identification, assessment, and mitigation. An attendance list is important because it serves as evidence that risk review meetings were held with the appropriate project team members. This is important for ensuring that all necessary stakeholders are involved in the risk management process and that decisions are made with the appropriate input.

The other answer choices are incorrect.

A lessons learned register documents a complete phase or project. Knowing the number of attendees does not specify that the appropriate members were in attendance.

Attendance at project risk review meetings is not optional for key attendees.

The project manager requests a method to analyze risk data in a simple format. What format should the risk manager suggest for the preliminary review of the data?

A. A.

B. Monte Carlo analysis
C. B.
D. Fishbone diagram
E. C.
F. Latin Hypercube analysis
G. D.
H. Data tables

Solution:D. Data tables

When analyzing risk data in a simple format, a data table is a suitable format for the preliminary review of the data. A data table provides a clear and concise way to organize and present the risk data, making it easy to review and analyze. Additionally, a data table can be customized to include specific information relevant to the project, such as risk category, current risk status, causes, effects on objectives, risk triggers, and timing information.

The other options are incorrect.

Fishbone diagrams are used for root cause analysis and are more complex.

Monte Carlo and Latin Hypercube analyses are more complex and advanced techniques for probabilistic risk analysis.

While preparing for a new project, the risk manager discovers that there is a lot of uncertainty associated with the project, and trade-offs that will affect different objectives may be necessary.

What qualitative risk analysis method will be the most helpful in determining the relative weighting of the project's objectives in terms of their priority to the stakeholders?

A. A.
B. Expected Monetary Value (EMV)
C. B.
D. Root-Cause Analysis
E. C.
F. Decision Tree Analysis
G. D.
H. Analytic hierarchy process (AHP)

Solution:D. Analytic hierarchy process (AHP)

The most helpful qualitative risk analysis method in determining the relative weighting of the project's objectives in terms of their priority to the stakeholders is the analytic hierarchy process (AHP). AHP is a structured and systematic approach that helps to prioritize and make decisions based on multiple criteria. It involves breaking down complex decisions into smaller, more manageable parts and comparing them using a set of criteria. AHP results are weights (summing to 100%) that reflect the relative priority of each objective. This prioritization can be important in determining how trade-offs affecting different objectives (e.g., Should we reduce scope to finish on time?) will be decided.

The other options are incorrect.

EMV is the estimated value of an outcome expressed in monetary terms and is used to quantify risks.

A root-cause analysis is used to identify the underlying causes of problems or issues.

A decision tree analysis is a quantitative risk analysis technique used to evaluate the implications of multiple options.

While all three options may be helpful in the overall process of evaluating project risk in an uncertain environment, they are not specifically designed for weighing stakeholder priorities.

A project risk manager is working with the project team to establish risk metrics that must be tracked for a new technology project.

What metrics are best suited for this purpose?

A. A.
B. Efficacy of the work breakdown structure.
C. B.
D. Number of approved change requests.
E. C.
F. Number of defects identified.
G. D.
H. Effectiveness of response plans.

Solution:C. Number of defects identified.

As a project risk manager, it is important to establish risk metrics that can help identify potential risks and measure the quality of project deliverables. This metric can be used to measure the quality of the project deliverables and identify potential risks that may impact the project's success. It is important to select metrics that are relevant to the project and can provide meaningful insights into potential risks. Tracking the number of defects provides insights into the performance and stability of the new technology being developed.

The other options are incorrect.

The effectiveness of the work breakdown structure does not directly provide specific insights into risks.

The number of approved project change requests does not definitively reflect risk realization because not every emerging risk requires a change request.

The effectiveness of response plans focuses on the implementation of response activities and the team's ability to respond to risks rather than risk identification and evaluation.

A project manager is assigned to a two-month project with three project team members. The project sponsor tells the project manager to skip any risk planning activities because risk management is not necessary for such a small project.

How should the project manager respond?

A. A.
B. Explain that even small projects can encounter risks that could have a significant impact on the project.
C. B.
D. Accept the project sponsor's decision to skip risk planning activities and initiate the project.
E. C.
F. Conduct risk planning activities because the sponsor does not understand risk management.
G. D.
H. Escalate the issue to the PMO and request permission to conduct risk management activities.

Solution:A. Explain that even small projects can encounter risks that could have a significant impact on the project.

The project manager should respond by explaining to the project sponsor that even small projects can encounter risks that could have a significant impact on the project. By identifying and managing these risks, the project team can increase the likelihood of project success. It is important for the project manager to communicate the importance of risk management and the potential benefits it can bring to the project.

The other options are incorrect.

Accepting the project sponsor's decision to skip risk planning activities could lead to potential risks being overlooked and could ultimately impact the success of the project.

Conducting risk planning activities because the sponsor does not understand risk management may not be the most effective approach and could potentially damage the relationship between the project manager and sponsor.

Escalating the issue to the PMO and requesting permission to conduct risk management activities may not be necessary at this stage and could be seen as an overreaction.

A risk manager is presenting the risk management plan for a high-priority project to senior management and organizational executives. The project is cutting-edge and part of a completely new strategy for the organization. A majority of the management team is excited about the potential opportunities that the project presents, but some high-priority leadership team members are not comfortable taking on the risk and expense associated with the project. During the presentation, it was clear the groups of stakeholders did not agree on the appropriate organizational risk appetite which has led to conflict.

How can the risk manager lead conflict resolutions between stakeholders in agreeing on risk appetite?

A. A.
B. Remind everyone that the project has been approved and planning has already begun so it cannot be altered or revised at this stage.
C. B.

D. Agree with the stakeholders that have the highest risk appetite in order to get more buy-in and have the opportunity to experiment.
E. C.
F. Cancel or postpone the project and focus on projects that are less risky and have less expense associated with project execution.
G. D.
H. Facilitate discussions and negotiations between stakeholders to reach a consensus on the appropriate level of risk appetite for the project.

Solution:D. Facilitate discussions and negotiations between stakeholders to reach a consensus on the appropriate level of risk appetite for the project.

The risk manager should facilitate discussions and negotiations between stakeholders to reach a consensus on the appropriate level of risk appetite for the project. By considering factors such as the organization's and stakeholders' risk attitude, potential benefits and threats to the organization's and stakeholders' businesses, and shared and conflicting objectives, the risk manager can help resolve conflicts related to risk appetite and ensure that all stakeholders are aligned on the appropriate level of risk for the project. When senior managers suffer conflict, neutral facilitation typically helps more than detailed recommendations.

The other options are incorrect.

Choosing a side or reminding everyone that the project has already been approved does not address stakeholder concerns and could lead to higher degrees of confusion and conflict.

Canceling the project ignores the opportunities associated with the project and ignores the opinions of the individuals who are on board with the project.

During a retrospective meeting, the project team confirmed that all deliverables were completed according to the specifications provided in the product backlog. However, the number of errors found during testing increased dramatically.

What should the project manager do?

A. A.
B. Meet with quality assurance specialists to clarify the issue and seek resolutions.
C. B.

D. Review the risk management plan to determine the proper mitigation strategy.
E. C.
F. Perform a Monte Carlo analysis to identify possible scenarios and actions.
G. D.
H. Document the risk in the risk register and monitor it during the next iteration.

Solution:A. Meet with quality assurance specialists to clarify the issue and seek resolutions.

The number of errors found during testing increased dramatically indicating that there is a quality issue with the deliverables. The project manager should meet with the quality assurance specialists to resolve these issues. This can help identify the root cause of the issue and develop appropriate solutions to address it.

The other options are incorrect.

Reviewing the risk management plan, performing a Monte Carlo analysis, and documenting the risk in the risk register also be necessary depending on the specific circumstances of the issue, but meeting with quality assurance specialists should be the first step.

Reviewing the risk management plan will not help to identify the root cause of the issue.

A Monte Carlo analysis would only be helpful if the project manager was trying to estimate the probability of this event occurring before it happened.

Documenting the risk in the risk register is a good practice, but it is not the most immediate action that the project manager should take, but the scenario describes an issue that must be addressed proactively.

The project team is implementing a computer interface to facilitate communications between two ticketing systems for two major companies in the IT industry. While planning risk responses, the project team agrees on a contingency plan that should mitigate the negative impact of the risk. However, during project execution, one of the subject matter experts identified a residual risk that was not considered during

the risk response planning session that could potentially affect the project schedule baseline.

What should the risk manager do to handle this residual risk?

A. A.
B. Analyze this risk and update the risk register.
C. B.
D. Increase the management reserve.
E. C.
F. Accept the risk because it is minor.
G. D.
H. Reject the risk since the risk plan is finished.

Solution: A. Analyze this risk and update the risk register.

When a residual risk is identified during project execution that was not considered during the risk response planning session, the risk manager should analyze the risk and update the risk register. This is because the risk response plan may need to be adjusted to address the new risk, and the risk register should be updated to reflect the new information.

The other options are incorrect.

Accepting the risk as minor or rejecting it because the risk plan is finished are not appropriate responses, as the risk could still have a significant impact on the project schedule baseline.

Increasing the management reserve may be an appropriate response depending on the severity of the risk and the available resources, but it should not be the only action taken.

A risk manager is managing the build of an off-shore data center and is the custodian of the assets procured by the project. The risk manager is informed by a team member that an asset was lost, and the team member is ready to pay for the missing asset.

How should the project manager handle this situation?

A. A.

B. Reprimand the team member, order that they cover the cost of the missing asset, and update the asset register.
C. B.
D. Disclose the situation to the customer, purchase the replacement asset, and update the asset and risk register.
E. C.
F. Notify management, replace the asset with the help of an insurance representative, and update the asset register.
G. D.
H. Inform the customer and management, launch an investigation, take corrective action, and update the risk register.

Solution:D. Inform the customer and management, launch an investigation, take corrective action, and update the risk register.

The risk manager should immediately communicate the incident and any resulting actions to relevant stakeholders, including the customer and the manager. The risk manager should investigate the situation to determine the cause of the loss and assess the impact on the project. Without an investigation, it may be difficult to accurately identify where the failures were, who is responsible, how to respond, and how to prevent this from happening again. Based on the investigation, the risk manager should determine the appropriate response to the situation and take corrective action. The risk manager should document the incident in the risk register and other relevant project documents to ensure that it is properly tracked and managed. By following these steps, the risk manager can effectively manage the situation and minimize its impact on the project.

The other options are incorrect.

Reprimanding the team member and holding them financially responsible is inappropriate at this stage. It is not clear that the team member is at fault and it is inappropriate to hold them fiscally responsible.

Notifying management, disclosing the situation to the customer, and securing a replacement are important steps, but the risk manager should seek to identify the root cause of the issue in order to take proactive steps to avoid this situation in the future.

While reviewing preliminary project information the project manager discovers that, based on the organizational business drivers, there is an opportunity to increase the value of the project outcome. In order to exploit this opportunity the organization must invest in a new technology.

How should the project manager justify this investment when presenting this information to senior management?

A. A.
B. Using the new technology will help to ensure that the opportunity is realized.
C. B.
D. The product will be obsolete if the organization does not invest in the technology.
E. C.
F. The project team should be empowered to make value-delivery decisions.
G. D.
H. Creating the best possible product should be the sole focus of all projects.

Solution:A. Using the new technology will help to ensure that the opportunity is realized.

The project manager should explain how the new technology will help to exploit the opportunity and increase the business value of the project. Exploiting an opportunity involves taking focused action to capture the positive effect. In this case, exploiting the opportunity requires the focused action of investing in a new technology. The project manager should also describe how the technology can contribute to achieving the future project goals and objectives. It is important to help senior leadership make informed decisions by articulating the impact of project management technology adoption on achieving organizational goals and increasing business value.

The other options are incorrect.

There is no proof that the product would become obsolete if the opportunity is not exploited. The opportunity was identified as a way to increase business value, not as a response to the threat of obsolescence.

The team should feel empowered, but investing in the technology is a strategic decision and senior management should be the decision-makers in this case.

Project managers should strive to produce high-quality products, but the goal here is to justify the investment in new technology in order to exploit an opportunity. It does not necessarily directly impact product quality.

A new team member is added to the project team from a matrix organization. The project is unique within the organization and has a high level of risk associated with it.

How should the project's risk manager familiarize the new team member with the project's risk management process?

A. A.
B. Request that the functional manager confirm that the resource is proficient in risk management.
C. B.
D. Provide training on the risk management tools and techniques being used on the project.
E. C.
F. Tell the new team member to review the risk management plan and ask team members if they need help.
G. D.
H. Give the new team member a copy of the risk register and the latest project status report.

Solution:B. Provide training on the risk management tools and techniques being used on the project.

This can include identifying gaps in knowledge and skills as well as strategies to address those gaps through training, mentoring, or coaching. Providing training on the risk management tools and techniques being used on the project can help ensure that the new team member understands the process and is able to contribute effectively to the project's risk management efforts. This can help minimize the impact of risks on the project and ensure its success. The risk manager should also mentor any new resource to ensure that the risk management process is fully understood and applied.

The other options are incorrect.

The functional manager may not be familiar with the risk management tools and techniques being used for this project. The project is high-risk and unique within the

organization, so it is unlikely that functional managers would have the knowledge necessary to ensure that the new resource has a comprehensive understanding of the risk management practices for this particular project.

Sending the new team member the risk management plan to read and/or providing the new team member with a copy of the risk register and latest status report, may be part of the risk training and mentoring, but they are not effective on their own.

A risk manager is notified that the supplier responsible for implementing component changes for a reporting system is unlikely to meet the project schedule deadline. Based on the risk response plan, the risk manager secured stakeholder approval to use paper forms until the component changes go live. It is still possible, however, that the paper form changes may not be ready in time.

Which risk type is the risk manager facing in this situation?

A. A.
B. Secondary risk
C. B.
D. Residual risk
E. C.
F. Primary risk
G. D.
H. Compliance risk

Solution:B. Residual risk

The risk manager in this situation is facing a residual risk. A residual risk is a risk that remains after risk response planning has been completed, and it is typically managed through contingency plans. In this case, the risk manager has identified the primary risk of the supplier not meeting the project schedule and has implemented a risk response plan by using paper forms as a contingency. However, there is still a possibility that the paper form changes may not be ready in time, which represents a residual risk. It is important for the risk manager to continue monitoring and managing this risk to minimize its impact on the project.

The other options are incorrect.

A secondary risk is a risk that arises as a direct result of implementing a risk response. Risk responses, when implemented, can have potential effects on the objectives and as such, can generate additional risks. These are known as secondary risks and are analyzed and planned for in the same way as those risks that were initially identified.

The primary risk in this scenario is the likelihood that the supplier will not be able to meet the project schedule.

A compliance risk refers to the risk of legal or regulatory sanctions, financial loss, or damage to an organization's reputation resulting from a failure to comply with laws, regulations, or industry standards.

A risk on the risk register is triggered. This triggered risk costs US$200,000 to mitigate and will overwhelm the project, causing it to fail if not mitigated.

From which of the following sources should the funds be drawn to cover the risk mitigation?

A. A.
B. Organizational reserve
C. B.
D. Unplanned risk reserve
E. C.
F. Contingency reserve
G. D.
H. Management reserve

Solution:C. Contingency reserve

In the given scenario, the funds to cover the risk mitigation should be drawn from the contingency reserve. A contingency reserve is the time or money allocated in the schedule or cost baseline for known risks with active response strategies. Since the triggered risk is a known risk that has been identified and is on the risk register, it is appropriate to use the contingency reserve to cover the cost of mitigating the risk.

The other options are incorrect.

The organizational reserve, unplanned risk reserve, and management reserve are not appropriate sources of funds for this specific risk mitigation.

The organizational reserve is typically used for strategic initiatives or major changes in the organization.

An unplanned risk reserve is used for unknown risks that were not identified during the risk management planning process.

The management reserve is used for unforeseen events that are outside the scope of the project.

A looming fuel price increase was identified as a risk during the planning stages of a large construction project. The identified risk was assigned high probability with low impact; the price increase would not be more than 2%. Shortly after the project begins, a 20% fuel price increase goes into effect.

What should the project manager do?

A. A.
B. Update the risk register.
C. B.
D. Update the assumption log.
E. C.
F. Update the issue log.
G. D.
H. Update the benefits register.

Solution: C. Update the issue log.

In this scenario, the project manager should update the issue log as the identified risk of a fuel price increase with a low impact and high probability has now occurred with a much higher impact than anticipated. This will help the project team to track and manage the impact of the risk on the project. It is important for project managers to regularly review and update their risk management plans to ensure that they are prepared for any unexpected events that may occur during the project.

The other options are not the initial or most appropriate documents to update in this scenario.

Question

A company is about to start a project in a remote location known for extreme weather. The agreed-upon approach was to implement the project using a predicted, multiphase approach. Each phase is composed of several iterations.

What should the risk manager do in the event of extreme weather?

A. A.
B. Pause work until a specialized team arrives to assess the damage that was done to the site.
C. B.
D. Activate the risk response plan for extreme weather and update the appropriate documents.
E. C.
F. Recommend that management reconsider the project location to avoid the extreme weather.
G. D.
H. Stop the current iteration, run a retrospective, and proceed to the next phase of the project.

Solution:B. Activate the risk response plan for extreme weather and update the appropriate documents.

The risk of extreme weather was known at the start of the project and would have been evaluated and planned for accordingly. In the event of extreme weather in a remote location, the risk manager should activate the risk response plan for extreme weather that was developed during the risk management planning process. The risk response plan should be implemented to address the potential impact of extreme weather on the project. The risk manager should also update the appropriate documents to reflect the activation of the risk response plan. By implementing a well-defined risk response plan and updating the appropriate documents, the risk manager can help ensure that the project stays on track and is completed successfully.

The other options are incorrect.

Stopping or pausing the project may cause unnecessary delays and may not address the immediate challenge posed by the extreme weather event. Pausing work or stopping the iteration may turn out to be the approved risk response, but the risk manager must consult the initial plan to determine that.

Advising management to reconsider the location is not an appropriate course of action because those discussions should have occurred before initiating the project.

A risk manager is planning for a new project but is running into resistance while attempting to manage stakeholder expectations. One key stakeholder is refusing to acknowledge the reality of several project risks and requests that the risk manager disregard those risks.

What should the risk manager do?

A. A.
B. Organize a conflict management conference to address the stakeholder's resistance.
C. B.
D. Explain the consequences of ignoring the specific risks and describe the potential impacts.
E. C.
F. Remove the risks from the risk management documents as requested by the stakeholder.
G. D.
H. Prepare a report for senior management documenting the issue and requesting support.

Solution:B. Explain the consequences of ignoring the specific risks and describe the potential impacts.

The risk manager should explain the consequences of ignoring the identified risks and provide options for addressing them. The stakeholder may be reluctant because they are only considering factors that impact them and may not have a full understanding of the project environment. The risk manager should seek to establish a shared understanding through effective communication, mentoring, and transparency. This can help to establish a positive working relationship, foster collaboration, and proactively manage stakeholder expectations.

The other options are incorrect.

A conflict management conference or seeking support from senior management is not necessary at this stage and should only be considered if the stakeholder continues to acknowledge project risks.

Removing risks is inappropriate and is not responsible as it exposes the project to increased risk and does not address the stakeholder.

A team member suggests adding a task that is outside of the baseline scope. This task could reduce risk to a critical component of the project.

What should the project risk manager do?

A. A.
B. Assess the feasibility and impact of including the task.
C. B.
D. Instruct the product owner to evaluate the new task.
E. C.
F. Direct the project team toward the critical path activity.
G. D.
H. Register the task in the proper project documentation.

Solution: A. Assess the feasibility and impact of including the task.

When a team member suggests adding a task that is outside of the baseline scope, the project risk manager should assess the feasibility and impact of including the task. If the task is deemed appropriate and can reduce risk to the project, it should be incorporated into future sprints. It is important to carefully consider any changes to the project scope and ensure that they align with the project goals and objectives. Incorporating new tasks into future sprints can help manage the project timeline and ensure that the project stays on track.

The other options are incorrect because the risk manager should seek to reduce risk and asses or evaluate any opportunities to do so. This evaluation should be conducted before making any decisions or taking action.

A project manager at a private aerospace company is working on a complex state-of-the-art project that is a top priority for the company. The project will have a high degree of uncertainty and will be subject to strict regulatory and compliance requirements. Just before the project is scheduled to begin, the project team identifies a new risk introduced by a pending change in government regulations.

What should the project manager do to proactively ensure effective project risk management?

A. A.
B. Recruit additional resources to address the rigorous compliance and regulatory requirements.
C. B.
D. Transfer the risks by contracting with a third-party vendor to manage the risk management of the project.
E. C.
F. Meet with the project sponsor to discuss the volatile nature of the project and ways to remove risks.
G. D.
H. Establish a plan to conduct risk identification as an iterative process throughout the project lifecycle.

Solution: D. Establish a plan to conduct risk identification as an iterative process throughout the project lifecycle.

Risk identification should be an iterative process because new risks may emerge as the project progresses through its life cycle. The project manager should establish a systemic plan to iteratively engage in risk identification procedures to identify new risks as they emerge and ensure that the project team can respond to them in a timely and effective manner. This is especially crucial given the complex and uncertain nature of the project and the mandatory compliance with existing and pending regulations. The frequency of iteration and participation in each risk identification cycle should be defined in the risk management plan.

The other options are less effective.

Recruiting additional resources may not be feasible or necessary and does not address the need to be proactive and vigilant regarding risk identification.

Transferring the risk is not proactive and may not be feasible. The team should

Discussing the volatility with the sponsor may be helpful, but it is not possible to remove all risks associated with the project. The project manager should focus on preparing for the project by implementing strategies to address the uncertain nature of the project and ensure proactive and effective risk management.

A construction project is underway to build a new office building. The project team has identified several risks related to the project, including delays in material

delivery, changes in building codes, and unexpected weather conditions. The team has developed a contingency plan to address these risks, but they need to identify trigger conditions that will activate the plan.

What should the team do in order to complete this task?

A. A.
B. Identify symptoms that indicate that a risk is about to occur or has already occurred.
C. B.
D. Pinpoint gaps in information, areas of miscommunication, or additional requirements.
E. C.
F. Track the rate at which project activities are completed within predefined intervals.
G. D.
H. Compile an exhaustive list of all stakeholders impacted by implementing contingency plans.

Solution:A. Identify symptoms that indicate that a risk is about to occur or has already occurred.

To complete the task of identifying trigger conditions that will activate the contingency plan, the project team should identify symptoms that indicate that a risk is about to occur or has already occurred. By doing so, they can set trigger conditions that will activate the contingency plan in a timely manner, allowing the team to respond to risks effectively.

Some examples of symptoms that could indicate a risk is about to occur or has already occurred include delays in material delivery, changes in building codes, and unexpected weather conditions, as mentioned in the scenario. By identifying these symptoms, the team can set trigger conditions that will activate the contingency plan if these symptoms are observed.

The other options are incorrect.

Pinpointing information gaps, completion rates, and stakeholder management are important things to consider, but they do not directly assist in identifying trigger conditions.

A project has many high-probability risks associated with several key deliverables. What tactic should the risk manager emphasize as critical and mandatory while monitoring project risks?

A. A.
B. Risk avoidance
C. B.
D. Risk escalation
E. C.
F. Risk acceptance
G. D.
H. Risk reporting

Solution: D. Risk reporting

Risk reporting is important when monitoring risks in this scenario because it helps to ensure that the project team and stakeholders are aware of the risks and their potential impact on the project. By reporting on risks, the risk manager can provide timely and accurate information to the project team and stakeholders, which can help them make informed decisions about how to respond to the risks. Risk reporting also helps ensure that the risk management plan is being implemented effectively and that the risk responses are having the desired effect. Additionally, risk reporting can help identify any trends or patterns in the risks that are being identified, which can help the project team proactively address risks before they become issues. Overall, risk reporting is an important part of the risk management process and helps ensure that the project team and stakeholders are informed and able to make informed decisions about how to manage risks.

The other options are incorrect because they are risk responses, not tactics for monitoring risks. Risk responses are the agreed-upon response actions that are appropriate for the priority of the individual risks and the overall risk.

A team member in a hybrid organization informs the project manager of a new way to execute an activity with a shorter duration. The project manager has not used the new process before, but a trusted team member explains that their previous experience with the process validates the efficacy of the new process.

What should the project manager do?

A. A.
B. Involve the team member's functional manager.
C. B.
D. Postpone the decision until the next sprint.
E. C.
F. Update the work breakdown structure (WBS).
G. D.
H. Assess the impact of adopting the new process.

Solution:D. Assess the impact of adopting the new process.

The project manager should assess the impacts of implementing the new process. Assessment will help identify the opportunities and threats of implementing the new process. It is important to evaluate the potential benefits and risks of the new process before making a decision.

The other answer choices are incorrect. They may occur after the impact is assessed and the stakeholders are made aware.

Involving the functional manager may not be necessary at this stage. Postponing the decision is not efficient, the project manager should assess the impact first because the new process may help execute an activity with a shorter duration, which would benefit the project.

Updating the WBS is not necessary at this time because no decision has been made at this point.

An organization has a low threshold for risk and is concerned about initiating a project that has an elevated level of uncertainty associated with the local economy. All other identified risks are within the organization's risk tolerance parameters. Management would like to initiate the project but before moving forward they require a better understanding of the risks and how they contribute to overall project risk. The project manager is creating a report to present to senior management in order to determine whether or not the project should be initiated.

What should the project manager do to provide additional clarity and facilitate informed decision-making?

A. A.

B. Facilitate conflict resolution to reduce friction among stakeholders.
C. B.
D. Prioritize the risks based on their severity and likelihood of occurrence.
E. C.
F. Create a new project proposal with a downsized scope to reduce risk.
G. D.
H. Advise that the project be postponed based on the current uncertainty.

Solution:B. Prioritize the risks based on their severity and likelihood of occurrence.

The most appropriate way for the project manager to provide additional clarity and facilitate informed decision-making is to prioritize the risks based on their severity and likelihood of occurrence. Presenting a visual representation of project risks can aid in decision-making and prioritization. This will help senior management understand the potential impact of the risks and make informed decisions about whether or not to proceed with the project. It's important for the project manager to communicate the prioritized risks and their potential impact to senior management in a clear and concise manner, and to provide recommendations for risk management strategies that can mitigate or avoid the highest priority risks. This will help ensure that the project is aligned with the organization's risk tolerance and overall objectives.

The other options are incorrect.

There is no indication that conflict resolution is necessary at this time.

Creating a new project proposal or postponing the project would not proactively address the issue and does not allow senior leadership to assess the information and determine how to move forward.

A project manager is concerned about the low performance of risk management on a mission-critical project. After assessing the situation, the risk manager finds that the team is not communicating effectively. The project manager has met with the team and established communication protocols to address the issue.

What should the project manager do to continue to influence team members to improve performance?

A. A.

B. Send comprehensively detailed meeting follow-up emails, adopt an open-door policy, and ask for feedback.
C. B.
D. Expose hidden agendas, express disappointment, and designate a team member to monitor performance.
E. C.
F. Provide ongoing support and coaching, engage in trust-building activities, and ensure open communications.
G. D.
H. Conduct one-on-one meetings, increase the frequency of follow-up meetings, and report to the sponsor.

Solution: C. Provide ongoing support and coaching, engage in trust-building activities, and ensure open communications.

The project manager should provide ongoing support and coaching, engage in trust-building activities, and ensure open communications to influence team members to improve performance. This approach can help to sustain effective team communications and improve the overall performance of risk management and project delivery. It is important for the project manager to ensure that all team members understand their responsibility for managing risk and that open and honest communication is encouraged throughout the risk management process.

The other options are not as effective or comprehensive.

The project manager has worked with the team to create an effective and agreed-upon communication strategy, so taking additional steps such as sending highly detailed follow-up emails or increasing the frequency of follow-up meetings should not be necessary and would be time-consuming.

There is no evidence of hidden agendas, this is a communication issue.

A project manager is preparing for a meeting with the chief executive officer (CEO) to present the project's master schedule of the critical path. One hour before the meeting, the project manager receives a report from an off-shore team documenting newly identified significant risks associated with a critical milestone in the development and quality testing standards of off-shore production activities. Based

on this information, the project manager realizes the master schedule is no longer realistic.

What should the project manager do?

A. A.
B. Converse with the stakeholders before the meeting to discuss the report and request their opinion on how to proceed.
C. B.
D. Present the current master schedule to the CEO and inform them that it will be subject to change in the coming weeks.
E. C.
F. Ask to reschedule the meeting communicating that newly identified risks will impact the schedule and must be assessed.
G. D.
H. Present the existing schedule as planned and wait to inform the CEO of the new risks until after they have been evaluated.

Solution:C. Ask to reschedule the meeting communicating that newly identified risks will impact the schedule and must be assessed.

In the given scenario, the project manager should ask to reschedule the meeting and communicate that newly identified risks will impact the schedule and must be assessed. It is important to inform the CEO that newly identified risks have rendered the current master schedule obsolete and it must be reassessed. By rescheduling the meeting and communicating the situation to the CEO, the project manager can assess the new risks, update the schedule, and present a more accurate representation of the project timeline. This will allow the CEO to make informed decisions and adjust expectations accordingly.

The other options are incorrect.

Conversing with stakeholders before the meeting may not be possible, especially on short notice, and does not address the impact of the new risks.

Presenting an inaccurate master schedule and telling the CEO it will change is inefficient and the CEO will likely see it as a waste of their time.

Presenting the existing schedule as planned and waiting to inform the CEO of the new risks is not recommended as it may lead to unrealistic expectations and could potentially harm the project in the long run. It is the project manager's role and responsibility to present clear and truthful information to the senior management concerning the project.

A technology project has members of a project team from multiple countries. The stakeholders have stated that this arrangement will keep the project within budget. However, the risk manager believes that the stakeholders have not accounted for issues that might arise that could affect the success of the project.

What should the risk manager do to record this concern?

A. A.
B. Document the risks in the risk register.
C. B.
D. Revise the stakeholder engagement plan.
E. C.
F. Capture the information in the issues log.
G. D.
H. Update the resource management plan.

Solution:A. Document the risks in the risk register.

Having a dispersed project team does not come without risks. These risks need to be identified and documented in the risk register for the project. A risk register is a repository in which outputs of risk management processes are recorded. Information in a risk register can include the person responsible for managing the risk, probability, impact, risk score, planned risk responses, and other information used to get a high-level understanding of individual risks.

The other options are incorrect.

Revising the stakeholder engagement plan will not help in documenting the project risk. A stakeholder engagement plan is a component of the project management plan that identifies the strategies and actions required to promote the productive involvement of stakeholders in a project or program decision-making and execution.

An issue log is a project document where information about issues, and an issue has not materialized in this scenario. An issue is a current condition or situation that has occurred that may have an impact on the project objectives. Whereas a risk is an uncertain event or condition that might arise and could impact the project.

The resource management plan provides guidance on how project resources should be categorized, allocated, managed, and released, and doesn't help in capturing risks/issues that might arise.

A project team is conducting initial risk planning and is seeking to identify a framework against which identified risks can be assessed during initial risk management planning and throughout the project life-cycle.

What should the project team do at this stage to determine the appropriate assessment framework?

A. A.
B. Identify stakeholder and organizational risk thresholds.
C. B.
D. Specify the terminology and structure of the risk register.
E. C.
F. Categorize risks utilizing a probability and impact matrix.
G. D.
H. Prioritize the identified risks in the project risk register.

Solution: A. Identify stakeholder and organizational risk thresholds.

Identifying risk thresholds helps organizations and project teams manage risk effectively by determining what level of risk exposure is acceptable in pursuit of their objectives. This allows them to develop specific risk response strategies and drive consistency and effectiveness in risk management activities. Identifying the risk threshold is an important step in the risk management process, as it helps ensure that risks are managed in a way that aligns with the organization's goals and objectives.

The other options are incorrect.

Risk register terminology and structure do not address the information the team is looking for and may already be standardized by the organization.

The probability and impact matrix is used for risk scoring that takes place in the subsequent qualitative risk analysis process.

The prioritization of the risks in the risk register takes place in the risk analysis processes and would not be the most effective way to determine the appropriate assessment framework.

A six-month, US$1.2 million project is two months into implementation. The project has 3 high, 6 medium, and 2 low risks, with a 10% reserve for known risks, and a 5% reserve for unknown risks. Most of the project's reserves have not been spent. The risk manager, who is also the project schedule manager, establishes monthly risk management reviews to evaluate performance. So far, the project has missed 50% of the planned risk mitigation milestones.

Based on this project data, what technique should the risk manager recommend to improve the risk management process?

A. A.
B. Increase the risk manager's position to a full-time position and acquire a dedicated project schedule lead.
C. B.
D. Adjust project risk thresholds to increase the number of residual risks on the project.
E. C.
F. Increase the frequency of risk status meetings and update the risk management plan.
G. D.
H. Perform a variance analysis and potentially allocate more reserves to improve risk mitigation.

Solution:D. Perform a variance analysis and potentially allocate more reserves to improve risk mitigation.

The risk manager should recommend performing a variance analysis and potentially allocating more reserves to improve risk mitigation. This will help to identify the root causes of the missed risk mitigation milestones and determine if additional resources or funding are needed to address the risks. The monthly risk management reviews

established by the risk manager will also help to monitor the effectiveness of the risk management process and make any necessary adjustments.

The other options are incorrect.

Increasing the risk manager's position or adjusting project risk thresholds are not directly related to improving the risk management process in this scenario.

Increasing the frequency of risk status meetings and updating the risk management plan may be helpful, but they may not address the underlying issues causing the missed milestones.

During a status meeting, a team member alerts the project manager that the delivery timeline for a component prototype is unattainable due to the unanticipated complexity of the requirements. After confirming the impending delay, the project manager must take action to address the situation.

How should the project manager address this issue?

A. A.
B. Identify the extent to which the complexity will impact the rest of the project.
C. B.
D. Delegate prototype development activities to a more experienced team member.
E. C.
F. Allocate additional funding to the development budget to expedite delivery.
G. D.
H. Assign additional resources to prototype development and proceed as planned.

Solution:A. Identify the extent to which the complexity will impact the rest of the project.

The project manager should identify the extent to which the complexity will impact the rest of the project. This can help the project manager determine the best course of action to address the situation and minimize the impact of the delay on the project.

The other options are incorrect.

Delegating prototype development to a more experienced team member, assigning additional resources, or allocating additional funding to the development budget may not be possible and may not address the root cause of the issue.

During the construction of an infrastructure improvement project, several risks have materialized and require immediate mitigation efforts. To optimize response effectiveness, the risk manager wants to leverage monitoring processes to gather data about these active risks.

Which of the following actions would be relevant and valuable in leveraging monitoring processes to gather data about these active risks?

A. A.
B. Risk analysis and performance report preparation.
C. B.
D. Ongoing risk response analysis and risk audits.
E. C.
F. Continuous retrospectives and risk register review.
G. D.
H. Regularly surveying the team's risk perceptions.

Solution:B. Ongoing risk response analysis and risk audits.

To support the response to realized risks, ongoing risk response analysis and risk audits would be most relevant and valuable in leveraging monitoring processes to gather data about these active risks. This process helps in identifying any gaps or areas for improvement in responding to the realized risks. Risk response analysis involves reviewing the effectiveness of the risk response strategies that have been implemented and making adjustments as necessary. Risk audits involve reviewing the risk management processes and procedures to ensure that they are being followed and are effective.

The other options are not the most relevant and valuable in leveraging monitoring processes to gather data about these active risks.

Preparing performance reports does not specifically address the ongoing monitoring and adjustment of response strategies for materialized risks.

Continuous retrospectives and risk register reviews focus more on past events and do not address the immediate need for mitigation efforts.

Regularly surveying the team's risk perceptions is not comprehensive and does not provide concrete data on the effectiveness of ongoing mitigation efforts.

A project is nearing completion when the risk manager learns that a change in market regulations may impact the project. The project manager is unsure how to proceed.

What should the risk manager do?

A. A.
B. Check the stakeholder register.
C. B.
D. Update the cost baseline.
E. C.
F. Review the risk management plan.
G. D.
H. Perform a cost-benefit analysis.

Solution: C. Review the risk management plan.

The risk management plan outlines the process to manage risk, including risk by a change in market regulations. Reviewing the risk management plan will help to verify that the risk was identified and planned for and will ensure that the project team is prepared to respond to the potential impact of the change in market regulations. The risk management plan should include strategies for addressing risks that may impact the project, and the risk manager can use this plan to develop a plan of action for responding to the change in market regulations. If the risk management plan does not contain those details, the project team will need to develop a strategy to address the issue. The risk manager needs to ensure that all risks are managed appropriately throughout the project lifecycle to minimize their impact on the project.

The other options are incorrect.

Checking the stakeholder register is a passive activity that has no bearing on the issue at hand.

Updating the cost baseline is incorrect because there is no indication that there is any net effect on cost, and if there was, it would be addressed as a component of the change management process.

Performing a cost-benefit analysis has no bearing on the issue at hand. A cost-benefit analysis is a financial analysis method used to determine the benefits provided by a project against its costs.

Upon returning from an extended vacation, the risk manager observed during the project status meeting that several activities being accomplished were not in the original plan and may introduce additional risk. The team is attending a conference and will return to the office in two days.

What should the risk manager do first?

A. A.
B. Meet with the project team.
C. B.
D. Report the out-of-scope work.
E. C.
F. Examine activities for new risks.
G. D.
H. Review the change control log.

Solution:D. Review the change control log.

The risk manager should first review the change control log to understand how the out-of-scope work was approved and whether it was properly documented and communicated to the project team. This will help the risk manager understand the impact of the out-of-scope work on the project and identify any potential new risks that may have been introduced. It is important to proactively manage risks to minimize their impact and ensure project success.

The other options are premature without first understanding the context.

Once the risk manager has reviewed the change control log, they can then meet with the project team to discuss the out-of-scope work and any new risks that have been identified.

Informing management or reviewing activities for new risks may not be necessary depending on the findings of the review.

A project manager wants to represent the distribution of uncertainty around a risk model element. However, good data on the variability of the risk model element has not been collected and only contains minimum and maximum values.

What curve should the project manager use to represent the distribution?

A. A.
B. Uniform
C. B.
D. Beta
E. C.
F. Normal
G. D.
H. Lognormal

Solution:A. Uniform

When representing the distribution of uncertainty around a risk model element with only minimum and maximum values available, the project manager should use a uniform distribution. A uniform distribution assumes that all values within the minimum and maximum range are equally likely to occur. This is appropriate when there is no additional information available about the distribution of the variable.

The other options are incorrect.

Other commonly used probability distributions for representing uncertainty include triangular, normal, lognormal, beta, and discrete distributions. However, these distributions require more information about the variable's distribution than just minimum and maximum values.

Halfway into the development of a new product, previously unidentified risks are emerging frequently. The project team was unprepared for these risks and must develop response strategies as the risks arise. This is causing delays and disorder.

What should the project manager do?

A. A.

B. Streamline response approval process to reduce delays and disruption caused by the risks.
C. B.
D. Integrate additional feedback verification loops, quality assurance steps, and verification protocols.
E. C.
F. Verify that the project team is developing effective risk responses for the unidentified risks.
G. D.
H. Explore root causes to identify what is causing the increase in unidentified risks and address gaps.

Solution: D. Explore root causes to identify what is causing the increase in unidentified risks and address gaps.

The project manager should explore the root causes because it will help to prevent further delays and disruption caused by the emergence of new risks. This issue could have many causes and the project manager should take a proactive approach by attempting to identify gaps and address them accordingly. Exploring root causes will help reveal whether there were issues with the risk identification processes, whether there are external factors triggering the risks, or identify other contributing factors. After gaining an understanding of the root cause, the project manager can implement strategies to address them proactively for the remainder of the project. After addressing the gaps, the project manager should continuously monitor and evaluate the effectiveness of the risk management process and whether the adjustments were successful.

The other options are less effective.

The other options may be identified as strategies to address specific gaps, but without analyzing the cause of this situation the project manager cannot effectively pinpoint the specific gaps that need to be addressed.

Streamlining approval and increasing feedback loops may be identified as effective strategies to address this situation, but the project manager must identify the gaps in order to properly address them.

It is a good idea to verify the effectiveness of the risk response strategies, but this is reactionary and does not proactively address the root cause of the issue.

A formal analysis is completed on a major change to a research and development (R&D) program at a risk-averse corporation. This analysis includes a detailed review of the risk exposure and funds required to take appropriate actions. The risks included cost, labor, materials, and traveling to the facilities. Within the entire project portfolio, management only has **US$995,000** for R&D projects.

The inclusive, detailed breakout of budget analysis is as follows:

	Material Cost:	**Labor Costs:**	**Travel Costs:**
Optimistic	US$ 550,000	US$ 125,000	US$ 40,000
Most Likely	US$ 650,000	US$ 250,000	US$ 150,000
Pessimistic	US$ 700,000	US$ 400,000	US$ 175,000

What should the risk manager propose to the review board as a recommendation based on the information above?

A. A.
B. Begin the project as planned with the current funding available.
C. B.
D. Hire all staff off-shore to manage the project at lower rates.
E. C.
F. Request additional funding before initiating project execution.
G. D.
H. Present the optimistic cost projections to the review board.

Solution: C. Request additional funding before initiating project execution.
The total of the Most Likely sum is **US$1,050,000**, which exceeds the available R&D budget of **$995,000**.

$650,000 (material) + $250,000 (labor) + $150,000 (travel) =$1,050,000

The budget for R&D projects is only US$995,000, which would only be sufficient to cover the Optimistic sum of US$715,000. Starting the project with the current funding

available, relying solely on the Optimistic cost projection, increases the probability of exceeding the allocated budget.
The high probability of exceeding the budget would increase risk. This corporation is risk-averse, so requesting additional funding would be the most tactful approach and would align with a risk-averse risk attitude. The corporation may even prefer to further reduce risk by securing an ample budget to cover the potential impact of the Pessimistic cost projections. Requesting additional funding provides transparency, aligns with the risk-averse approach, and allows for informed decision-making by the review board. If additional funding is not available, the corporation will need to reassess the project scope and budget to bring them in line with the available funding.
The other options are incorrect.
Beginning the project as planned with the current funding available is irresponsible, and risky, and can lead to project failure.
Hiring off-shore staff to manage the project at lower rates may not be feasible and does not necessarily adequately reduce costs. This may also introduce more risks and additional factors to consider.
Presenting only optimistic cost projections is unethical and ignores the elevated potential for risk, especially since the most likely projection exceeds the existing budget. It is important to set clear and realistic expectations for the project budget.

A project risk manager schedules a third workshop to facilitate the qualitative risk analysis. One team member complains that they should not have iterative meetings, because they should complete this at the beginning of the project.

Which of the following should the project risk manager do?

A. A.
B. Continue with the workshop, but discipline the team member for undermining the authority of the project manager.
C. B.
D. Agree with the team member, as qualitative analysis should only be performed during the initial stages of a project.
E. C.
F. Proceed with the meeting and remove the team member from the list of attendees for future meetings.
G. D.

H. Explain that it is good practice to perform qualitative analysis throughout the life of the project.

Solution:D. Explain that it is good practice to perform qualitative analysis throughout the life of the project.

It is good practice to perform qualitative analysis throughout the life of the project, not just at the beginning. This is because risks can change and new risks can emerge throughout the project, and it is important to continuously monitor and analyze them. The project manager should explain this to the team member who complained and emphasize the importance of ongoing risk analysis.

The other options are incorrect.

Disciplining the team member or removing them from the list of attendees for future meetings are inappropriate responses and can lead to low morale and decreased participation.

Agreeing with the team member is not appropriate because the team member is mistaken.

A risk manager is working on a new project for which historical data is not available. The risk manager planned to use historical data to identify potential risks and develop appropriate risk response strategies.

What should the project manager do next?

A. A.
B. Ignore the missing historical data and continue developing risk response strategies.
C. B.
D. Identify risks based on the information available and allocate additional contingency reserves.
E. C.
F. Develop a protocol for capturing historical data and documenting it in a lessons learned register.
G. D.
H. Develop a risk management plan based on expert judgment and other available information.

Solution:D. Develop a risk management plan based on expert judgment and other available information.

The fitting approach for the risk manager to take is to develop a risk management plan based on expert judgment and other available information. Expert judgment can offer insight based on expertise in a subject area, industry segment, organizational processes, etc. The risk manager should work closely with the project team, experts, and other stakeholders to ensure that all potential risks are identified and appropriate risk response strategies are developed and implemented. By taking a proactive approach to risk management, the risk manager can help minimize the impact of potential risks on the project and increase the likelihood of project success.

Expert judgment can offer insight based on expertise in a subject area, industry segment, organizational processes, etc.

The other options are incorrect.

Ignoring the missing data or allocating additional reserves is not a proactive approach and does not address the need for additional information and insight.

Developing a protocol for capturing historical data is a good idea, but does not address the current need for reliable information that can be leveraged to identify potential risks and develop appropriate risk response strategies.

During a project team meeting, team members are identifying risks that may occur during the project. What type of analysis should the risk manager perform in preparation for a meeting with the sponsor?

A. A.
B. Qualitative risk analysis.
C. B.
D. Quantitative risk analysis.
E. C.
F. Monte Carlo risk analysis.
G. D.
H. Expert judgment analysis.

Solution:A. Qualitative risk analysis.

Qualitative risk analysis is the consideration of a range of characteristics such as the probability of occurrence, degree of impact on the objectives, manageability, timing of possible impacts, relationships with other risks, and common causes or effects. Multiple types of analysis are used to determine risk, but at this stage of the project, qualitative risk analysis is most appropriate for the project manager to perform in preparation for a meeting with the sponsor.

The team members are identifying risks, not analyzing previously identified risks.

Quantitative risk analysis examines the combined effect of identified risks on the desired outcome.

A Monte Carlo risk analysis is a technique that computes or iterates the project cost or project schedule many times using input values, selected at random from probability distributions of possible costs or durations, to calculate a distribution of possible total project cost or completion dates.

Expert judgment could help to identify some risks but may be subject to biases and may only offer limited perspective. Therefore, the correct answer is qualitative risk analysis.

The opening of a new overseas office faces potential delays as the required permit has not yet been issued by the local government. The project team met to evaluate the appropriate course of action as outlined in the risk register. After a thorough assessment, the team decided to postpone the opening to another date.

Which document should the project manager use to update the project management plan?

A. A.
B. Risk management plan
C. B.
D. Risk report
E. C.
F. Risk register
G. D.
H. Lessons learned register

Solution:C. Risk register

The project manager should use the risk register to update the project management plan. The risk register contains information about identified risks, their likelihood and impact, and the risk response strategies that have been developed to address them. By updating the project management plan with information from the risk register, the project manager can ensure that the project team is aware of the potential delays and the actions that have been taken to address them. This can help to minimize the impact of the delays on the project and ensure its success.

The other options are incorrect.

The risk management plan describes how risk management activities will be structured and performed.

A risk report summarizes information on individual project risks and the level of overall project risk.

A lessons learned register records knowledge gained during a project but is not intended for documenting real-time risk management decisions.

While creating a risk management plan, the project manager is informed that the project sponsor has instructed the project team to focus solely on financial risks because they are the only risks to the project.

How should the project manager proceed?

A. A.
B. Instruct the team to continue creating the risk management plan focusing solely on financial project risks as the project sponsor mandated.
C. B.
D. Demand that the project team identify and assess all project risks immediately and tell them to disregard similar requests moving forward.
E. C.
F. Escalate the issue to senior management because the sponsor is incorrect and ignoring additional risks puts the entire project at risk.
G. D.
H. Meet with the sponsor and use historical data and enterprise environmental factors to demonstrate that other risk types are relevant.

Solution:D. Meet with the sponsor and use historical data and enterprise environmental factors to demonstrate that other risk types are relevant.

Focusing solely on financial risks may put the entire project at risk as other risks may also impact the project. The project manager should coach the project sponsor and demonstrate that is important to identify and assess all project risks to ensure that the project is successful.

Enterprise environmental factors (EEFs) are internal and external environmental factors that surround or influence project success. EEFs such as organizational culture, industry standards, marketplace conditions, and legal and regulatory requirements introduce various types of risks and must be evaluated. Using historical project information can also be a useful tool for demonstrating the relevance of other risk types. By analyzing past projects, the project manager can identify risks that may not have been considered before and use this information to inform the risk management plan. The project manager can use data and evidence to support their reasoning and convince the sponsor to consider other risk types. Coaching the project sponsor can help ensure that the project is successful by providing support, guidance, and clarity around expectations and risk management practices.

The other options are incorrect.

Continuing to focus exclusively on financial risks as instructed is irresponsible and unethical. Ignoring all other types of risks can seriously impact the project or even cause the project to fail.

Demanding that the team disregard the sponsor's requests is inappropriate and unprofessional. The project team should evaluate all risks, but telling them to ignore future sponsor requests can lead to confusion, misalignment, and conflict.

Escalating the issue should only be considered if the project manager is not able to successfully coach the stakeholder or the issue cannot be resolved without intervention.

During the execution phase at the customer's worksite, an issue arises when new parts don't fit properly into a machine. The site project manager believes that this was a high probability risk but cannot find it in the risk register. The site project manager confronts the risk manager demanding an explanation.

What should the risk manager do?

A. A.

B. Apologize to the site manager, take full responsibility for the oversight, and promise to address the issue immediately.
C. B.
D. Determine whether the issue was logged in the register or was overlooked during the risk identification process.
E. C.
F. Inform the site project manager that the risk of new parts not fitting properly into the machine is a low probability risk.
G. D.
H. Arrange a meeting with the site project manager to discuss why they did not communicate the risk adequately.

Solution:B. Determine whether the issue was logged in the register or was overlooked during the risk identification process.

In this situation, the risk manager should determine whether the issue was logged in the risk register or was overlooked during the risk identification process. If the risk was not included in the risk register, the risk manager should investigate why it was missed and take steps to prevent similar issues from occurring in the future. Additionally, the risk manager should assess the impact of the risk on the project objectives, schedule, and budget, and develop a risk response plan that outlines the steps to be taken to mitigate the risk. Finally, the risk manager should communicate the new risk and response plan to all relevant stakeholders, including the project team, project sponsors, and the customer.

The other options are incorrect.

Informing the site project manager that the risk was not high-probability, or taking responsibility without a thorough review is premature and may not be valid. It is important that the risk manager verifies the facts and understands the discrepancy between the perceived and documented risks.

Presuming that the site project manager did not communicate the risk adequately may be unfounded and could lead to mistrust. This is not a collaborative course of action and does not assess the situation adequately.

During a project review meeting, an executive scrutinizes the risk section, including risks on the watch list, and demands action to close them out. What is the executive's risk attitude?

A. A.
B. Averse
C. B.
D. Seeking
E. C.
F. Neutral
G. D.
H. Tolerant

Solution: A. Averse

The executive's risk attitude is risk-averse, as evidenced by their demand to close out risks on the watch list. Risk-averse individuals and organizations tend to be more cautious and conservative in their approach to risk management and may prioritize risk mitigation and avoidance over risk-taking. It is important for project teams to understand the risk attitudes of stakeholders and to tailor their risk management approach accordingly.

The other options are incorrect.

Seeking is incorrect because the stakeholder is asking to close the risks out, rather than asking for more details about the probability and impact.

Neutral is not correct because the stakeholder is asking for closure, not monitoring.

Tolerant is incorrect because the stakeholder is asking for closure, not for a possible mitigation or response plan.

A risk manager joins an ongoing project and realizes that the risk identification process was cut short and there are potential risks that may not have been identified or planned for. The risk manager raises the issue with stakeholders but they are not concerned. The stakeholders explained that there were timeline constraints and assured the risk manager that they captured the risks with the highest probability of occurrence and largest impacts.

How should the risk manager address this situation?

A. A.
B. Advise that the team revisit the risk identification process despite the time constraints.
C. B.
D. Document the explanations provided by the stakeholders and continue as planned.
E. C.
F. Ensure that all of the high probability and impact risks have response strategies.
G. D.
H. Request to be reassigned to another project that has not initiated planning activities.

Solution:A. Advise that the team revisit the risk identification process despite the time constraints.

The risk manager should advise the team to revisit the risk identification process despite the time constraints. This will ensure that all potential risks are identified and planned for, which is essential for effective risk management. Failing to identify and plan for all potential risks in a project can have severe consequences. If potential risks are not identified and planned for, they may materialize during the project and cause delays, cost overruns, or other issues that can ultimately lead to project failure. Unidentified risks may require additional resources or unplanned expenditures to address, which can increase project costs and significantly impact the project timeline. Not identifying and planning for all potential risks in a project can lead to an increased likelihood of decreased quality, damage to reputation, and legal or regulatory issues.

The other options are incorrect.

Documenting the response of stakeholders may be a good idea, but continuing as planned is not advisable.

Ensuring that the identified risks are well planned for is good practice, but is not enough to address the missing risks.

Requesting to be reassigned ignores the issue, is not proactive, and may not be possible.

An agile team created a risk register for a project. All initial risks were identified using stakeholder interviews, workshops, and information from the project charter. What should the project manager do to manage the risk register and the associated risks for the remaining project duration?

A. A.
B. Assess and prioritize the risks during sprint retrospective meetings.
C. B.
D. Add risks as an agenda topic in daily coordination meetings.
E. C.
F. Update the risk register and review risks with the team regularly.
G. D.
H. Eliminate all project risks using iterative risk management.

Solution: C. Update the risk register and review risks with the team regularly.

The project manager should update the risk register and review risks with the team regularly to manage the risk register and the associated risks for the remaining project duration. This will help the project team to stay aware of the risks and take necessary actions to mitigate them.

The other answer choices are incorrect.

It is not possible to eliminate all risks.

Discussing risks in retrospectives and daily coordination meetings is not appropriate as those meetings are not meant to discuss risks regularly.

While performing a qualitative project risk analysis process the risk manager finds that the product is missing the "Definition of Done".

What type of risk is this?

A. A.
B. Commercial risk
C. B.
D. External risk
E. C.
F. Management risk
G. D.

H. Technical risk

Solution:D. Technical risk

Definition of Done (DoD) is a checklist of all the criteria required to be met so that a deliverable can be considered ready for customer use. The DoD is a critical component of the product development process, and its absence can lead to technical issues and challenges in the project. The risk manager should address this risk by identifying and analyzing potential impacts and developing appropriate risk responses to mitigate or avoid the risk.

The other options are incorrect.

An external risk would be centered around factors outside of the organization; competition, legislation, regulation, environmental factors, etc.

A management risk would be centered around managerial duties and processes; operations, resourcing, organization, communication, etc.

A commercial risk would be centered around transactional factors; procurement, contracts, subcontractors, partnerships, etc.

A new project is initiated to develop several new financial products and services for a company with offices in several countries. The risk manager has researched the regulations for each of the countries. Based on the research, the risk manager is concerned that some new products and services do not offer enough protection for the consumer.

What should the risk manager do first?

A. A.
B. Identify all of the project risks.
C. B.
D. Quantify the project risks.
E. C.
F. Develop a risk response strategy.
G. D.
H. Perform scheduled risk audits.

Solution:A. Identify all of the project risks.

The first step is to identify the risks, which is the process of determining and documenting the risks that might affect the intended outcomes. Regulations are requirements imposed by a governmental body. These requirements can establish product, process, or service characteristics, including applicable administrative provisions that have government-mandated compliance. The risk manager has to account for the regulations of each country and identify the risks associated with those regulations.

Once the risks are identified, they can be quantified, response strategies can be developed, and a risk audit schedule can be developed.

The purpose of the risk audit is to evaluate the effectiveness of the risk management process and provide recommendations for improvement.

A risk has been identified in a multi-functional project, but the project manager decides to take no action. A stakeholder complains that the project manager did not respond to the risk and is concerned about the project as a result. The project manager arranged a meeting to discuss this concern and describe response strategies, specifically the strategy used in this situation.

What type of response strategy should the project manager be sure to explain and clarify to the stakeholder?

A. A.
B. Avoidance
C. B.
D. Exploitation
E. C.
F. Procrastination
G. D.
H. Acceptance

Solution:D. Acceptance

When a risk has been identified and the project manager decides to take no action, this is considered a risk acceptance response. Risk acceptance is a risk response strategy whereby the project team decides to acknowledge the risk and not take any action unless the risk occurs. This strategy may be appropriate for low-priority threats, and it

may also be adopted where it is not possible or cost-effective to address a threat in any other way.

The other options are incorrect.

Avoidance would require the team to eliminate the threat or protect from risk impacts.

Exploitation is incorrect because it is considered when dealing with opportunities.

Procrastination is not a legitimate option.

In the planning stage of an upgrade project, a project manager benchmarked other recent projects that use the same technology. The project manager discovered that longer-than-planned outages occurred in most cases due to frequent maintenance activities.

What will be the project manager's next step?

A. A.
B. Benchmark projects using other technologies to establish a more objective baseline.
C. B.
D. Compare other similar technologies and recommend the implementation of another technology.
E. C.
F. Create a risk item in the risk register and incorporate the thresholds according to the benchmarks.
G. D.
H. Discuss the probable downtime with the sponsor and obtain approval for outages.

Solution:C. Create a risk item in the risk register and incorporate the thresholds according to the benchmarks.

The project manager should create a risk item in the risk register and incorporate the thresholds according to the benchmarks. By doing so, the project manager can proactively identify and manage the risks associated with longer-than-planned outages due to frequent maintenance activities. This can help minimize the impact of these risks on the project and ensure its success.

Risk register updates are the most critical; the other actions listed are less useful for risk mitigation.

Which of the following techniques for planning risk response can provide a means of identifying symptoms for use as trigger conditions for contingency responses?

A. A.
B. Root cause analysis
C. B.
D. Quantitative risk analysis
E. C.
F. Value stream mapping
G. D.
H. Earned value analysis

Solution:A. Root cause analysis

Root cause analysis can provide a means of identifying symptoms for use as trigger conditions for contingency responses. By identifying the root cause of a risk, the project team can develop response plans to proactively address negative product risks or take advantage of potential opportunities. This approach can help to identify symptoms and warning signs that can be used as trigger conditions for contingency responses.

The other options are incorrect.

Quantitative risk analysis, value stream mapping, and earned value analysis are not specifically related to identifying symptoms for use as trigger conditions for contingency responses.

After the kickoff meeting for an industrial project, the assigned risk manager must lead the team in identifying project risks. As team members are distributed across six countries, which risk identification method is preferable in this situation?

A. A.
B. Affinity diagram
C. B.
D. Decision tree analysis
E. C.
F. The Delphi technique
G. D.

H. Monte Carlo analysis

Solution:C. The Delphi technique

In this situation, the Delphi technique is the best risk identification method to use. This technique uses a facilitated anonymous polling of subject matter experts to identify risks in their area of expertise. The facilitator gathers the experts' initial responses and circulates them without attribution to the entire group. The group members may then revise their contributions based on those of others. The process often generates a consensus of the experts after a few iterations. This approach is particularly useful when team members are not co-located and may have different perspectives on the project risks.

The other answers are incorrect because they are not risk identification techniques, they are risk analysis techniques.

Monte Carlo analysis is a quantitative risk analysis technique that computes or iterates the project cost or project schedule many times using input values, selected at random from probability distributions of possible costs or durations, to calculate a distribution of possible total project costs or completion dates.

Decision tree analysis is a quantitative risk analysis technique used to determine partial and global probabilities of occurrence.

An affinity diagram is a qualitative risk analysis technique used to organize specific ideas or factors that contribute to a risk. It helps to sort risks by similarities or generic risk categories.

A risk manager calls a meeting to identify risks for a technically complicated volatile project. The meeting will be attended by the project team, key stakeholders, and several subject matter experts (SMEs) invited by the project manager. Some stakeholders expressed concern over the number of attendees and questioned the inclusion of the SMEs.

What should the risk manager say to explain the importance of including the SMEs?

A. A.
B. Subject matter experts have specialized expertise and can help identify and address high-risk issues.
C. B.

D. Identifying risks in a meeting with subject matter experts makes it easier to get better resources for the project.
E. C.
F. Risks will be easier to accept if the subject matter experts who attended the meeting work together.
G. D.
H. The subject matter experts will provide ongoing support if they are included early in the planning process.

Solution:A. Subject matter experts have specialized expertise and can help identify and address high-risk issues.

Subject matter experts have specialized knowledge and experience in their respective fields, which can be invaluable in identifying and addressing high-risk issues in a technically complicated project. By including SMEs in the risk identification process, the risk manager can ensure that all potential risks are identified and that the project team has access to the best possible information and expertise to manage those risks effectively. This can ultimately lead to a more successful project outcome.

The other answer choices are incorrect.

Subject matter experts do not typically provide resources beyond their expertise.

The participation of subject matter experts does not necessarily make risks easier to accept nor does it ensure ongoing SME support.

Mini Exam 1
The project enters a testing phase to validate a project requirement. The testing is occurring in a common company testing area maintained by operations. The project team accepts the external customer's additional testing requirements, which may cause a slip in the schedule. A risk is identified, added to the risk register, and a response is developed.

What is the next step?

A. A.
B. Tell the customer that the schedule risk has been added to the register.
C. B.
D. Hire more resources to ensure the original schedule is maintained.
E. C.
F. Communicate and monitor the risk response with testing and operations.
G. D.

H. Resist the scope increase to maintain the original testing requirements.

Solution: C. Communicate and monitor the risk response with testing and operations.

This is the correct response because it is the next step to be completed after the response is developed. The risk has been identified and added to the risk register, and a response has already been developed. The next step would be to communicate and monitor the risk response. The identified risk is continuously reviewed and reported at status meetings. The external customer does not need to be aware of the finite details relating to the project work, such as updating the risk register. Hiring more resources relates to planning a response strategy for the identified risk and will not be the next step after planning risk responses. Resisting the customer's scope increase and maintaining the original testing requirements is incorrect. The customer's request may be critical to achieving the successful outcome of the project and therefore will be put through the change control board to evaluate changes.

During a company's audit, it is found that no risk management information exists within the lessons learned database. What could the company do to increase the amount of risk management organizational process assets?

A. A.
B. Require the project manager to record significant risk management information, to provide concrete data in the lessons learned database for future projects.
C. B.
D. Require the project management office (PMO) to merge and distribute risk logs to all key stakeholders associated with risk management.
E. C.
F. Require the project manager to update the project management office (PMO) policy and procedures on an iterative basis to ensure relevancy to current projects.
G. D.
H. Require the project management office (PMO) to perform quality audits on all active projects, to ensure alignment with communication industry standards.

Solution: A. Require the project manager to record significant risk management information, to provide concrete data in the lessons learned database for future projects.

Updating the lessons learned database with risk management artifacts is the best way to address the audit findings. Recording risk management information, such as effective risk responses, in the lessons learned database, serves as a good source for future project work and is used to improve the performance of the project and to avoid repeating mistakes.

The other answers are incorrect because they describe the base functions and responsibilities of the project management office (PMO), regardless of the audit. The PMO will need to create and document the organizational processes assets before they will be available to merge and distribute risk logs. The primary function of the PMO is to support the project manager, which includes developing and managing project policies, procedures, and other shared documentation and organizational process assets. The PMO provides, as part of its basic functions, compliance monitoring of project

management standards by means of project audits. These project management standards must first exist through the gathering and recording of information.

During project execution, the project team realizes that the power outlet for imported equipment is not compatible with the current customer's electrical infrastructure. This event was not originally identified as a risk. To maintain the project schedule, the project manager decides to purchase a new power adapter.

What type of response best describes this course of action?

A. A.
B. Contingency plan
C. B.
D. Management plan
E. C.
F. Fall-back plan
G. D.
H. Workaround

Solution: D. Workaround

The course of action described in the scenario is a workaround. A workaround is a risk response strategy that involves taking an alternative approach to achieve the project objectives when the original plan is no longer viable. In this case, the project team discovered that the power outlet for imported equipment is not compatible with the current customer's electrical infrastructure, which was not originally identified as a risk. To maintain the project schedule, the project manager decided to purchase a new power adapter, which is an example of a workaround.

The other options are incorrect.

Contingency plans or fallback plans are response strategies designed for use when certain events occur or predefined conditions. Management plans can involve many areas such as schedule, cost, quality, procurement, human resources, and risk.

The sponsor hires a project manager as a consultant to evaluate a change program currently underway. The change program manager tells the consultant that the program, currently in the execution phase, is in good standing and detailed plans are complete and available for review. After reviewing the project documentation and talking to stakeholders, the consultant finds that this is not true. Detailed resource plans do not exist, the risk register has not been updated for months, and contract negotiations with a key vendor are behind schedule for critical deliverables.

What is the first action the consulting project manager should take based on the current state of the project?

A. A.
B. Cancel or put the project on hold and request permission to hire a replacement program manager.
C. B.
D. Assess the risk management plan and adjust it accordingly to accommodate the mistakes.
E. C.
F. Continue the project as planned, assemble the missing project documentation, and fill gaps.

G. D.
H. Meet with the project sponsor to report current findings and develop a corrective course of action.

Solution: D. Meet with the project sponsor to report current findings and develop a corrective course of action.

The first action the project manager should take is to meet with the project sponsor to report the current findings and develop a corrective course of action. This will help to ensure that the project is put back on track and that the necessary steps are taken to address the issues that have been identified.

The other options are incorrect.

Continuing the project and creating the project documentation that is missing is inadequate and ignores many critical issues.

Canceling or pausing the project and hiring a new program manager may ultimately be the solution or corrective course of action, but this must be discussed and planned for.

Assessing the risk management plan and adjusting it accordingly to accommodate the mistakes may not be enough to rescue a project and would need to be discussed and planned for with the project sponsor.

The risk manager is prioritizing risks based on the potential impact on cost and schedule and identifies the following four risks:

Risk 1 has a US$500,000 potential cost increase, and a 60-day potential schedule slippage, with a 25% probability of occurring.

Risk 2 has a US$200,000 potential cost increase, and a 20-day potential schedule slippage, with a 60% probability of occurring.

Risk 3 has a US$1,200,000 potential cost increase, and a 90-day potential schedule slippage, with a 10% probability of occurring.

Risk 4 has a US$600,000 potential cost increase, and a 70-day potential schedule slippage, with a 20% probability of occurring.

Using expected monetary value (EMV) calculation, which risk has the greatest potential impact on cost and schedule?

A. A.
B. Risk 1
C. B.
D. Risk 2
E. C.
F. Risk 3
G. D.
H. Risk 4

Solution: A. Risk 1

To determine which risk has the greatest potential impact on cost and schedule using the expected monetary value (EMV) calculation, you must multiply the potential cost increase by the probability of occurrence for each risk. EMV calculations help prioritize risks by quantifying their potential financial impact. EMV is calculated by multiplying the

probability that an event will occur and the economic impact the event would have should it occur.

Here are the EMV calculations for each risk:

Risk 1:

EMV = $500,000 x 0.25 = $125,000

Expected Schedule Impact = 60 days x 0.25 = 15 days

Risk 2:

EMV = $200,000 x 0.60 = $120,000

Expected Schedule Impact = 20 days x 0.60 = 12 days

Risk 3:

EMV = $1,200,000 x 0.10 = $120,000

Expected Schedule Impact = 90 days x 0.10 = 9 days

Risk 4:

EMV = $600,000 x 0.20 = $120,000

Expected Schedule Impact = 70 days x 0.20 = 14 days

Based on these calculations, Risk 1 has the greatest potential impact on cost with an EMV of $125,000. Additionally, Risk 1 also has the highest expected schedule impact of 15 days.

A risk manager is assigned to a short-term telecommunications upgrade project. This project is not technically complex but has rigorous implementation timelines, and very little cost reserve available to address potential problems. The project manager indicates that completing the project on time is critical, but should not be done at the expense of performance.

Which aspect of risk impact should be prioritized when designing the risk impact scale?

A. A.
B. Technical performance
C. B.
D. Project budget
E. C.
F. Technical requirements
G. D.
H. Project schedule

Solution: D. Project schedule

When designing the risk impact scale for a project, the project schedule should be prioritized as completing the project on time is critical. Other factors such as technical performance, project budget, and technical requirements should also be considered, but the project schedule should be given the highest priority in this case.

The technical performance and technical requirements are not project objectives hence, they are an incorrect response to this question. The project is not technically complex. Budget is an important consideration, but as mentioned in the question, there are some reserves available, whereas the implementation timelines are described as rigorous. Hence cost is not the most crucial aspect.

A project risk manager participated in a project risk assessment for a struggling project and reviewed the final results. What should the project risk manager do next to increase the likelihood of project success?

A. A.
B. Schedule a meeting and present the assessment results to stakeholders.
C. B.
D. Use the assessment results in the day-to-day management of project risks.
E. C.
F. Schedule a meeting with the project sponsor and discuss the assessment results.
G. D.
H. Use the assessment results to review the project handover plan to operations.

Solution: B. Use the assessment results in the day-to-day management of project risks.
After a project risk assessment is complete, the best action to take is to use the assessment results in the day-to-day management of project risks. Incorporating the assessment results into the ongoing risk management activities helps to ensure that potential risks are proactively addressed and their impact on the project is minimized. This can help to mitigate risks and increase the chances of project success.
The other options are incorrect.
Scheduling meetings to discuss or present the assessment results or reviewing the project handover plan, may be appropriate at certain points in the project but are not the most proactive actions to be taken in this scenario.

A company is executing a high-visibility project to develop mobile phone technology. The project sponsor is concerned that an overall high-risk rating may undermine support for the project within the company. The sponsor has instructed the project manager to manipulate the data used for the Monte Carlo simulation to artificially reduce the risk rating.

What should the project manager do?

A. A.
B. Schedule a face-to-face meeting with the project sponsor.
C. B.
D. Modify the simulation data as requested by the project sponsor.
E. C.
F. Ignore the project sponsor's request and proceed as planned.
G. D.
H. Email the project sponsor stating that data should not be modified.

Solution: A. Schedule a face-to-face meeting with the project sponsor.

The project manager should schedule a face-to-face meeting with the project sponsor to discuss the concerns and potential consequences of manipulating the data used for

the Monte Carlo simulation. It is important to maintain the integrity of the data and ensure that the risk rating accurately reflects the potential risks associated with the project.

If modeled and run properly, a Monte Carlo simulation will provide transparent cost justifications for risk response plans and a clear basis for project budget considerations. Both cost estimates and activity duration estimates need consideration of worst-case and best-case scenarios. A Monte Carlo simulation is only as good as the quality of information and effort put into it. In this case, manipulating the data to artificially reduce the risk rating could lead to inaccurate cost estimates and inadequate contingency plans, which could ultimately harm the project and the company. Therefore, it is important for the project manager to discuss the potential consequences with the project sponsor and find a solution that maintains the integrity of the data and accurately reflects the potential risks associated with the project.

The other options are not effective or ethical.

The PMI Code of Ethics always prefers to understand the issue at hand by confronting the issue either through face-to-face meetings or group discussions.

An email may be ambiguous and even ignored. The sponsor should be satisfied with the approach taken hence rejecting the request over an email would cause further disputes.

It would be unethical to hide the issue either within the project team or senior management.

Modifying the data is a misrepresentation of the issue and is unethical.

A project manager is hired as a consultant by the executive sponsor to manage a major change program that has experienced two past failures. The current executive sponsor believes the project is in good shape based on feedback from the last project manager and reports this to senior executive management. The executive sponsor believes no major risks threaten the schedule, budget, or quality. In the first week of risk analysis, the project manager concludes the project timeline is unrealistic and is three months behind schedule. The organization's risk appetite is low.

What is the first step that should be taken?

A. A.
B. Review the project schedule and recommend fast-tracking the schedule and/or crashing the critical path.
C. B.
D. Discuss the schedule with the executive sponsor and identify a strategy for updating the risk management and risk response plans.
E. C.
F. Update all existing risk response plans and include additional resources necessary to get the project back on track.
G. D.
H. Immediately call a steering committee meeting, report the project status, and suggest project scope reductions to save time.

Solution: B. Discuss the schedule with the executive sponsor and identify a strategy for updating the risk management and risk response plans.

The first step that should be taken in this scenario is to discuss the project schedule with the executive sponsor and agree on a strategy for updating the risk management plan and risk response plans. This is because the project manager has concluded that the project timeline is unrealistic and is three months behind schedule, which indicates that there are major risks threatening the schedule. By discussing the project schedule with the executive sponsor and updating the risk management plan and risk response plans, the project manager can develop a plan to manage the risks and get the project back on track. This approach is more proactive and effective than simply recommending fast-tracking the schedule or crashing the critical path, which may not address the underlying risks that are causing the schedule delays.

A risk-seeking organization has experienced measurable success based on its current strategy for growth. While planning for a new project, the team discovers that overall project risk far exceeds the risk threshold for the organization. The team presents their findings to stakeholders and senior management.

What should the project manager suggest?

A. A.
B. Monitor ongoing risks closely for any major changes.
C. B.
D. Proceed as planned because it is a risk-seeking organization.
E. C.
F. Consider canceling the project or scaling back the scope.
G. D.
H. Adjust the organizational risk appetite and increase thresholds.

Solution: C. Consider canceling the project or scaling back the scope.

The project manager should suggest considering canceling the project or scaling back the scope. This is because the overall project risk far exceeds the risk threshold for the organization, and proceeding with the project could potentially harm the organization's success and growth. It is important to prioritize the organization's risk appetite and make decisions that align with its overall strategy and goals. In this case, canceling the project or scaling back the scope may be the best option to align with the organization's risk appetite and ensure the project's success. The project manager should present this option to stakeholders and senior management and work with them to make a decision that aligns with the organization's overall strategy and goals.

The other options are incorrect.

Monitoring ongoing risks for changes is incorrect because it will have little to no impact on the new project. On-going risks will relate to ongoing projects. New risks should be identified for the new projects.

Proceeding as planned is inappropriate as it increases the chance of failure and would have substantial negative impacts on the organization.

Adjusting the risk appetite will not be the correct course of action because the risk appetite and threshold should not be increased just to justify a project. Risk-related controls are based on many factors and should be respected in all cases.

Mini Exam 2

After applying several risk identification techniques, the risk manager is ready to document project risks in the risk register, including risk name, risk statement, probability of occurring, and potential impact.

After this information is documented, who should typically be designated as the risk owner(s)?

A. A.
B. Client interest representatives
C. B.
D. The project management office
E. C.
F. External vendors or contractors
G. D.
H. Members of the project team

Solution: D. Members of the project team
The project team is typically designated as risk owners because they are often key participants in risk identification. All project stakeholders should be encouraged to identify individual project risks, but it is particularly important to involve the project team so they can develop and maintain a sense of ownership and responsibility for identified individual project risks, the level of overall project risk, and associated risk response actions.
The other options may be assigned as risk owners, but they are less likely options as project team members typically act as risk owners.

A project manager is creating a risk management plan, but participants in a group meeting are hesitant to express their concerns and opinions.

What should the project manager do to ensure that they capture everyone's opinions?

A. A.
B. Facilitate a brainstorming session.
C. B.
D. Perform a Monte Carlo simulation.
E. C.
F. Conduct participant interviews.
G. D.

H. Require all participants to speak.

Solution: C. Conduct participant interviews.

Interviews should be conducted in an environment of trust and confidentiality to encourage unbiased input. Interviewing experienced project, program, or portfolio participants, stakeholders, and subject matter experts can identify risks.

Brainstorming typically involves an open group discussion and relies on active participation from the group. In this situation, some participants are hesitant to interact openly, suggesting that they may be more comfortable discussing things in a more personal setting such as an interview.

Performing a Monte Carlo simulation is incorrect because it is a tool for quantitative analysis of risks previously identified.

Requiring all participants to speak may make some participants uncomfortable which could lead to conflict, low morale, or further isolation.

A risk is identified early in the project. After six months, it is determined that the risk does not apply to this particular project. How should the risk be handled by the risk manager?

A. A.
B. Ignore the insignificant risks and concentrate only on the pertinent project risks.
C. B.
D. Remove the risk from the risk register and inform the project manager that it is no longer valid.
E. C.
F. Close the risk during the next risk board meeting and keep it in the risk register.
G. D.
H. Conduct a risk analysis to determine how an inappropriate risk was formally accepted.

Solution: C. Close the risk during the next risk board meeting and keep it in the risk register.

The right attitude towards risk is not to ignore it or remove it from the risk register. Indeed, since risks are uncertain events, they can change over time, particularly in terms of probability and impact. The right attitude is rather to keep it in the risk register and monitor it regularly. Monitoring risks is the process of monitoring the implementation of agreed-upon risk response plans, tracking identified risks, identifying and analyzing new risks, and evaluating risk process effectiveness throughout the project. The key benefit of this process is that it enables project decisions to be based on current information about overall project risk exposure and individual project risks. This process is performed throughout the project. In order to ensure that the project team and key stakeholders are aware of the current level of risk exposure, project work should be continuously monitored for new, changing, and outdated individual project risks and for changes in the level of overall project risk monitoring.

A project team is working on a complex project, but they are having trouble planning risk management for the project due to a lack of specific knowledge within a technical domain. The project manager would like to hire an external risk manager with specific technical expertise to assist in identifying and analyzing risks.

What should the project manager do?

A. A.
B. Identify an internal expert with the necessary knowledge.
C. B.
D. Employ an external risk manager with technical expertise.
E. C.
F. Engage a specialized risk management consulting company.
G. D.
H. Conduct a cost-benefit analysis of hiring an external expert.

Solution: D. Conduct a cost-benefit analysis of hiring an external expert.

In order to make the decision, the project manager should evaluate the potential benefits of hiring an external risk manager with specific technical expertise against the costs of doing so. This analysis should consider factors such as the complexity of the project, the level of technical expertise required, and the potential impact of not having this expertise.

The other options are incorrect.

Identifying internal resources with proper knowledge may not be possible due to the complexity of the project and the lack of knowledge within the domain. Even if an internal resource is identified, they may not be available and the project manager should have searched for internal resources before considering hiring an external expert. When choosing between utilizing an internal resource or an external resource, a cost-benefit analysis should still be performed.

Hiring the expert without analysis is unadvisable because the cost may outweigh the benefits realized.

Hiring a specialized risk analysis company is not being considered and would still require a cost-benefit analysis.

A pharmaceutical company undertakes a new, year-long research and development (R&D) project. The company pursues high margins on investments and an aggressive growth strategy. They maintain a central program management office (PMO) to assist with new projects and record data on past project performance. The company leadership regularly makes decisions regarding the full suite of company projects and requires comparative data and reports. Project leadership is well-versed in risk management and the PMO requires full documentation of project management artifacts.

Based on the characteristics of this new project, what is the level of stakeholder risk appetite and appropriate risk strategy?

A. A.
B. Low stakeholder risk appetite; leverage historical project planning data, develop standard metrics and reports, and develop a formal risk management plan.
C. B.
D. High stakeholder risk appetite; leverage historical project planning data, develop standard metrics and reports, and develop a formal risk management plan.
E. C.
F. High stakeholder risk appetite; leverage historical project planning data, utilize informal metrics and reports, and develop risk management training.
G. D.

H. Low stakeholder risk appetite; collect new project data, create custom metrics and reports, and develop a formal risk management plan.

Solution: B. High stakeholder risk appetite; leverage historical project planning data, develop standard metrics and reports, and develop a formal risk management plan. Based on the characteristics of the new project described, the level of stakeholder risk appetite is high and the appropriate risk strategy is to leverage historical project planning data, develop standard metrics and reports, and develop a formal risk management plan. This will help the project team to effectively manage risks and make informed decisions. Stakeholder risk appetite refers to the level of risk that stakeholders are willing to accept in anticipation of a reward. The risk strategy should be aligned with the stakeholder risk appetite to ensure that risks are managed effectively.
The other options are incorrect.

Low stakeholder risk appetite: Leveraging historical project planning data, developing standard metrics and reports, and developing a formal risk management plan is incorrect because the context of the project states that the company has an aggressive growth strategy. This is indicative of an organization that is more risk-tolerant which is HIGH risk appetite, not LOW risk appetite. True they do want to temper this by leveraging past knowledge and they require formal risk management artifacts, but their appetite for risk is HIGH.

High stakeholder risk appetite: Leveraging historical project planning data, utilizing informal metrics and reports, and developing risk management training is incorrect because while the risk appetite indeed is HIGH, they require formal risk management artifacts (not informal) as the scenario states they want formal risk management artifacts.

Low stakeholder risk appetite: Collecting new project data, creating custom metrics and reports, and developing a formal risk management plan is incorrect because the context of the project states that the company has an aggressive growth strategy. This is indicative of an organization that is more risk-tolerant which is HIGH risk appetite, not LOW risk appetite. Also, they have past knowledge of project performance, so they are not likely to be developing new custom metrics.

The risk manager joins a project team that is planning for a new project and realizes that no risk management activities have been initiated. The team is operating under

the assumption that, since the stakeholders have worked on high-risk projects in the past, they are highly tolerant of uncertainty. The risk manager insists that they confirm stakeholder risk appetite before moving forward.

What should the risk manager do first to help define stakeholder risk appetite?

A. A.
B. Review past risk response plans.
C. B.
D. Perform a SWOT analysis.
E. C.
F. Conduct a sensitivity analysis.
G. D.
H. Host meetings and interviews.

Solution: D. Host meetings and interviews.
Hosting meetings and interviews with key stakeholders allows the risk manager to gain an understanding of the stakeholders' ability to tolerate uncertainty and the relative importance of achieving specific objectives. The risk manager should prepare a list of questions to ask stakeholders during the meetings and interviews to ensure that all relevant information is gathered. The output of this analysis is then considered when applying the risk management processes. As the work evolves, maintaining effective communications with the stakeholders enables teams to become aware of any changes in the stakeholders' attitudes and adapt the risk management approach to take into account any new factors.
The other options are incorrect.
Reviewing past risk response strategies is not an effective way to determine risk appetites because every project is different and risk appetite can change over time and may vary among different projects.
Conducting a SWOT analysis focuses on internal (organizational strengths and weaknesses) and external (opportunities and threats) factors, not risk appetite.
A sensitivity analysis is used to determine which individual project risks have the most potential impact on project outcomes.

A risk response strategy was not appropriately implemented leading to substantial budget and schedule issues. It was discovered that a risk action owner was never assigned to the risk.

When should the project manager have assigned a risk action owner?

A. A.
B. After risk response strategies are identified.
C. B.
D. During the initial risk analysis process.
E. C.
F. While monitoring the status of project risks.
G. D.
H. Before establishing the risk management plan.

Solution: A. After risk response strategies are identified.

The project manager should have assigned a risk action owner after the risk response strategies have been identified. This is because the risk action owner is responsible for implementing the specific risk response actions that have been identified in the risk management plan. Once the risk response strategies have been identified, the risk action owner can be assigned to implement the specific actions that have been identified in the risk management plan. It is important to assign a risk action owner to ensure that the risk response actions are implemented effectively and in a timely manner.

The other options are incorrect.

The risk action owner should have been assigned prior to monitoring risks. Risk analysis may help determine the best risk response strategies, but not assigning risk action owners. Assigning a risk action owner prior to establishing a risk management plan is premature.

A risk manager is coaching a team on risk management best practices. The team believes that monitoring risks is only necessary while a risk response strategy is being implemented. The project manager explains that the team should be more proactive when monitoring risks. What should the risk manager instruct the team to do in order to proactively monitor risks?

A. A.
B. Develop risk responses, create a risk management plan, and stay alert for risk events.
C. B.

D. Update the lessons learned documents, develop risk responses, and create the risk management plan.
E. C.
F. Track identified risks, watch residual risks, identify new risks, and evaluate risk management success.
G. D.
H. Review lessons learned document to identify risks, quantify risks, and lower impact ratings.

Solution: C. Track identified risks, watch residual risks, identify new risks, and evaluate risk management success.
The risk manager should encourage the team to be proactive by tracking identified risks, watching residual risks, identifying new risks, and evaluating risk management success when monitoring risks. This helps to ensure that risk identification becomes a natural part of every process and that risk management practices are most effective when supported by a culture that embraces proactive behavior, open communication, organizational learning, and continuous improvement.
The other options are incorrect.
Developing risk responses and creating a risk management plan is incorrect because these activities should take place during the planning process. Updating the lessons learned documents, developing risk responses, and creating the risk management plan are not correct because these activities should take place during the planning process. Reviewing lessons learned documents to identify risks, quantify risks, and lower impact ratings are not correct because these activities should take place during the planning process.

During a progress meeting, the project team learns that an identified risk materialized. The project manager decides to execute the risk response plan, but the contingency reserve does not cover the total budget for that plan.
What should the project manager do?

A. A.
B. Ask the project sponsor to apply the management reserve to cover the remaining cost of the response.
C. B.
D. Ask the project sponsor to provide an additional budget to compensate for the cost overage.

E. C.
F. Issue a change request to modify the scope, cost, and schedule baselines to support the new plan.
G. D.
H. Use the contingency reserve and assess options to reduce the budget to cover the remaining work.

Solution: C. Issue a change request to modify the scope, cost, and schedule baselines to support the new plan.
The implementation of a risk response plan necessitates a change in the current project management plan. Issuing a change request is the appropriate action to request the necessary budget, address rescheduling, and incorporate new activities into the scope.
The management reserve is typically reserved for unidentified risks. Since the risk has already been identified, the management reserve cannot be used to cover the cost of the risk response plan.
Asking the project sponsor for an additional budget would require a change request.
If the contingency reserve is not sufficient to cover the cost of the risk response plan, then the project manager should issue a change request to ask for additional funding.

In the country where a project is being executed, customs procedures are complex and change frequently. During the risk identification process, the project team identifies a risk related to delays in customs on substantial equipment that will likely occur. Equipment delays on this project could lead to project cancellation.

How should the probability and impact be characterized for this risk?

A. A.
B. Low probability/low impact
C. B.
D. High probability/low impact
E. C.
F. Low probability/high impact
G. D.
H. High probability/high impact

Solution: D. High probability/high impact

In the given scenario, the probability and impact of the risk related to delays in customs on substantial equipment should be characterized as high probability/high impact. This is because the customs procedures are complex and change frequently, which increases the likelihood of delays occurring. Additionally, equipment delays could lead to project cancellation, which would have a significant impact on the project's objectives.

Done Reviewing

Mini Exam 3

A project manager has received several complaints from stakeholders that they are confused by the complex risk-related data they are receiving. Stakeholders are having trouble determining the relative importance of risks and are concerned about risk prioritization.

What tool can the project manager use to clarify this information?

A. A.
B. Risk regression analysis
C. B.
D. Alternatives analysis
E. C.
F. Probability and impact matrix
G. D.
H. Assumption and constraint analysis

Solution: C. Probability and impact matrix.

A probability and impact matrix provides a clear and concise way to communicate risk information to stakeholders. By mapping the likelihood and impact of identified risks, stakeholders can better understand the relative importance of different risks and prioritize risk response strategies accordingly. A probability and impact matrix also provides a visual representation of the data. Visualizing data makes it easier to absorb data and turn it into information.

The other options are incorrect because they would not be as effective or relevant.

A risk regression analysis is an analytical technique where a series of input variables are examined in relation to their corresponding output results in order to develop a mathematical or statistical relationship. This may cause further confusion as it is more complex.

Alternatives analysis is used to evaluate identified options in order to select the options or approaches to perform the work of the project.

Assumption and constraint analysis ensures that assumptions and constraints are integrated into the project plans and documents and that there is consistency among them.

A cost analyst team member asks the project manager for the latest risk data for inclusion with the cost estimates for the project. Which tool should the cost analyst team member use to identify the probability of achieving specific cost targets?

A. A.
B. Monte Carlo analysis
C. B.
D. Decision tree analysis
E. C.
F. Analogous estimating
G. D.
H. Brainstorming

Solution: A. Monte Carlo analysis

Monte Carlo analysis is a quantitative risk analysis technique that uses probability distributions to simulate the possible outcomes of a project. It can be used to estimate the probability of achieving specific cost targets by simulating the impact of various risks and uncertainties on the project's cost estimates. Monte Carlo analysis computes the schedule or cost estimate many times using inputs drawn at random from ranges specified ed with probability distribution functions for schedule activity durations or cost-line items.

The other options are incorrect.

A decision tree analysis can be used to support the selection of the best of several alternative courses of action, but the question does not mention a choice between alternatives.

Analogous estimating is a method for estimating the duration or cost of an activity or a project using historical data from a similar activity or project. It would not be helpful when considering current risk data and cost estimates for a current project.

Brainstorming is a technique for generating spontaneous ideas and is typically used as a group risk identification method, but not for the purposes of the question.

Company A sells a new machine to Company B. During the risk assessment, the stakeholders of Company A do not want the risk of transporting the machine from their facility. Instead, they want Company B to take responsibility and liability once the machine leaves Company A's facility.
What strategy is Company A using to deal with the risk?

A. A.

B. Avoid
C. B.
D. Transfer
E. C.
F. Mitigate
G. D.
H. Accept

Solution: B. Transfer

Company A is using the transfer strategy to deal with the risk of transporting the machine from their facility. By transferring the responsibility and liability to Company B once the machine leaves Company A's facility, Company A is effectively transferring the risk associated with transportation to Company B. This is a common risk management strategy used when a party is unwilling or unable to assume the risk associated with a particular activity or event.

The other options are incorrect.

Avoiding the risk would be to completely eliminate or forego risk, which is not the case here. To mitigate the risk is not correct because Company A did not reduce the likelihood or impact of risk, they transferred the responsibility to Company B. Accept is incorrect because Company A did not accept the risk, they do not want the risk of transporting the machine, so they transferred the risk to Company B.

When considering human factors of risk management, a project manager is concerned that a few members of the organization have the power to greatly influence risk attitudes relative to the risk process at individual and group levels. This could cause sudden shifts in organizational risk attitudes based on the personal perceptions and interests of only a few people.

What should the project manager do to manage the influence these individuals have on the risk management process?

A. A.
B. Require all stakeholders and executive leadership to commit to a standardized organizational risk attitude.
C. B.
D. Dedicate a team member to monitor changes in individual risk attitudes throughout the project lifecycle.
E. C.
F. Facilitate a meeting with highly influential individuals and request that they do not share their risk attitudes.
G. D.
H. Establish a collaborative and transparent approach to risk management that engages all stakeholders.

Solution: D. Establish a collaborative and transparent approach to risk management that engages all stakeholders.

As a project manager, it is important to manage the influence that a few individuals may have on the risk management process. The best approach is to establish a collaborative and transparent approach to risk management that engages all stakeholders. This will ensure that all perspectives are taken into account and that decisions are made based on a consensus rather than the personal perceptions and interests of a few individuals.

The other options are incorrect.

Requiring all stakeholders and executive leadership to commit to a standardized organizational risk attitude or dedicating a team member to monitor changes in individual risk attitudes are less proactive and may not be as effective in managing the influence of a few individuals.

Facilitating a meeting with highly influential individuals and requesting that they do not share their risk attitudes may also not be effective as it may not address the underlying issue of personal perceptions and interests influencing the risk management process.

The senior risk manager hears that critical deliverables are delayed because a key subject matter expert (SME) does not have enough time to allocate to the tasks. The risk manager sees this as an opportunity to coach the project manager.

What should the risk manager review with the project manager?

A. A.
B. Scope reduction to reduce reliance on experts.
C. B.
D. Implementing risk response strategies.
E. C.
F. Risk identification process and participation.
G. D.
H. Planned and approved project schedules.

Solution: C. Risk identification process and participation.

The main reason for such a deviation is linked to the risk identification process. It seems that the risk that the SME may not allocate enough time was not identified, or not pointed out as relevant, so it was not correctly addressed (monitoring with preventing action plan). The emergent nature of risk requires the risk management process to be iterative, repeating the risk identification activities in order to find risks that were not previously evident. It may also point out a low frequency of risk review meetings. It is possible that the SME does not understand the importance and impact of participation. This scenario provides an opportunity for the risk manager to coach the project manager responsible for the project on the importance of risk identification and participation.

Scope reduction to reduce SME reliance may not be possible and does not provide an opportunity for coaching. The overall risk management plan is not the issue in this case.

Risk response is an action, planned or implemented, to address particular threats and opportunities. The threat of the SME's inability to allocate enough time was never identified as a threat.

The schedule was agreed upon, the issue is the time constraints of the SME, which should have been identified in the risk identification process.

The risk manager of a medium-sized project is performing risk response planning with the project team. The proposed action for one specific, primary risk introduces a secondary risk.

What should the risk manager and the risk owner of the primary risk do about this situation?

A. A.
B. Take no immediate action, as secondary risks are not important for the successful execution of a medium-sized project.
C. B.
D. Inform the project manager about the occurrence of a secondary risk and propose to increase the management reserve.
E. C.
F. Perform an analysis to calculate the estimated required budget for the secondary risk and propose to increase the management reserve accordingly.
G. D.
H. Produce an agreed risk description, assess the probability and impacts, and select an appropriate response strategy for the secondary risk.

Solution: D. Produce an agreed risk description, assess the probability and impacts, and select an appropriate response strategy for the secondary risk.

Secondary risks are those risks that arise as a direct outcome of implementing a risk response. Simply put, you can say that you have identified a risk and created a response plan to manage this risk. However, if you implement this risk response plan, there is a chance of a new risk. This new risk caused by the response plan is known as the secondary risk. Secondary risks are also evaluated for their severity. They may or may not need a response plan depending on their impact on the project objective. If the impact is high, you will create a response plan; if it is negligible, you will just keep them on the watch list. Taking no action is not an appropriate response as secondary risks are important and can have a big impact. It would not be appropriate to inform the project manager about the occurrence because it has not occurred yet. The risk manager is performing risk response planning. First, you would produce an agreed risk description, assess the probability and impacts, and select an appropriate response strategy for the secondary risk. The same applies to performing an analysis to calculate the estimated required budget for the secondary risk and propose to increase the management reserve accordingly, making it incorrect.

During the execution of a multi-million dollar project, the project manager learns of the theft of important installation materials at one of the most time-critical sites. The project manager contacts the risk manager to discuss further steps, based on the risk register and the defined risk strategy for the

risk of theft. However, the risk manager clarifies that the risk of theft was not identified in the risk management process.

What should the project manager do next?

A. A.
B. Deal with the issue and instruct the risk manager to include the theft in the issue log.
C. B.
D. Update the project schedule and inform the stakeholders about the project schedule delay.
E. C.
F. Instruct the risk manager to transfer the risk of theft to an insurance company.
G. D.
H. Make the risk manager responsible for the damage caused by the missing strategy for theft.

Solution: A. Deal with the issue and instruct the risk manager to include the theft in the issue log.

Dealing with theft as an issue is correct because the incident already happened and it was not identified earlier in the risk management process as a risk. So, the risk manager should include it in the issue log to deal with it immediately. Updating the project schedule is not correct because it will not solve the issue. Transferring the risk of theft to an insurance company is not correct because this is an issue that has already happened not a risk; and "issue transfer" is not a response strategy. Making the risk manager responsible is not correct because missing a risk during the risk management process is not a crime, rather it is considered business as usual. Furthermore, the risk manager is part of the project management team; and holding one person responsible for missing a risk is not ethically acceptable.

A project team is preparing for an upcoming project and has identified project risks and developed risk response strategies to address risks should they materialize. What should the project team do next before finalizing the risk response planning process?

A. A.
B. Add the risk response strategies to the project management plan and document the predicted timeline and budget overage.
C. B.
D. Ensure that the risk response plans are realistic, can be implemented successfully, and are agreed upon by all parties.
E. C.
F. Compile a list of all relevant stakeholders and notify them that the team will be finalizing the risk response strategies.
G. D.
H. Issue a change request to modify the scope, cost, and schedule baselines to support the newly identified response strategies.

Solution: B. Ensure that the risk response plans are realistic, can be implemented successfully, and are agreed upon by all parties.
This involves evaluating the proposed risk response strategies to ensure that they are feasible and appropriate for the identified risks and that they align with the project's objectives and constraints. For example, the team has identified a risk of "delayed supply X delivery" as well as the risk response of "engaging vendor Y who is more expensive but also can deliver supply X faster". Once risks and response strategies are identified, the team also needs to evaluate the implications of employing such risk response on the rest of the project. This includes evaluating the impact on overall costs, timelines, stakeholder relationships, and so forth. It's also important to ensure that all stakeholders are aware of the proposed risk response strategies and agree to them. By doing so, the project team can ensure that the risk response plan is effective and can be implemented successfully.
The other options are incorrect.
Before taking any further action, such as notifying stakeholders or adding the risk response plan to the project management plan, the team should ensure that the risk response plans are realistic, can be implemented successfully, and are agreed upon by all parties. Without doing so there may be serious implications if a risk materializes and the response is not appropriate or aligned. A response strategy may successfully address the risk event, but if it is not feasible, it is worthless.
A change request is not necessary at this time.

While creating the appropriate risk strategy, the project manager discovers that the project team lacks the necessary expertise to define the risk management plan. There is no time to initiate immediate training, but training will be provided before releasing the team.

What should the project manager do to address the knowledge gap?

A. A.
B. Request qualified resource replacements.
C. B.
D. Independently create the plan for the team.
E. C.
F. Collaborate with subject matter experts.
G. D.
H. Delay planning until after training is complete.

Solution: C. Seek subject matter expertise.

When the project manager discovers that the project team lacks the necessary expertise to define the risk management plan, they should collaborate with subject matter experts to address the knowledge gap. This will help ensure that the risk management plan is properly defined and that the project team has the necessary knowledge to execute it effectively. While training may be scheduled before releasing the team, it is important to address the knowledge gap as soon as possible to avoid any potential risks to the project.

The other options are incorrect.

Replacing the team may not be possible or necessary. This action also does not address the knowledge gap proactively.

Independently creating the plan is not collaborative and does not provide the team with the opportunity to learn from the process.

Delaying planning is not appropriate in this scenario because there is no time for immediate planning. Training will be provided, but there is no indication of when it will occur, hence, making it inadvisable to delay planning.

Review Category Risk Strategy and Planning

A key stakeholder continuously refers to a specific project risk as an issue, but that is an inaccurate representation. This has caused confusion among the team and other stakeholders. The risk manager meets with the stakeholder to coach and mentor them on risk management terms and meanings.

How should the risk manager describe the definition of an issue within risk management?

A. A.
B. A negative effect arising from the occurrence of a threat.
C. B.
D. A probable event that has a positive or negative impact.
E. C.
F. A known risk that has a significant impact on the project.
G. D.
H. An uncertain event that may impact project objectives.

Solution: A. A negative effect arising from the occurrence of a threat.
A project issue within a project environment refers to a negative effect on a project objective arising from the occurrence of a threat. When a threat occurs, a risk becomes an issue or problem.
The other options listed are incorrect because they relate more closely to risks rather than issues.
Issues and risks are related but distinct concepts. Risks can be positive (opportunities) or negative (threats). A risk is an uncertain event or condition that may have a positive

or negative impact on project objectives, while an issue is an event or condition that has already occurred and is having a negative impact on project objectives.

A newly hired risk manager has developed the organization's risk management plan. The CEO disapproves of the plan and informs the risk manager that the organization can tolerate additional costs but will not tolerate any risks on quality.

What should the risk manager do?

A. A.
B. Align the risk management plan to the organization's thresholds.
C. B.
D. Demonstrate the positive side of cost optimization to the CEO.
E. C.
F. Explain to the CEO that risk has nothing to do with quality issues.
G. D.
H. Conduct a stakeholder analysis and spend more time with them.

Solution: A. Align the risk management plan to the organization's thresholds.

The risk manager should align the risk management plan to the organization's thresholds by reviewing the plan and identifying areas where it may exceed the organization's risk tolerance or thresholds for quality. The risk manager should then adjust the plan accordingly to ensure that it aligns with organizational objectives and priorities. This may involve revising risk responses, adjusting risk mitigation strategies, or reallocating resources to address high-priority risks. It is important for the risk manager to communicate these changes to the CEO and other stakeholders to ensure their buy-in and support.

The other options are incorrect.

Explaining the positive side of cost optimization may not address the CEO's concerns about quality risks, and may not be relevant to the situation at hand.

Explaining that risk has nothing to do with quality issues is not accurate, as risk management is closely tied to quality management.

Conducting a stakeholder analysis and spending more time with them may help to better understand their concerns and priorities, but it is not a solution in and of itself.

A mining organization hired a new risk manager with extensive industry experience and an understanding of the sustainability risk constraints driving the mining industry. During the risk identification process, the new risk manager notices that the organization lacks interest in sustainability and finds it to be a costly and time-consuming undertaking.

What should the risk manager do?

A. A.
B. Communicate the importance of sustainability initiatives to the CEO and high-priority stakeholders.
C. B.
D. Define and communicate business drivers and develop a plan that addresses the sustainability risks.
E. C.
F. Facilitate sustainability training courses for the organization's key stakeholders and the project team.
G. D.
H. Implement an effective cost optimization strategy to handle the costs associated with sustainability.

Solution: B. Define and communicate business drivers and develop a plan that addresses the sustainability risks.

Sustainability risks can have a significant impact on an organization's reputation, financial performance, and ability to deliver business value.

The risk manager has identified sustainability as a constraint driving the industry and should develop a plan that addresses sustainability risks. This involves identifying the benefits of sustainability and how it aligns with the organization's strategic objectives. Determining the drivers will help to align sustainability with the organization's strategic objectives and demonstrate the value of sustainability to the organization. The risk manager should also work with key stakeholders to develop a sustainability plan that addresses the organization's sustainability risks and opportunities. This plan should include specific actions and metrics to measure progress toward sustainability goals. This should all be communicated throughout the process to ensure transparency, awareness, buy-in, and support.

The other options are not as comprehensive or effective.

Communicating the importance of sustainability at the next meeting is not adequate. The risk manager should provide context and information regarding the benefits of sustainability and how it aligns with the organization's strategic objectives. The CEO and stakeholders are not unaware of sustainability, they simply do not recognize the value of sustainability initiatives.

Sustainability training for key stakeholders may be necessary and/or helpful as a long-term initiative, but it does not address the current need to address sustainability concerns. Training may not be feasible as a timely reaction and the issue should be addressed proactively.

Implementing an effective cost optimization strategy may also be necessary, but it should not be the only solution as it may not address the underlying sustainability risks.

A project manager is replaced after project planning has begun. The team is preparing to identify the risk appetite of project stakeholders. The new project manager must first identify the stakeholders.

What should the project manager review to effectively identify project stakeholders?

A. A.
B. Project charter, management reserve, enterprise environmental factors, and organizational process assets
C. B.
D. Project management plan, human resource plan, enterprise environmental factors, and organizational process assets
E. C.
F. Project charter, project management plan, enterprise environmental factors, and communications management plan
G. D.
H. Project management plan, communications management plan, lessons learned, and organizational process assets

Solution: C. Project charter, project management plan, enterprise environmental factors, and communications management plan

To effectively identify project stakeholders, the new project manager should review the project charter, project management plan, enterprise environmental factors, and

communications management plan. The project charter outlines the project's objectives, scope, and stakeholders and will help the project manager identify key stakeholders and their roles in the project. The project management plan includes information on how the project will be executed, monitored, and controlled. The project management plan will help identify the stakeholders involved in these processes. The communications management plan outlines how project information will be communicated to stakeholders. The project manager can use this information to identify stakeholders who must be kept informed as the project progresses. Enterprise environmental factors are external factors that can impact the project, such as industry standards, regulations, and market conditions. This information can help to identify stakeholders who may have an interest in the project.

The other options are incorrect.

The other options may have some helpful information, but the most effective and comprehensive option is to review the project charter, project management plan, enterprise environmental factors, and communications management plan.
Management reserve is the time or money that management sets aside in addition to the schedule or cost baseline and does not identify stakeholders.
Human resource plans typically focus on broader project resources, not specific project stakeholders.

Lessons learned may be helpful for a general understanding of past similar projects, but would not be the ideal resource for the scenario.

Which of the following templates would be most appropriate to include in a risk management plan?

A. A.
B. Formal risk statement format
C. B.
D. Work performance reports
E. C.
F. SWOT diagram structure
G. D.
H. Proper brainstorming indexes

Solution: A. Formal risk statement format.

The most appropriate template to include in a risk management plan is a formal risk statement format. A risk statement is a formal description of a potential risk that includes information about the risk's likelihood, potential impact, and potential consequences. Many organizations have predefined approaches to risk management such as risk statement formats, standard templates, and common definitions of concepts and terms. A formal structure for a risk statement helps ensure that risks are consistently identified, analyzed, and communicated throughout the organization. Other templates listed, such as the work performance report, structure for a SWOT diagram, and formal brainstorming list, are not typically included in the risk management plan.

Which of the following represents levels of risk attitude?

A. A.
B. Conservative, moderate, and liberal
C. B.
D. Risk-averse, risk-neutral, risk-tolerant, risk-seeking
E. C.
F. Risk-mitigating, risk-avoiding, risk-transferring, risk-accepting
G. D.
H. High, medium, and low

Solution: B. Risk-averse, risk-neutral, risk-tolerant, and risk-seeking.

Risk attitude is a disposition toward uncertainty, adopted explicitly or implicitly by individuals and groups, driven by perception, and evidenced by observable behavior. The correct answer is therefore the one that cites the averse, neutral, tolerant, and seeking attitudes towards risk as a characteristic of the stakeholders. The stakeholder register contains details of the project's stakeholders and provides an overview of their project roles and their attitude toward risk on the project. Risk attitude information is useful in determining roles and responsibilities for managing risk on the project, as well as setting risk thresholds for the project. Conservative, moderate, and liberal are not risk attitudes. Risk-mitigating, risk-avoiding, risk-transferring, and risk-accepting are strategies for threats. High, medium, and low are gradients that can be used for qualitative risk assessment.

The project manager needs to create a risk management plan for a high-risk project. The company's senior management does not see value in spending time identifying and documenting low-probability risks and asks to skip this and start the project immediately.

What should the project manager do first?

A. A.
B. Create a risk register with only high-probability risks and assign members of senior management as risk action owners.
C. B.
D. Engage a risk consultant to identify all risks while the project team initiates the project immediately as requested.
E. C.
F. Assess the risk appetite and risk attitude of senior management and develop a risk management plan accordingly.
G. D.
H. Meet with the team to identify all risks associated with the project even if that means implementation would be delayed.

Solution: C. Assess the risk appetite and risk attitude of senior management and develop a risk management plan accordingly.

The project manager should first assess the risk appetite and risk attitude of the senior management team, and then determine the best approach for creating a risk management plan. This may involve prioritizing the risks based on their potential impact and likelihood and focusing on documenting the most critical risks first. It is important for an organization to establish clear and agreed risk appetite statements to guide risk-based decision-making and to set the scope for overall risk management activities. Assessing the risk appetite and risk attitude of senior management before creating a risk management plan will help maintain alignment with organizational strategy, establish risk culture, and understand the perception of value. The project manager should also communicate the value of documenting low-probability risks and make sure that senior management has a comprehensive understanding of the potential impacts of the decision prior to moving forward.

The other options are incorrect.

Developing a risk register with only high-probability risks could lead to issues down the road, especially if the risk appetite of senior management does not align with this strategy. Assigning senior management as risk action owners is not advisable as they are not likely to be available to do so and may lack the knowledge or understanding necessary to be effective in that role.

Engaging a risk consultant may be helpful, but the project should not begin without first identifying risks. Risks should be planned for at the onset of the project to ensure efficient and timely responses, influence decision-making, and ensure transparency and shared understanding. Even if it is decided that only high-probability risks will be identified and documented, that should occur prior to initiating the project.

Ignoring the request and identifying all risks and potentially delaying implementation is inappropriate, lacks transparency, and may cause serious issues.

A project team is working to develop and implement a risk management plan for a new project. Before doing so, the project manager instructs the team to confirm the feasibility of the risk management planning to ensure that it is effective and aligned with the organization's overall strategy.

What is the feasibility of the risk management planning is dependent upon?

A. A.
B. Market share and the organization's reputation
C. B.
D. The overall level of risk management maturity
E. C.
F. Alignment with industry-specific requirements
G. D.
H. Culture, people, and infrastructure capabilities

Solution: D. Culture, people, and infrastructure capabilities

The feasibility of risk management planning refers to an organization's ability to effectively plan and manage risks, which is dependent upon its culture, people, and infrastructure capabilities.These factors should be taken into account when developing and implementing a risk management plan to ensure that it is effective and aligned with the organization's overall strategy.

The other options are incorrect.

External environmental factors such as market share do not influence whether a project can develop a practical risk management plan.

Organizations of any level of risk management maturity can conduct risk management planning.

While an effective risk management plan should consider environmental factors such as industry standards, its feasibility is not dependent on this.

The project manager is working on a large-scale project with stakeholders and subject matter experts (SMEs) located globally. The project manager has been unable to obtain a global consensus on the project's scope from the competing subject matter experts and stakeholders. This has caused a one-month delay.

What should the project manager do next to reduce further delay?

A. A.
B. Initiate a scope change request.
C. B.
D. Schedule a kickoff meeting.
E. C.
F. Plan a stakeholder meeting.
G. D.
H. Engage the project sponsor.

Solution: D. Engage the project sponsor.

Involving the project sponsor can help to resolve conflicts and obtain consensus among the stakeholders. The project sponsor can also provide support and resources to help the project manager overcome obstacles.

The other options are incorrect.

Initiating a scope change request may be premature and does not directly address the issue in a proactive way.

Scheduling a kickoff meeting ignores the issue, which is not advisable.

Planning a stakeholder meeting would not be efficient because the stakeholders and SMEs are having trouble coming to a consensus, so another meeting is not a practical solution.

What are the supporting elements for effective risk management?

A. A.
B. Trained core people, a matrix organization, and a standardized project process
C. B.
D. Competent people, a collaborative team, and a rigid risk management strategy
E. C.
F. Qualified people, a supportive organization, and a simple scalable process
G. D.
H. Expert project teams, a functional organization, and predictive techniques

Solution:C. Qualified people, a supportive organization, and a simple scalable process

Effective risk management requires these supporting elements. The individuals involved in risk management should have the necessary skills and knowledge to identify, assess, and manage risks effectively. The organization should have a culture that supports risk management and provides the necessary resources to implement it effectively. The risk management process should be easy to understand and implement, and it should be scalable to fit the needs of the organization. These elements are crucial for successful risk management, and they should be tailored to the specific needs of the organization.

The other options are incorrect.

Predictive techniques may not always be necessary or relevant to effective risk management.

Whether a matrix organization is the best fit for a development project depends on the specific needs of the organization.

Rigid or standardized processes do not guarantee effective risk management and may even impede risk management efforts.

Review Category Risk Identification

A risk manager works with the project team, senior management team, subject matter experts, and other stakeholders to identify the project risks. Which of the following can be used to identify risks based on project objectives by category?

A. A.
B. Affinity diagram
C. B.
D. Risk breakdown structure (RBS)
E. C.
F. Decision tree method
G. D.
H. Work breakdown structure (WBS)

Solution:B. Risk breakdown structure

The risk breakdown structure (RBS) is a tool/method from the risk management plan that can be used to identify a risk based on project objectives by category. The RBS is a hierarchical framework of potential sources of risk, and it helps to identify risks by breaking down the project into smaller components and identifying risks associated with each component. By categorizing risks based on project objectives, the RBS helps to ensure that all potential risks are identified and that they are aligned with the project's objectives.

The other options are incorrect.

Affinity diagrams, decision trees, and work breakdown structures are not specifically related to identifying risks based on project objectives by category.

Affinity diagrams help to unify large amounts of data by finding relationships between concepts but do not typically help to categorize information based on objectives.

A decision tree model is a diagramming and calculation method for evaluating the implications of a chain of multiple options in the presence of uncertainty.

A work breakdown structure is a hierarchical decomposition of the total scope of work to be carried out by the project team to accomplish the project objectives and create the required deliverables.

A stakeholder is assigned as the risk owner for an identified risk. The stakeholder is unfamiliar with risk management and the role of a risk owner. The risk manager meets with the stakeholder to coach and mentor them on risk management.

How should the risk manager describe the role of a risk owner?

A. A.
B. Risk owners are responsible and accountable for managing risks.
C. B.
D. Risk owners are responsible for creating a detailed description of a risk.
E. C.
F. Risk owners are responsible for managing the risk management plan.
G. D.
H. Risk owners are responsible for the identification of new risks.

Solution: A. Risk owners are responsible and accountable for managing risks.

The risk manager should describe the role of a risk owner as being responsible and accountable for managing risks. This includes identifying, assessing, and prioritizing risks, developing and implementing risk response plans, and monitoring and controlling risks throughout the project or program lifecycle.

The other options are less accurate and comprehensive.

All project stakeholders and the project team should participate in identifying and describing risks, not solely the risk owner.

A risk owner is not independently responsible and accountable for the entire risk management plan.

During initial project planning, a project manager was informed that a team member had been exclusively allocated to the project. Halfway through the project, the team member was assigned to another project.

What should the project manager do?

A. A.
B. Discuss the impacts on project delivery with the functional manager and develop an appropriate course of action.
C. B.
D. Document this as a risk in the risk register and implement the appropriate response strategy for the risk.
E. C.
F. Ensure that all team members are cross-trained on all project tasks to decrease the impact on the project outcome.
G. D.
H. Escalate this issue to the project sponsor and request that they secure the return of the team member.

Solution: A. Discuss the impacts on project delivery with the functional manager and develop an appropriate course of action.

The impact of resource reallocation/reassignment should first be discussed with the functional manager. The project manager should meet with the functional manager to discuss the reasoning behind reassigning the team member to another project, the impacts associated with the change, and potential solutions. There is no way of knowing why the team member was transferred or how to proceed. It is possible that the functional manager mistakenly thought that the team member was no longer necessary, or it could be a response to a larger issue. Without a meeting to discuss this, there is no clear way to address the issue.
The other options are incorrect because they are not the most immediate or effective actions.
Adding this issue to the risk register is not an appropriate action at this point and does not resolve the issue. This is an issue at this time and was not known nor identified as a risk, so a response plan would not exist.
It may not be possible or necessary to ensure that all team members are cross-trained

to work on all project tasks. This also does not help to address the current issue. Escalating the issue to the project sponsor may not be necessary, so the project manager should first gain a better understanding of the issue before taking action. The sponsor may not be able to move the team member between teams and it may not be appropriate to do so.

In addition to the risk management plan, what are the main outputs of the risk identification process?

A. A.
B. Lessons learned, risk report, and risk register
C. B.
D. Risk report, risk register, and updated document updates
E. C.
F. Risk management plan, risk register, and risk responses
G. D.
H. Risk report, issue log, and a probability and impact matrix

Solution:B. Risk report, risk register, and updated project documentation

The main outputs of the risk identification process are the risk report, risk register, and updated project documentation. The risk report summarizes information on individual project risks and the level of overall project risk The risk register is a repository in which outputs of risk management processes are recorded. Project document updates may include updates to the project scope, schedule, budget, and other project plans and documents to reflect the identified risks. These outputs are important for effective risk management and should be regularly reviewed and updated throughout the project lifecycle.

The other options are incorrect because they contain options that occur after risks are identified.

A probability and impact matrix would be conducted while analyzing risks, not while identifying them.

Risk responses are not determined when identifying risks.

Lessons learned record knowledge gained during a project.

A risk manager has suggested that the project team copy the risk triggers and thresholds from a past project. What must the risk manager be sure is clearly understood by the team prior to commencing this exercise?

A. A.
B. The copied risk thresholds and triggers must be documented and should not be changed or altered.
C. B.
D. The copied risk triggers and thresholds should be relevant and applicable to the current project.
E. C.
F. The copied risk triggers and thresholds should be comprehensive and duplicated completely.
G. D.
H. The copied risk thresholds and triggers can serve as inputs to be updated at project closure.

Solution: B. The copied risk triggers and thresholds should be relevant and applicable to the current project.

The team should understand that the copied risk triggers and thresholds should be relevant and applicable to the current project. It is important to ensure that the copied risk triggers and thresholds are still applicable and suitable to the current project and that they align with the organization's risk management strategy and governance.

The other options are incorrect.

The copied risk triggers and thresholds are a good starting point as long as they are relevant to the new project. These inputs should be reviewed and tailored to fit the current project. There may be information that is not relevant to the new project, this information should not be copied as it is not applicable. Waiting until project closure is not effective risk management.

A project team is preparing for a routine project that is repeated annually. The team would like to identify potential risks and areas for improvement and establish a basis for measuring performance.

What should the project team do to begin this process?

A. A.
B. Request that the project sponsor review the historical data and prepare a report.
C. B.
D. Perform benchmarking by comparing the project to similar previous projects.
E. C.
F. Initiate the project planning process as planned because the project is routine.
G. D.
H. Integrate sophisticated reporting software to support cross-functional collaboration.

Solution: B. Perform benchmarking by comparing the project to similar previous projects.

The team should perform benchmarking by comparing the project to similar previous projects. This will help identify potential areas for improvement and establish a basis for measuring performance. By comparing the project to similar previous projects, the team can identify best practices and areas where improvements can be made. This will help ensure that the project is completed more efficiently and effectively.

The other options are incorrect.

The team should be involved in reviewing historical data and other documentation at the start of a project.

It is not advisable to initiate the project without analysis, even if it is routine. There is often room for improvement as new tools and resources may have become available and the project environment may have changed over time.

A software system may help with collaboration but does not directly provide insights on areas for improvement or a basis for measuring performance. There is also no proof that there is any issue with collaboration or that the organization does not already have systems in place for this.

Project stakeholders have contributed to the risk identification process led by the risk manager. As the risk management process continues, they become less involved and start focusing on the project activities to ensure there is no schedule slippage.

What should the risk manager do?

A. A.
B. Identify the stakeholders who remained engaged and continue the risk management process with this smaller group.
C. B.
D. Discuss the matter with the project team and inform them that they may conduct identification without the stakeholders.
E. C.
F. Notify stakeholders that risk management is a systematic process that should be applied throughout the project.
G. D.
H. Record this matter in project records specifying the stakeholders involved and report the issue to the project sponsor.

Solution: C. Notify stakeholders that risk management is a systematic process that should be applied throughout the project.

Proactively identifying risks throughout the project can help avoid or minimize the impacts of threats and trigger or maximize the impacts of opportunities. Telling stakeholders that risk management is a systematic process that should be applied throughout the project will help ensure that all stakeholders understand the importance of risk management and their role in the process. It is important to communicate this message clearly and consistently throughout the project to maintain stakeholder engagement and support for risk management activities.

The other options are incorrect.

Ignoring the stakeholders who are disengaged is not proactive and does not address the issue.

While it is important to discuss this with the project team, continuing without the input of stakeholders is not advisable and can result in incomplete risk identification and does not address the importance of stakeholder involvement.

Recording project information is vital in general, but this does not address the core issue.

PESTLE, TECOP, and SPECTRUM are three examples of prompt lists that can be used during risk management activities. Prompt lists are used to do which of the following?

A. A.
B. Facilitate risk identification
C. B.
D. Evaluate risks simultaneously
E. C.
F. Identify the impact of risks
G. D.
H. Achieve the relative weighting

Solution: A. Facilitate risk identification

Prompt lists such as PESTLE, TECOP, and SPECTRUM are used to facilitate risk identification during risk management activities. They provide a predetermined list of risk categories that might give rise to individual project risks, and that could also act as sources of overall project risk. The prompt list can be used as a framework to aid the project team in idea generation when using risk identification techniques. The risk categories at the lowest level of the risk breakdown structure can be used as a prompt list for individual project risks.

The other options are incorrect.

Prompt lists assist in identifying risks, but they do not evaluate them or specifically identify the impact of those risks.

Prompt lists are not used to achieve relative weighting of risks.

What identification technique is used to help reduce the ambiguity of a risk statement?

A. A.
B. Driver, risk, outcome
C. B.
D. Exploit, risk, accept

E. C.
F. Probability, risk, impact
G. D.
H. Cause, risk, effect

Solution: D. Cause, risk, effect

For identifying risks, a risk register is created. It is used to document the results of risk analysis and risk response planning. The risk statement is part of this and identifies risks in as much detail as possible. The structure for describing risk is an event may occur causing impact, or if cause exists, an event may occur leading to effect. The other areas of drivers, outcomes, exploits, acceptance, probability, and impact are part of the risk analysis and responses which comes after the identification of risks.

In an AI project to develop a machine learning algorithm for natural language processing, the project team is evaluating the project management information system (PMIS) process and data.

What approach should the risk manager prioritize to evaluate the PMIS process and data?

A. A.
B. Conduct a thorough audit of the PMIS process and data to identify areas for improvement and ensure alignment with objectives.
C. B.
D. Implement a project management software solution with advanced analytics capabilities to analyze the PMIS process and data.
E. C.
F. Engage in regular project review meetings with key stakeholders to discuss the effectiveness of the PMIS process and data.
G. D.
H. Appoint a dedicated data analyst to perform statistical analysis covering all processes and data components of the PMIS.

Solution: A. Conduct a thorough audit of the PMIS process and data to identify areas for improvement and ensure alignment with objectives.

Conducting a thorough audit of the PMIS will help to identify any gaps or weaknesses in the PMIS process and data, and provide insights that can be leveraged to generate

recommendations for improvement. It is important to ensure that the PMIS analysis is comprehensive, documented, and dynamic and provides direction and integrates information from individual project/program management systems.

The other options are incorrect.

Implementing a software solution may be helpful but would not be comprehensive enough for this purpose.

Regular status meetings are important, but they do not address this scenario.

A data analysis may be helpful but may be unnecessary and resources may be unavailable. It is advisable to engage an analyst if issues or areas for improvement are identified.

Risk Analysis

A change in the project objectives has occurred due to a change in regulatory requirements, which impacted the risks associated with the scope, schedule, and cost.

What should the project team do to address the changes in the project environment?

A. A.
B. Withdraw the current risk management plan and initiate the planning process to rewrite it.
C. B.
D. Close all risks on the current risk register and perform the risk identification procedures again.
E. C.
F. Review the risk management plan for changes that should be reflected in organizational processes.
G. D.
H. Ensure all risks that impact the baseline undergo qualitative analysis and/or quantitative analysis.

Solution: D. Ensure all risks that impact the baseline undergo qualitative analysis and/or quantitative analysis.

All risks undergo qualitative analysis, and some risks undergo quantitative analysis when the risk impacts the baseline and/or when analysis of the combined effect of

multiple risks is required. This will help to identify any new risks that have been introduced due to the change in project objectives and regulatory requirements. The project team should also evaluate any new risks that are introduced due to the addition to or change in scope. The project manager works with the change control board and the change requestor to guide change requests through the change control process. Approved changes would then be documented in the applicable project planning documents, product backlog, and project scope.

The other options are incorrect.

Withdrawing the risk management plan is not appropriate and may cause delays, confusion, and cost overruns.

Closing all risks is not applicable.

Reviewing the risk management plan for changes that should be reflected in organizational processes may be helpful in a holistic sense, but it does not directly address the changes in the project environment.

A risk manager completed plans for a project and submitted all documents for approval from stakeholders and the CEO. There has been a delay in obtaining approvals, which is causing delays. The project team did not anticipate this issue and did not allocate time for delays in obtaining approvals.

What should the risk manager do?

A. A.
B. Ask the risk owner to escalate the issue directly to the CEO to ensure that approvals are obtained immediately.
C. B.
D. Investigate the cause and impact of the delay in obtaining approvals and develop a strategic response plan.
E. C.
F. Adjust the project plans by lowering work completion estimates to show that work will be completed on time.
G. D.
H. Perform a team inspection to determine which of the team members was responsible for obtaining approvals.

Solution: B. Investigate the cause and impact of the delay in obtaining approvals and develop a strategic response plan.

The risk manager should first examine the cause of the delay. This should involve speaking with the CEO and other stakeholders to pinpoint the roadblock as well as examining other potential contributing factors. The risk manager should also assess the impact of the delay on the project schedule and budget. Based on the cause and impact of the delay, the risk manager should develop a risk response plan to address the delay. This may involve reallocating resources, adjusting the schedule, or seeking alternative approval processes to help minimize the impact of the delay. The risk manager should also communicate the delay and the risk response plan to the project team and other stakeholders.

The other options are incorrect.

A risk owner may not be the appropriate person to escalate the issue, especially not on their own. It is also not advisable to escalate directly to the CEO without including other stakeholders or concerned parties.

Adjusting the project plans just to show that the work will be completed on time is unethical and could have negative impacts throughout the project. This option is not proactive and does nothing to address the issue.

The question states that the risk manager completed plans for a project and submitted all documents for approval. There is also no proof that the delay is caused by the project team because they are waiting on approval, which is above the team's authority.

A project manager is working with a team of newly hired resources. The project manager requests that the team develop a probability and impact matrix. The team asks the project manager to explain why this is important. Which of the following best describes the strength of the probability and impact matrix for qualitative risk analysis?

A. A.
B. It is used as an input for a decision tree analysis.
C. B.
D. It helps in handling factors like urgency and manageability.
E. C.
F. It requires expert facilitators for quantitative risk analysis.

G. D.
H. It reflects the organization's level of risk appetite.

Solution: D. It reflects the organization's level of risk appetite.

The strength of the probability and impact matrix is that it reflects the organization's level of risk appetite. The matrix helps to understand the organization's tolerance for risk and assists in developing risk responses that align with the organization's overall risk management strategy.

A decision tree is a quantitative risk analysis tool. A decision tree is a diagramming and calculation technique for evaluating the implications of a chain of multiple options in the presence of uncertainty. The probability and impact matrix does not help the decision tree as both are vastly different techniques where the first is used for collating expert scores whereas decision trees help in quantifying the cost of decisions made or actions taken. Urgency and manageability are not handled efficiently by an impact matrix because it is based on an expert's opinion, which is not the ideal way to handle these factors. Qualitative risk analysis helps to determine an organization's level of risk appetite, and hence, that is the correct answer.

After years of experience, a project manager becomes the lead manager for a company and asks all project managers to use a specific technique when they perform qualitative risk analysis on their projects. This technique consists of achieving the relative weighting of the project's objectives in terms of priority to the stakeholders.
What is the name of this technique?

A. A.
B. Critical path method (CPM)
C. B.
D. Objectives stakeholders weighting (OSW)
E. C.
F. Analytic hierarchy process (AHP)
G. D.
H. Responsibility assignment matrix (RAM)

Solution: C. Analytic Hierarchy Process (AHP)
AHP is a technique used to achieve the relative weighting of the project's objectives in

terms of priority to the stakeholders. It involves breaking down complex decisions into a hierarchy of smaller, more manageable components and then evaluating each component in relation to the others. AHP is a widely used technique in project management for decision-making and prioritization.
The other options are incorrect because they do not align with the technique described.

A risk manager assessed all project risks, and the team is now identifying common groupings of risks. What tool or technique is used to perform this risk assessment?

A. A.
B. Risk breakdown structure (RBS)
C. B.
D. Risk probability and impact assessment
E. C.
F. Risk register
G. D.
H. Risk identification checklist

Solution: A. Risk breakdown structure (RBS).

A risk breakdown structure (RBS) is a hierarchical representation of potential sources of risk. The RBS helps to identify specific risks in relation to its category and offers a framework for other risk identification techniques. The other options are incorrect because they are not effective ways to identify the common groupings of risks.

A risk register is a repository in which outputs of risk management processes are recorded. A risk register contains the results of qualitative risk analysis, quantitative risk analysis, and risk response planning.

Risk probability and impact assessment tools are typically used to distinguish the priority of a risk. They allow organizations to prioritize the project risks for further analysis and reflect the organization's level of risk tolerance.

Risk identification checklists are often compiled to capture previous project experience and allow it to be used for subsequent similar projects.

A project team has decided to purchase off-the-shelf software for part of the project, but there is a risk that the software will need to be customized. The software costs $600,000, and customization would cost an additional $200,000. There is a 60%

chance that the engineers will need to perform customization. What is the expected monetary value (EMV) of the risk?

A. A.
B. There is not enough information.
C. B.
D. $840,000
E. C.
F. $680,000
G. D.
H. $720,000

Solution: D. $720,000

To calculate the expected monetary value (EMV) of the risk, you must identify all reasonable alternative outcomes, estimate the probabilities of occurrence, and estimate their values.

In this case, the two alternative outcomes are:

1. The software does not need to be customized, resulting in a cost of $600,000.
2. The software needs to be customized, resulting in a cost of $800,000 ($600,000 for the software and $200,000 for customization).

The probability of the first outcome is 40% (100% - 60%), and the probability of the second outcome is 60%.

To calculate the EMV, multiply the probability of each outcome by its value and sum the results: EMV = (0.4 x $600,000) + (0.6 x $800,000) = $720,000

Therefore, the expected monetary value of the risk is $720,000

The company board is concerned about potential legal action from a high-risk project. What technique can be used to justify risk response decisions taken on this project?

A. A.
B. Interviews
C. B.
D. Nominal group technique

E. C.
F. Brainstorming
G. D.
H. Decision tree analysis

Solution: D. Decision tree analysis

Decision tree analysis is a diagramming and calculation technique for evaluating the implications of a chain of multiple options in the presence of uncertainty. A decision tree analysis is the best option because it delivers in a visual way the options, alternatives, and combinations of problem-solving. This approach is applied to difficult solutions (high-risk projects) making them more manageable.

The other three answer options are or could be part of the decision tree analysis. While the other techniques may be useful as part of a decision tree analysis, they would not provide the appropriate amount of insight on their own.

Which of the following describes a difference between qualitative and quantitative risk analysis?

A. A.
B. Quantitative risk analysis addresses individual risks descriptively, while qualitative risk analysis predicts likely project outcomes based on the combined effects of risks.
C. B.
D. Quantitative risk analysis is typically less time-consuming and resource-intensive, while qualitative risk analysis is more time-consuming, objective, and data-driven.
E. C.
F. Quantitative risk analysis prioritizes individual risks for subsequent treatment, and qualitative risk analysis must be completed before quantitative risk analysis.
G. D.
H. Qualitative risk analysis addresses individual risks descriptively; quantitative risk analysis predicts likely project outcomes based on the combined effects of risks.

Solution: D. Qualitative risk analysis addresses individual risks descriptively, while quantitative risk analysis predicts likely project outcomes based on the combined effects of risks.

Qualitative risk analysis involves assessing the characteristics of individual risks, such as their probability of occurrence, degree of impact on objectives, manageability, timing of possible impacts, relationships with other risks, and common causes or effects. This information is used to prioritize risks for further analysis and response planning. Qualitative risk analysis is typically less time-consuming and resource-intensive than quantitative risk analysis.

Quantitative risk analysis involves using numerical techniques to analyze the combined effects of identified risks on project objectives. This may involve modeling and simulation to estimate the likelihood and impact of different risk scenarios, and to identify the most effective risk response strategies. Quantitative risk analysis is more objective and data-driven.

Which is the process that the risk manager performs to prioritize individual project risks for further analysis or action by assessing their probability of occurrence and impact, as well as other characteristics?

A. A.
B. Quantitative risk analysis
C. B.
D. Qualitative risk analysis
E. C.
F. Identifying project risks
G. D.
H. Planning risk management

Solution:B. Qualitative risk analysis

Qualitative risk analysis considers a range of characteristics such as the probability of occurrence, degree of impact on the objectives, manageability, timing of possible impacts, relationships with other risks, and common causes or effects. This process helps to identify and prioritize risks based on their potential impact on the project objectives. By performing a qualitative risk analysis, the risk manager can focus on

high-priority risks and develop appropriate risk response strategies to mitigate or respond to those risks.

The other options are incorrect.

Quantitative analysis uses mathematical models to calculate risk responses and can be time-consuming and expensive. Therefore, only the highest priority risks are advanced to quantitative analysis. Quantitative risk analysis examines the combined effect of identified risks on the desired outcome and is not used to prioritize individual risks.

Planning risk management and risk identification activities occur prior to prioritization and would have been completed before assessing risk probability of occurrence and impact, as well as other characteristics.

Which input could be utilized to perform quantitative risk analysis to reduce uncertainty?

A. A.
B. Risk categorization
C. B.
D. Organizational process assets
E. C.
F. Stakeholder register
G. D.
H. Expert judgment

Solution: B. Organizational process assets

Organizational process assets can be utilized as inputs to perform quantitative risk analysis to reduce uncertainty. Quantitative risk analysis requires inputs that reflect individual project risks and other sources of uncertainty. Organizational process assets are a key input to this process as they provide information on past project performance, lessons learned, and best practices that can be used to inform risk analysis and response planning.

The other options are incorrect.

Risk categorization, stakeholder register, and expert judgment are commonly used inputs for qualitative risk analysis. Qualitative risk analysis involves assessing the characteristics of individual risks, such as their probability of occurrence, degree of

impact on objectives, manageability, the timing of possible impacts, relationships with other risks, and common causes or effects. This information is used to prioritize risks for further analysis and response planning.

Review Category Risk Response

Which of the following is an effective channel for risk mitigation assistance, project risk visibility, and risk escalation support?

A. A.
B. Project steering committee
C. B.
D. Project management office (PMO)
E. C.
F. Change control board (CCB)
G. D.
H. Board of directors

Solution: B. Project management office (PMO)

The PMO is a management structure that standardizes the project-related governance processes and facilitates the sharing of resources, methodologies, tools, and techniques.

The change control board (CBB) and board of directors may become involved after consulting the PMO, but this would not be the most effective channel in this instance. The project steering committee has a clear view of its own project, however, the PMO has a broad and powerful understanding of the organization's project portfolio.

Two companies merge. The executive leadership team for the newly formed company hires a project risk manager to integrate both companies' technology platforms into a single global platform. Since the success of this integration project is critical for the new company, the project risk manager determines that risk management is vital. What are the primary factors of the risk response planning process that the team should consider?

A. A.
B. People, planning, and analysis
C. B.
D. People, planning, and avoidance

E. C.
F. Planning, acceptance, and analysis
G. D.
H. People, mitigation, and analysis

Solution: A. People, planning, and analysis

The risk response planning process includes factors such as people, planning, and analysis. In risk management, the risk response planning process involves developing options and actions to enhance opportunities and reduce threats to project objectives. The factors included in this process are:

- People: Identifying and assigning roles and responsibilities for risk management activities, including risk response planning.
- Planning: Developing a plan for responding to identified risks, including defining risk response strategies, actions, and triggers.
- Analysis: Analyzing the identified risks to determine the appropriate response strategies and actions.

The other options are incorrect.

Avoidance, mitigation, and acceptance are risk response strategies, not the primary factors of the risk response planning process. Every project is different, and it's important for project teams to carefully consider and choose the appropriate risk response strategy for each identified risk to ensure the success of the project. Avoidance involves taking action to eliminate the threat or protect the project from its impact, while acceptance involves acknowledging the risk and not taking any action unless the risk occurs. While selecting a strategy is paramount, no one response strategy is used for every project.

A project manager learned that the project deliverables will not meet the quality requirements unless a change is made to a component. After issuing a formal change request, the project manager emailed details of the change to all stakeholders. Most stakeholders received the information promptly and were fully aware of the change. However, the project manager found out that some stakeholders did not receive the email or did not read it.

What could the project manager have done to prevent this?

A. A.
B. Reviewed the communications management plan.
C. B.
D. Developed a detailed work performance report.
E. C.
F. Met with the project sponsor to discuss communication.
G. D.
H. Questioned the stakeholders about technological literacy.

Solution: A. Reviewed the communications management plan.

A communications management plan is a component of the project, program, or portfolio management plan that describes how, when, and by whom information about the project will be administered and disseminated. Communication is the most important factor in engaging with stakeholders effectively. Project success is dependent on effective communication and the communication medium used influences the effectiveness of communication. Before deciding to send emails to all stakeholders, the risk manager should have first reviewed the communications management plan to confirm that email communication is effective for all stakeholders. Typically, preferred communication methods vary from stakeholder to stakeholder, based on a multitude of factors.

The other options are incorrect because they do not preemptively address the core issue. In this case, some stakeholders had no problems with the emails. For others, email was clearly not the most effective way to communicate. The risk manager could have avoided the confusion by reviewing the communications management plan and disseminating the information in the stakeholders' preferred medium.

While preparing for a project review meeting with leadership, the project team analyzes and checks its scope activities and discovers missing requirements. The project risk manager decides to hire a subcontractor to fulfill these newly discovered requirements. What risk strategy did the project risk manager use?

A. A.
B. Avoid
C. B.
D. Transfer
E. C.

F. Accept
G. D.
H. Mitigate

Solution: B. Transfer

In risk management, transfer involves shifting the impact of a threat to a third party, along with ownership of the response. By hiring a subcontractor, the project team is transferring the risk of not being able to fulfill the requirements to the subcontractor. It's important for project teams to carefully consider and choose the appropriate risk response strategy for each identified risk. A risk strategy is based on the risk attitude and appetite of the organization. These determine the risk threshold and are a key element of the risk strategy.

The other options are incorrect.

Avoidance is when the project team acts to eliminate the threat or protect the project from its impact.

Acceptance is when the threat is acknowledged but no action is taken unless the risk occurs.

Mitigation is intended to reduce the probability and/or impact of the risk.

The project manager has documented a new risk and its impact. If not resolved immediately, the risk will jeopardize the success of the project. The resources necessary to address the risk are currently working on another critical project. What should the project manager do?

A. A.
B. Seek to negotiate a solution with the functional manager and project sponsor.
C. B.
D. Outsource third-party resources necessary to address the risk to project success.
E. C.
F. Adjust the project schedule based on the highest three-point estimate of the impact.
G. D.

H. Meet with the project sponsor to request more resources and a delay in the schedule.

Solution: A. Seek to negotiate a solution with the functional manager and project sponsor.

The question notes the necessary resources are working on another project, indicating that it is a shared resource in either a functional or matrix-type organization where the functional manager is the person who is able to reschedule, reassign, or replace resources. Negotiating a solution with the functional manager and project sponsor would be the case in this type of organizational structure.

The other options are incorrect.
Outsourcing the resources necessary to address the risk may be a potential outcome, however not until the discussion is held with the functional manager and project sponsor.
Modifying the project schedule has no relevance to the question and the issue at hand.
Meeting with the project sponsor to request additional resources and schedule delay may be a potential outcome, however not until the discussion is held with the functional manager and project sponsor.

During the development phase of a construction project, key stakeholders approved a project budget. The risk management team identified risks and appropriate risk responses. However, during project execution, an unexpected local health emergency halted and delayed work on the project. This event type was not identified as a risk or listed in the risk register. The team decides that this issue must be mitigated, which would incur additional costs.

How should the risk manager address this unforeseen budgetary overrun?

A. A.
B. Use the management reserve to cover the cost.
C. B.
D. Identify potential ways to exploit the risk.
E. C.
F. Use the contingency reserve to cover the cost.
G. D.
H. Develop cost and performance baselines.

Solution: A. Use the management reserve to cover the cost.

Since the health emergency was unforeseen, the management reserve would be the appropriate resource to cover the cost or mitigation. A management reserve is the amount of the project budget or project schedule held outside of the performance measurement baseline for management control purposes that is reserved for unforeseen work that is within the project scope.

Risk exploitation addressed opportunities, not threats. Risk exploitation is a response strategy whereby the project team acts to ensure that an opportunity occurs. Further, the question states that the issue must be mitigated, so the risk response has already been determined.

A contingency reserve is the time or money allocated in the schedule or cost baseline for known risks with active response strategies. This option is incorrect because the risk was not known.

The cost baseline is the approved version of the time-phased project budget, excluding any management reserves, which can be changed only through formal change control procedures and is used as a basis for comparison to actual results.

What is the purpose of mitigating negative risks as a part of the risk response process?

A. A.
B. To transfer the probability of a risk happening to a third party to reduce the impact.
C. B.
D. To reduce the probability of a risk happening and/or reduce the severity of the impact.
E. C.
F. To accept the probability of a risk happening to reduce the severity of the impact.
G. D.
H. To increase the probability of a risk happening, but reduce the severity of the impact.

Solution: B. To reduce the probability of a risk happening and/or reduce the severity of the impact.

The purpose of mitigating a negative risk is to reduce the probability of the risk and reduce the potential impact. For example, if our negative risk is "delayed supply of X", we would like to reduce the probability that supply X would indeed be delayed. Furthermore, we would like to reduce the potential impact in case supply X is indeed delayed (mitigating potential timeline delays, cost increases due to engaging with different suppliers, etc). Accepting or transferring risk are not mitigation strategies. Risk acceptance is a risk response strategy whereby the project team decides to acknowledge the risk and not take any action unless the risk occurs. Risk transfer is a risk response strategy whereby the project team shifts the impact of a threat to a third party, together with ownership of the response. Increasing the probability of a risk happening does not necessarily reduce the severity of the impact and is not a mitigation strategy.

A telecommunications company is planning to implement a new service network but is concerned about the risk of failure. The company decides to test a prototype before conducting full implementation on the entire network. What type of risk response strategy did the company choose?

A. A.
B. Transfer
C. B.
D. Mitigate
E. C.
F. Avoid
G. D.
H. Accept

Solution: B. Mitigate

They chose to mitigate the risk by testing the new network prototype before conducting full implementation on the entire network. This is a common risk management strategy used to reduce the impact or likelihood of a risk. By testing the prototype, the mobile operator can identify and address any potential issues or problems before implementing the new network on a larger scale.

The other options are incorrect.

Risk transference involves shifting ownership of the risk to a third party to manage, which in this case the mobile operator did not do.

Risk avoidance is a risk response strategy that involves eliminating the threat, which is not the case in this scenario.

Risk acceptance acknowledges the existence of the risk, but no proactive action is taken. In this case, however, the mobile operator selected to test a prototype, making the accept strategy not applicable.

The risk manager organizes a stakeholder meeting to obtain an agreement on project risk response strategies. The risk manager must leave the meeting and will be out of the office for the next week. The risk manager reminds the team that at the conclusion of this meeting, risk response strategies should be which of the following?

A. A.
B. Scheduled, budgeted, and easy to understand.
C. B.
D. Cost-effective and validated by Monte Carlo analysis.
E. C.
F. Iterative, scaled to the project, and implemented.
G. D.
H. Timely, cost-effective, agreed upon, and accepted.

Solution: D. Timely, cost-effective, agreed upon, and accepted.

At the conclusion of the meeting, the risk response strategies should be timely, cost-effective, agreed upon, and accepted. This means that the risk response strategies should be implemented in a timely manner, be cost-effective in meeting the challenge, be realistic within the project context, be agreed upon by all parties involved, and be owned by a responsible person. It is important to ensure that the risk response strategies are appropriate for the significance of the risk and that they are selected based on structured decision-making techniques.

The other possible answers are inadequate or incomplete.

While some aspects of the other options may be helpful in some cases, they are not sufficient on their own to represent the definitive output of the meeting. Risk response

strategies are not typically scheduled as there is no sure way to predict when or if they will be necessary.

Some of the project's materials have been ordered from overseas. The supplier notifies the project team that the materials will not reach the site on time due to a customs clearance delay that will affect the critical path.

What should the project manager do first?

A. A.
B. Ask the logistics team to arrange an expedited clearance.
C. B.
D. Revisit the risk register and implement the respective risk response.
E. C.
F. Identify the root cause of the delay and add it to the bid documents.
G. D.
H. Ensure the suppliers cover any additional costs due to the delay.

Solution: B. Revisit the risk register and implement the respective risk response

The project manager should first revisit the risk register since corrective action has been identified at the beginning of the project. Information in a risk register can include the person responsible for managing the risk, probability, impact, risk score, planned risk responses, and other information used to get a high-level understanding of individual risks.

The other options are incorrect because the project manager should first review the risk register to determine the appropriate course of action.

Asking the logistics team to arrange expedited clearance is incorrect because it may not be possible and customs regulations are controlled by regional or governmental bodies.

Identifying the root cause of the issue is incorrect because the basic cause is known in this case. This option is also incorrect because bid documents are used to request proposals from prospective suppliers and the supplier has already been chosen.

It may not be possible to ensure that the suppliers cover additional costs, agreements like that are typically determined when entering a contract with a supplier.

Review Category Monitor and Close Risks

Which of the following demonstrates that a company's risk management process is successful?
A.
Projects deemed overly risky are given inflated timelines.
B.
The number of identified risks has decreased each quarter.
C.
Profitability has increased due to risk management strategies.
D.
Additional resources were allocated to finish projects faster.
Solution:C. Profitability has increased due to risk management strategies.
Profitability increasing due to risk management strategies is a demonstration that a company's risk management process is successful. This indicates that the company is effectively managing risks and making informed decisions that positively impact the bottom line. Effective risk management helps to identify and address potential threats that could negatively impact the company's financial performance. Risk management also helps to identify opportunities and ways to take advantage of them. By proactively managing risks, the company can avoid or minimize losses and maximize opportunities for growth and success. Therefore, increased profitability is a key indicator of a successful risk management process.
The other options are incorrect.
Allocating additional time for projects deemed overly risky does not directly manage risks and can lead to inefficient delivery.
A decrease in identified risks is not necessarily indicative of a successful risk management process. It could also indicate the risk management procedures are not being conducted thoroughly enough.
Additional resource allocation may not be necessary and does not ensure that risks are appropriately managed.
Which of the following techniques are most helpful when monitoring and controlling risks?
A.
Status review meetings, trend analysis, earned value analysis, McGregor's analysis, and defect inspection.
B.
Status review meetings, variance analysis, trend analysis, earned value analysis, inspection, and control charts.
C.
Status review meetings, control charts, Inspection, defect repair, Maslow's analysis, and trend analysis.
D.
Variance analysis, trend analysis, earned value analysis, Maslow's analysis, control charts, and brainstorming.
Solution: B. Status review meetings, variance analysis, trend analysis, earned value analysis, inspection, and control charts.
Status review meetings, variance analysis, trend analysis, earned value analysis, inspection, and control charts are all techniques that can be included in risk monitoring and controlling. These techniques help track, review, and regulate the progress and performance of the

project, identify areas where changes to the plan are required, and initiate corresponding changes. Additionally, they support efforts to ensure the integrity and reliability of reporting. Inspection, McGregor's analysis, Maslow's analysis, brainstorming, and defect repair are not tools used for risk monitoring. Inspection is an examination of a work product to determine whether it conforms to documented standards. Inspection includes activities such as measuring, examining, and validating to determine whether work and deliverables meet requirements and product acceptance criteria. Inspections also are used to verify defect repairs. McGregor's analysis is used more as a technical tool of the plan resource management process as a theory of organizations. The same is true for Maslow's pyramid, which is also a tool in the plan resource management process. Brainstorming is a tool and technique in the process of identifying risks.

A risk manager for a large-scale construction project received a call from the project owner who is concerned about not receiving the latest update on the project's risk exposure status. What should the risk manager do first?

A.
Analyze the root cause of this communication error.

B.
Review and update the communications management plan.

C.
Collect and analyze the work performance information.

D.
Provide the project owner with the work performance report.

Solution: D. Provide the project owner with the work performance report.

The risk manager should provide the project owner with the work performance report as the first step. This will help to address the project owner's concerns about not receiving the latest update on the project's risk exposure status.

The other options would occur after first providing the work performance report.

After providing the report, the risk manager can then analyze the root cause of the communication error and review and update the communications management plan if necessary.

Collecting and analyzing work performance information can also be done as part of the ongoing risk management process.

While monitoring project risks for a large-scale construction project, the project team identifies that several events have caused the scope, schedule, and cost to increase substantially. This increase has a substantial impact on the project.

What outputs must be updated and/or created to address the identified risks and their potential impact on the project?

A.
Project management plan, vendor contracts, and human resource plans

B.
Change requests, project management plans, and project baselines

C.
Bid Documents, budget management plans, and project risk documents

D.
Enterprise environmental factors and the project management plan

Solution: B. Change requests, project management plans, and project baselines

Change requests, project management plans, and project baselines need to be updated and/or created to address the identified risks and their impact on the project. These changes

have triggered substantial increases and have impacted the project substantially and adjustments and changes must be made to accommodate that. Changes could include increasing timelines and budget, removing non-critical resources, seeking additional resources, etc. Change requests need to be submitted to update the project scope, schedule, and cost as a result of the identified risks and should be reviewed and approved through the change control process. The project management plan should be updated to reflect any changes as a result of the identified risks. It would be a good idea to also update the risk management plan and risk register to reflect any changes in the risk response strategies and risk owners. The project baselines (cost, schedule, and scope) need to be updated to reflect any changes in the project scope, schedule, and cost. This may require updating the project budget, schedule, and scope statement.
It is important to update these outputs in a timely manner to ensure that the project remains on track and that all stakeholders are aware of any changes.
The other options are incorrect
While the incorrect options may include some relevant outputs, they do not fully address the need to update or create outputs specifically in response to changes in scope, schedule, or cost resulting from project risks.
Midway through project implementation, a risk manager realizes that some of the risk responses have not been timely and several unidentified risks have emerged. This is causing increased levels of risk exposure and the risk manager is concerned may exceed anticipated project risk exposure.
What should the risk manager do?
A.
Meet with the team to identify what went wrong and increase the risk exposure threshold expectancy.
B.
Revisit risk prioritization metrics and update them since the probability and impact must have changed.
C.
Assess the likelihood and impact of each risk and determine if the current thresholds are still relevant.
D.
Examine the planned risk responses and alter them to reflect the delay in response implementation.
Solution: C. Assess the likelihood and impact of each risk and determine if the current thresholds are still relevant.
The risk manager should assess the likelihood and impact of each risk and determine if the current thresholds are still relevant. They should review the risk register to identify any new risks that may have emerged as well as reassess existing risks to determine if their likelihood or impact has changed since the project began. Based on this assessment, the risk manager can determine if the concern about exceeding anticipated project risk exposure is valid and make informed decisions on how to proceed. The risk manager should adjust the risk thresholds if necessary to ensure that they are still appropriate for the project.
The other options are incorrect.
Meeting with the team to identify what went wrong and increasing the risk exposure threshold expectancy may not address the underlying issues causing the delays in risk response implementation.

Examining planned risk responses or risk prioritization metrics and editing them should only be done if deemed necessary after assessing the likelihood and impact of each risk.